

Tamilnad Mercantile (TMB)

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Symbol: TMB

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call – Q1 Results

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform you that the transcript of the earnings conference call hosted by the Tamilnad Mercantile Bank Limited on Unaudited Financial Results of the Bank for the quarter ended June 30, 2023, has been made available on the Bank's website at the following link :

Transcript of the Earnings Conference Call – Q1 Results

We are also attaching the Transcript of the earnings call with this intimation.

Kindly take the same on record.

Yours faithfully,
For Tamilnad Mercantile Bank Limited
Prakash Chandra Panda
Company Secretary and Compliance Officer

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Tamilnad Mercantile Bank Limited
Q1 - FY 2023-24 Earnings Conference Call

July 25, 2023

Management : Mr. S. Krishnan, Managing Director & CEO
Mr. D. Inbamani, General Manager
Mr. P. Suriaraj, General Manager
Mr. D. Ramesh, General Manager
Mr. V. Jayaraman, General Manager
Mr. S. Narayanan, General Manager
Mr. P.A. Krishnan, Chief Financial Officer
Mr. Prakash Chandra Panda,
Company Secretary and Compliance Officer
Tamilnad Mercantile Bank Limited
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Moderator: Ladies and gentlemen, good day and welcome to the Tamilnad Mercantile Bank Limited Q1 FY '24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on a touchtone phone. Please note that this conference is being recorded.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. S Krishnan, MD and CEO, Tamilnad Mercantile Bank Limited. Thank you and over to you, sir.

S Krishnan: Thank you. Ladies and gentlemen, a warm welcome to all the analysts, investors and stakeholders joining us today. A very good morning. I hope this message finds you all in good health and spirits. I am pleased to present the financial results and performance highlights of Tamilnad Mercantile Bank for the first part of the fiscal 2024.

Before delving into the details, I would like to express my sincere gratitude for all your continuous support and trust in TMB. The first part of fiscal '23-'24 has been encouraging, with the Bank continuing its legacy of consistently delivering positive results since its inception more than 100 years ago. We have been steadfast in our commitment in generating profits and rewarding our shareholders suitably.

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Let us get straight into the highlights of the performance of the bank for Q1 of the fiscal 2024. The performance details, the PowerPoint presentation to the investors, have already been uploaded in the website of both the stock exchanges and also the site of our bank. Nevertheless, I will give a brief on the performance of the bank for the ready information of my analyst friends.

The total deposits of the bank grew by 8.73% year-on-year, while the advances grew by 10.26 percentage. Within the advances, if you look into, the RAM segment has grown by about 12.86 percentage. The total overall business grew by 9.4 percentage. The bank's profitability has also increased. The bank registered an increase of about 12% in the net profit, compared with the year-on-year, registering a net profit of INR261 crores. The non-interest income again registered a growth of 20% about, while compared with the previous year's first quarter, registering an amount of INR167 crores during the current year, first quarter. Similarly, the interest income has also increased by 15%, compared to the previous year, reaching an amount of INR 1,156 crores during the first quarter.

When I look into the parameters which directly has interest for the stakeholders, the net worth has increased to INR7,190 crores as on 30th, June 2023 from INR5,427 crores. The book value of the share has gone up to INR 454.03 from INR 380.87. The asset quality, when we look into the asset quality, the NPA has come down to 1.56 percentage, the Gross NPA, from 1.69 a year ago. And the Net NPA has also come down to 0.66 percentage. The Bank's return on assets is 1.85 percentage and the return o

n Equity stands at 14.80, with a very strong capital adequacy of 26.57 percentage, of which the CET1 alone is about 24.94 percentage.

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The Cost to Income ratio is at 44.22%. Now let me also touch upon some of the guidance what we gave to the street at the beginning of the year and almost we are more or less on the same line. As far as the NIM is concerned, we said that we will be 4% and we are 4% in NIM as on 30th of June. The ROA, we gave a band of 1.75% to 2%, we are at 1.85%. ROE, we said 15%-plus, we are close to that at 14.8%. And gross NPA, net NPA, we said below 2% and 1% respectively. We have honored that with 1.56% and 0.66%.

The provision coverage ratio we said -- on the band of 88% to 90%, we are 90%-plus. The cost to income ratio, we said 42% to 44%. Almost we are on the band with 44.22%. The credit cost, we said about the band of 0.5% to 0.75%. The credit cost is at 0.5 percentage. The slippage ratio was said as less than 1% per year. The slippage ratio for the Q1 is 0.27%, which translates to, for a year, almost to 1%.

Friends, I will stop here for the brevity in as much as the PowerPoint presentation in detail. And you, being the analyst, you might have definitely made a good analysis. I will now throw the floor open to all the analysts for an interaction. Thank you very much.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Lakshminarayanan from Tunga Investments. Please go ahead.

Lakshminarayanan: Good morning, sir.

S Krishnan: Very good morning, Lakshminarayanan, sir.

Lakshminarayanan: Yes, a couple of questions. Sir, first is, if you look at the yield across retail, agri, MSME and corporate, right? Can you just give me a range of yield across these four different classes?

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S Krishnan: Which one you need? Yield in on? Retail on the RAM segment?

Lakshminarayanan: Yes, Yes. Retail, Agri, MSME separately and the corporate.

S Krishnan: Okay. I have noted, sir, we will share with you.

Lakshminarayanan: Okay. The second is that, let's look at the top 20 borrowers, right, how much is top 20 borrowers contributing from the assets base?

S Krishnan: One minute. Mr. Lakshminarayanan, sir, I will give during the course of this.

Lakshminarayanan: Okay. So, and coming to the MSME segment, right, and again, further divide that into the micro, small and the medium, right? In which segment you are seeing growth is lower comparatively, and in which segment you find that there is a building up of stress, if you think?

S Krishnan: I can give the growth in this MSME breakup. Micro, year-on-year, has grown by 1.34 percentage, Q-o-Q it is by 1.42 percentage, small has grown by 27.79 percentage year-on-year and Q-o-Q is almost flat or slightly lower. The medium sector has grown by 6.54 percentage year-on-year and the Q-o-Q is almost flat. Sorry, medium, I am sorry, that is the total of MSME what I said.

The medium has de-grown by about 4.57 percentage year-on-year and about 6 percentage Q-o-Q. Of course, the base is small. The medium base is only INR860 crores as on 30th of June. The overall MSME has grown by about 5.74 percentage year-on-year.

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Lakshminarayanan: Got it. So the smallest growth, I mean the growth that is 1.34% you mentioned in terms of micro, right? What is the total gross assets there?

S Krishnan: Asset size is INR9,500 crores.

Lakshminarayanan: Okay. Now, so the growth has come from predominantly in the middle segment, right? And it has been flat, or 1%-plus in the first segment. Now, is it because of the system is not growing? Or is it because of competitive intensity? or is it that you choose not to grow because you think that stresses building-up or what is

the reason you would say attribute for these things?

S Krishnan: I will only say that as far as the MSME is concerned, which I have told you earlier also, after this COVID, now the activities are picking-up. We could see the green shoots. When the capacities are increasing, naturally the MSME also will grow. The capacities have started, we are able to see the green shoots on the increase in the capacity at a minimal level for the large corporates. These MSMEs are basically dependent on the large corporates. They will be surrounding the large corporates and hence the demand also is slightly on this one.

And when I talk of about you said or you choose, Yes, we have been keeping in mind asset quality. We are also choosy. Nevertheless, we are with an open mind for taking up. So, with that cautious approach, we could make a decent growth. Coming to the yield on advances which you asked for the RAM segment, I have the data. The agriculture yield is 8.9%, MSME is 11.12%. The retail is 9.19%.

Lakshminarayanan: And corporate, sir?

S Krishnan: That will be around 9.13% or 9.15%.

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Lakshminarayanan: Got it. And the small segment which has actually grown stupendously, 37%, what would you attribute that growth? Is it an impetus from the organization to push growth or the segment itself has been growing?

S Krishnan: Segment is growing. When the segment is growing and also the untapped market where we have the push, where we give the push because the MSME is basically the thrust area for our bank. So keeping that in mind, naturally there will be a push to increase that. Within that MSME, when we look into where it grows, we are able to see good potentials or good growth in the small segment. So that has increased.

Lakshminarayanan: Got it. And how do you anticipate growth for your bank for the coming year? What is the range in terms of advances growth you expect? And especially we are very strong with the MSME segment and for some reason it is actually growing in a slower pace, right? So keeping that in mind, what is the advance growth you expect for the whole year? What band you have budgeted for?

S Krishnan: For the bank as a whole, as I said earlier also the guidance to the street is that we will be growing in the range of 12% to 15%. That is what we have said. And we also try to follow that we promise less and deliver more. That is what we are trying. So, we promise that it will be 12% to 15%. And then coming within that, how much will be the MSME? MSME will be in the range of around 10% to 12%, keeping in mind what we have grown now. While our focus will be on that, wherever opportunities are there, we will be, and we will be having a cautious approach.

Lakshminarayanan: Got it. Sir, one more question related to the gold loans, right? I've seen that across various private banks, regional banks in particular, the gold loan book has almost come to 25% of the
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assets. Now, it seems to be, you don't need to deploy capital and it's also gets various benefits in terms of subvention or in terms of becoming part of the priority sector.

Now, given that conceptually, you think there is a risk for the banking system, if any of these things get adjusted by the regulator, how do you think about this? Because everyone has actually gone strong on gold loans and it actually brings a lot of benefits to the bank, right? So your adjusted ROA would be much higher in this thing and this even regulator would know, right? So how do you think about this from a risk mitigation point of view? I mean, I'm not talking only about your bank but in general, what is your view?

Sir, did you hear my question or should I repeat that regarding the gold?

S Krishnan: Sir, can you repeat? You were talking on the Jewel loan.

Lakshminarayanan: Yes, so on the gold loan

for all the private sector banks, particularly regional private banks in South, the gold loans have almost reached 25% of the asset book. And the gold loan is a very good product from the bank's point of view because you don't need to deploy capital, that is, you know, it's completely secure. And also it gives subvention benefits for the borrower and it's also agriculture-led.

Now, since it's become such a good product and it's actually grown a lot, do you think there may be any intervention from the regulator? If so, how does the bank would mitigate it? Because you're making higher ROA adjusted and it gives a lot of benefits to the bank, right? So, what is the risk the bank system carries by having such a large gold loan book?

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S Krishnan: Okay, now I will answer this not as the MD of TMB, because you are asking about how the regulator will be viewing for the industry, right?

Lakshminarayanan: Yes, and the industry and what is the, I mean, how banks have to think about it from a sensitivity, from a risk mitigation point of view, from a regulatory risk point of view?

S Krishnan: As far as the regulator is concerned, the regulator will be looking into from the aspects as to, it should not be for one, the end use of the funds. I am talking on any credit. It should not be for the purpose like gambling and other things. So it should be for the purpose which is eligible. By and large, the banks, particularly which you said as the private banks, that too in the southern part of the country, they give mostly for the agriculture. So what is required is to ensure the end-use of the funds that it is used for the agriculture if it is given for the agriculture.

But there is also not a restriction that it cannot be given for any other purpose. It can be given for non-agriculture also. The other aspect which the regulator can look into is the regulator has given a SOP that does it have a requirement for the capital. That is, it is an eligible financial collateral under Basel III guidelines. When it comes to eligible financial collateral, there are methods of valuing the eligible financial collaterals with the applicable haircuts. Now, there comes the question of the LTV. The LTV needs to be maintained. If the LTV is maintained, that can be. There are methodology of calculating the haircuts on the financial collateral, the eligible financial collateral. Gold is one of that collateral. There is a system of mark-to-market, the frequency of mark-to-market. So as a regulator, what he will be looking into is whether these guidelines are scrupulously followed by the regulated entity. If they are not followed by the regulated

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entity, then he can say, one, that I will not give you the benefit of the eligible financial collateral for your capital calculation purpose.

Number two, the regulatory guideline if there is, for example, the quality of the jewel pledged becomes spurious, then the secured advance may become unsecured advances. The additional provisioning that will be required for the unsecured advance may have to be put. So, like this, they can bring in the conditions. So, this is what I perceive from the regulator.

But this jewel loan, gold jewel loan is not a new product for the banking industry in India. At least with my experience of more than four decades, I can say that this product is in existence even before I entered the banking industry. Hence, I do not foresee much of the interference from the regulator, except on case-to-case basis where as part of their supervision, they do lot of exercise. So, on case-to-case basis, they may, if they find, they may advise, give the advice to individual banks.

And as far as the TMB is concerned, I can say that we have a robust system of valuation of that gold, marking-to-market almost on daily basis

is in the system itself. So, we do not foresee any such, whatever I said, what the regulator can look into. So these things we ourselves proactively are looking into, following-up with the LTV almost on a daily basis. So we don't foresee any issues on these things.

Moderator: Thank you. Sorry to interrupt Mr. Lakshminarayanan. May we request that you return to the question queue for follow-up questions as there are several participants waiting for their turn.

Thank you. Our next question is from the line of Mr. Arvind R from Sundaram Alternates. Please go ahead.

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Arvind R: Hi, sir. Thank you so much for the opportunity. I see like NPA ratio had gone up sequentially and I could also see like MSME segment also contributing to in a big way. I mean like in sequence when you look at sequentially. MSME segment hasn't grown up that much but still the NPA has gone up. I'm just trying to get an understanding, like what is going on in this particular segment, compared to which particular segment we think it could grow in the subsequent quarters? That is my first question.

S Krishnan: Mr. Aravind, the latter part of your question is not audible.

Arvind R: Okay, sir. I don't know which part of the question, but I was asking, like NPA has gone up sequentially, especially in MSME segment. That is one of our core segments and we haven't grown that much in the past year also like it's only less than 6 percentage growth. I'm just trying to understand like, even though the growth is slow but our NPA is going up so that is what I'm trying to reconcile, sir. But also on one more thing on the same thing, restructured advance is also coming down, is it also because of that like a restructured book is coming out to the normal that is also contributing to NPA or something?

S Krishnan: I will answer as far as the NPA going up sequentially, yes, if we look into the number per se, it has gone up to 1.56% from 1.39% on a sequential quarter. So, the number speaks that it has gone-up. But one has to look into that what is the level of gross NPA of the bank, 1.56%, is that 1.56% is a reasonable number. In my opinion, 1.56% is not a cause of concern for one quarter from 1.59%.

Having said that, your next question is on the MSME. See, the MSME are generally fragile and that means a lot of hand-holding and other things. If you look into the industry as a whole, what is

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the MSME NPA and what is the MSME NPA of TMB, you can see that there is a wide difference. We are still able to maintain a better quality. The restructured book is coming down, one, because we are able to also have a recovery. I will give you the numbers of the restructured book and also the NPAs in that, one minute.

The total restructured book has come down from INR786 crores to INR703 crores as on 30th of June, of which the NPA has come down to INR87.29 crores. So that indicates that it is not only that the restructured book is coming down and then we also maintained the NPA of the restructured. So, if I look into that, the NPA is also coming down.

Having said, yes, this restructured book needs to be closely followed up, monitored, which we are doing. Thus, we are able to maintain to a greater extent. During this quarter, there was a total slippage of INR101 crores in the NPA of which the major shock, the biggest advance is just about INR15 crores. That indicates that yes, the others are smaller. For your information, when I look into the slippage of INR101 crores, the slippage in the MSME constitutes INR60 crores, against INR63 crores in the previous quarter, sequential quarter. So, that indicates that yes, the slippage in the MSME is not allow me to that extent which we need to.

Having said, the bank is fully cognizant of the stress in the industry, more particularly we will be focusi

ng on the MSME

which needs extra care. For your information, I can say that the Gross NPA ratio in '22-'23 for the scheduled commercial banks in respect of MSME were at 6.1%.

Arvind R: Okay, sir. Thank you. I just have one more question if I can ask?

The CASA ratio is also declining. Obviously, it is decreasing for Tamilnad Mercantile Bank Limited

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almost all the banks that I have seen till now. But I'm just trying to understand where do you see in terms of cost of deposits shaping-up for the rest of the year? Either in terms of CASA ratio coming down or even rates for the term deposits, still have to kept up to keep the deposits within the bank?

S Krishnan: Good. See, when across the globe, the regulators started tightening and increasing the rate of interest to contain the inflation, the Indian regulators are also doing that, sucking the liquidity available in the market. This has ultimately translated into drying-up of the surplus funds, which will normally be parked in the CASA. Hence, the CASA across the industry has come down substantially, as rightly observed by you. I can only add some indicative numbers, almost 200 bps on an average the CASA has come down for almost many of the banks. So, I can say across the industry. We cannot be an exception to that. Our CASA has come down against that of 200 bps, has come down by 100 bps.

The supplement to this is the cost of deposit, as I said, when the surplus funds are drying-up, the demand for the costs, the cost increases. If you recollect last year, almost all the banks, I can say that the interest were increased substantially. The TMB waited for a longer time without increasing the cost. Then we also have comparative, competitive rates in the market. We increased our cost somewhere at the end of February, end of the last fiscal, in the month of February, I remember. We came out with a special product with a higher rate of interest. We mobilized the funds. After that, we stopped the product in the

month of May. So this has resulted into the increased cost of deposits for all the banks and also to TMB.
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Arvind R: Sure sir, I just wanted to understand like, if you think there will be any warrant a requirement of increasing deposit rates or further?

S Krishnan: I don't foresee in the near future for my bank.

Arvind R: Okay, sir. Thank you, so much.

S Krishnan: Thank you.

Moderator: Thank you. Our next question is from the line of Mr. Prabal from Ambit. Please go ahead.

Prabal: Sir, congratulations good business for the quarter.

S Krishnan: Thank you.

Prabal: My first question sir, can you highlight what is your liquidity coverage ratio?

S Krishnan: One minute. Yes, I will give you during the course. Yes.

Prabal: Okay, sir. Second question would be, how many employees are currently on the union model? And a supplement to that could be, if you can talk about the recent hiring that you've done at the senior level?

S Krishnan: See, I have a total employee strength of around 4,500, nearly. Out of that 4,500, you said the union model, I presume that you are referring to the wage structure of the IBA model, am I right?

Prabal: Yes, sir.

S Krishnan: Okay. If that being the case, the employees whom I have recruited in the last two years, which will be very minimal in the number, maybe around 400 or 500 employees will be there, barring them, the rest of around 4,000 are in the IBA model. But
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we have our own settlement. It is not exactly the IBA. We are not a secretary to the IBA wage settlement. We have our own settlement with our employees union and the officer's association.

Now having said that, we are also working on, we are having discussions with our employees' representatives for those people also to have a different package. Now

, if you were to

answer that question, around 4,000 people will be in the IBA model.

Prabal: And at the senior level, have you done any recent hiring from the market at senior head positions?

S Krishnan: Senior, senior head position? No, senior head position, I have hired my General Manager Credit, has been hired less than a year back. My general manager in information technology is hired about a 1.5 year or so. My CFO, a senior person is hired about two years back. So likewise, we have a CTO, who is also hired from the market about two, 2.5 years back. So these are some of the people whom we have hired at the senior level.

Prabal, you asked the LCR. LCR is 209%.

Prabal: 209% is that right?

S Krishnan: 209%.

Prabal: Okay. So when are we planning to utilize this because 200%-plus LCR is quite high for us. So are we planning to utilize this to maybe cushion margins for us?

S Krishnan: Yes, we are planning. If you say that, see, I gave the guidance of the business growth at a moderate level of 12% to 15% and I also said that we want to, I mean, we follow that we commit less

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and deliver more like that. So, we will be definitely utilizing this in the period to come with the increase in the advance business. We will be using that.

And before that, Mr. Lakshminarayanan was asking about top 20 borrowers. Mr. Lakshminarayanan can please note that the exposure is around INR3,200 crores, approximately. That is the exposure and outstanding is INR1,700 crores.

Sorry, Mr. Prabal, please go ahead.

Prabal: My next question was on jewel loans within the agriculture book. So if you can just highlight what is the nature of these loans, maybe in terms of ticket size, tenor and the kind of repayment design you have for this?

S Krishnan: The jewel loan can be broadly classified into two categories. That is what mainly we give. One for the agriculture purpose and another is for the non-agriculture purpose. Normally the jewel loan for non-agriculture purpose is for a tenure of about one year and the agriculture goes with the agriculture side. We also have a key cash credit type backed with the jewel loan. The average ticket size of this jewel loan will be around INR1 lakh to INR2 lakhs, INR1 lakh.

Prabal: And my last question. Sir, in your press release, it says that we are opening some loan processing centers. So if you can talk about what kind of loans will be processed via these centers? And also if you can elaborate, what was the process of -- what was the process earlier that bank used to follow?

S Krishnan: Your question is not very audible. We have plans to...

Prabal: My question sir, on the loan processing centers.

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S Krishnan: Loan processing centers, okay, fine. Fine. See, I told you last time that we have taken up a business process re-engineering project. As a part of that, on the first phase, we have taken up the MSME front. And this project for the MSME is in the implementation stage. As one of the first two measures, what we did was, we have established MSME hubs at four centers, Chennai, Coimbatore, Madurai and Thoothukudi. These four centers we have established. These MSME hubs are headed by very experienced Executives, who will be able to take a call quickly. These executives in the hubs are well assisted by trained credit analysts. This brings me an advantage of having a good quality processing.

The third, we have also posted relationship managers at all these hubs. These relationship managers have their feet on the street. They are in contact with the potential and also the existing customers to understand their needs, source the application, and then the due diligence is done by a separate team so that I ensure the quality of underwriting. This has been started very recently. I am able to see good traction, encouraging

results.

Of course, as far as the number is concerned, it is too early to tell the numbers. We will be watching for another two months or so. Probably, if possible, I would love to meet every one of you even in the mid of the quarter, where I will be able to share with you actually the numbers which has come out of these hubs.

Prabal: Just to clarify, these hubs will be processing not just the loan brought in by relationship managers but also from the branches?

S Krishnan: What I have done is to begin with, I have linked all these branches to the hub. That is in these centers, in these four centers, anything new one will be implemented in a big

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organization in a phased manner. So I have chosen these four centers. The branches which are linked -- situated in these centers are linked to these hubs. And there I have also given a cut-off that any advances above INR50 lakhs to begin with will be processed by the hub and below that will be processed, will continue to be processed by the branches themselves.

Over the period of time, with the establishment and the hub stabilizing itself, we will be slowly bringing down the INR50 lakhs cut-off to a lower limit and eventually, over a period of time, all the MSMEs will be brought to the hub. We are also in the process of having digitized loan originating system, which will ensure free and smooth flow of the applications. The leads which are generated through the relationship managers, that it will be like a funnel, where it will be coming in, and the hub will be processing it.

There will be a quick, we have -- yesterday, if I am right, the purchase order for the procurement of the loan originating system, one of the state-of-the-art loan originating system available in the country, we have entered into an agreement with the service provider. Yesterday, we gave the purchase order. Hope that we will be able to finalize, I mean, rollover it as quickly as possible, which will enable my customers to have a good digital experience also.

Prabal: That's very nice to hear, sir. Thank you.

Moderator: Thank you. Our next question is from the line of Sonal Minhas from Prescientcap Investment Advisors LLP. Please go ahead.

Sonal Minhas: Hi, sir. This is Sonal.

S Krishnan: Good morning Mr. Sonal. How are you?

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Sonal Minhas: All well sir. How are you? Hope all is fine.

S Krishnan: Fine, thank you. Good.

Sonal Minhas: Sir, I had a bookkeeping question. Just wanted to understand, your size of your gold loan portfolio? Is LTV and its sum as these are roundabout figures you could disclose just to understand how large the gold portfolio is?

S Krishnan: My size of gold loan portfolio is around INR10,200 crores to INR10,500 crores, approximately, right? And it consist of around 9 lakhs accounts, approximately. The LTV ratio is maintained at 85%, 15% is the margin. So LTV is maintained at 85% as I was responding to earlier to Mr. Lakshminarayanan that the bank has a good system of marking to market almost on a daily basis across all the branches.

Sonal Minhas: Got it, sir. I was just asking what would be the tonnage of the gold loan portfolio, sir?

S Krishnan: I don't have right now. It is across the all. So I don't have the tonnage of the gold.

Sonal Minhas: No. Sir, I had a follow-on question on the MSME sector.

Because I think in the last call we were in, I did ask you about the quality of the proposals that you are getting. And I think you did mention that the quality both in Tamil Nadu, Kerala, Karnataka region seems to be healthy. But right now from what I am hearing from the callers, the discussion with the callers earlier, seems like the MSME portfolio, you are a little cautious on reviewing the portfolios that are coming to you. So just wanted to understand, is there a change, what has h

appened?

Maybe I'm getting it wrong, just trying to understand the quality of the MSME proposals that you're getting across the three, four states you're dominated?

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S Krishnan: No, I think you have probably more clarity on what are you said. I didn't said that there is a concern or anything like that. Rather, I was telling that out of the total slippage, if I look into for Q1, which amounted to around INR101 crores, my MSME normally, yes, MSME was fragile and I have large exposure. So, there definitely the slippage portion also will be little higher. But when I compare this slippage with the previous quarter sequentially, sequentially in the last quarter that is Q4 of the last year, the slippage in the MSME was INR63 crores and during the Q1, the slippage is INR60 crores, which indicates that by and large, we are maintaining the same quality rather marginally it has improved because the slippage has come down from INR63 crores to INR60 crores. So, I still stand back to the quality what we get. Of course, when I say the quality what we get, we have to do the due diligence. As a lender we are cautious, we will be doing the due diligence and we will be taking a good quality book.

Sonal Minhas: Understand. And with more centralization technology and the consulting fees you're talking about the quality of diligence, the comparison of proposals, even access to cash flows of these companies to understand the quality of the data that has been submitted. Will that all improve over time? Just this is more like thinking to understand how is the MSME book going to be in the next one or two years?

S Krishnan: In the next one year or two years, I expect a good improvement in the MSME book of my bank. The stress ratio coming down reasonably well in the next one or two years, as you rightly observed with the centralization, putting in the ruling chain, the quality of the assessment, the underwriting, the monitoring. Today, a lot of tools are available. We will be able to ring fence
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the cash flows. With all those things, I am sure that the quality will improve reasonably well in the next one to two years.

Sonal Minhas: Understand, sir. Thanks a lot for answering my questions, sir. Have a nice day. Thank you

Moderator: Thank you. Our next question is from the line of Saket Kapoor from Kapoor & Co. Please go ahead.

Saket Kapoor: Namaskar sir and thank you for this opportunity. Sir, firstly if you could give us some general details of the increase in the treasury income for this quarter and I think so this line item supported our numbers for the quarter? And also, what explains the reduction in the profit for the retail banking segment? These two segments.

S Krishnan: As far as treasury income is concerned, my interest income has gone up. With the investments going up and also the rate of interest firming up. On the year-on-year it has gone up. So, that is one. And my profit on sale of investments is almost flat, still the market is yet to get up to get me a profit. So, that is the main reason for this.

And last year, you know the market was bad, which necessitated a mark-to-market provisioning, which was additional burden last Q1, which is not there this time. Hope that now it has turned, there is no mark-to-market. In the coming period of this fiscal, maybe by Q3 or Q4, I expect that the market will turn positive, will be able to get profits on the sale.

Saket Kapoor: No, sir. When we are comparing your treasury income on a year-on-year basis, it is flat. But on a Q-on-Q basis, it has moved up significantly. So just to understand the nature of the same, what factors will contribute to it and what should be its trajectory, are you in a position to comment on the same? And
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on the retail banking segment, we have seen a decline Q-on-Q. If you could explain the same and Sir. Also, if you could give us some trajectory of what the NIMs for the year would likely to be, what should we look in terms of the ROA, and what should be our provision as per the book?

S Krishnan: First, probably, you are picking-up from the segment reporting on their questions, or on that, am I right?

Saket Kapoor: Yes. From the segmental report, sir.

S Krishnan: Okay. I will request my CFO to be in touch with you and he will give the necessary details on the breakup of this sequential quarter comparison, both on the treasury and also the retail banking. Coming to what will be the guidance on the return on assets, I said that my return on assets, the guidance given is in the range of 1.75% to 2%, which we will be maintaining. The NIM, as far as the NIM is concerned, it will be 4%-plus.

Saket Kapoor: I'll join the queue again. I request the moderator to just send me back two-three persons and I'll just join in two minutes.

S Krishnan: Yes, most welcome Mr. Saket.

Moderator: Thank you, sir. Our next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Hi sir, good morning and thanks for the opportunity.

S Krishnan: Very good morning Mr. Jai Mundhra. How are you?

Jai Mundhra: I am good sir. How are you?

S Krishnan: Fine, fine.

Jai Mundhra: Great, sir. My first question is on margins, right? So you know, not this quarter, of course, they have declined, but even from a

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Y-o-Y perspective or the entire cycle perspective, we have seen margins which have not improved. Actually, they have deteriorated. If you look at yields, then they have been more or less range bound, like in the slide that you have given that the yields on Y-o-Y basis, they were 9.48% and then they have improved to 9.82%.

But similar has been the pressure on cost of deposits and cost of funds. So margins have been more or less stagnated, whereas all other banks in the last three to four quarters have seen significant rise in the net interest margin. So what is the reason for limited margin expansion? At the same time, our growth has also been more or less normalized growth. So, when we are cautious on growth, the margins have been actually on a downhill. So, I wanted to understand what is the reason.

S Krishnan: Mr. Mundhra, if you look into today across the banking industry itself, there is a pressure on the cost of deposits. Deposit costs have substantially gone up for every bank. Accordingly, for us also it has gone up. So it is a temporary phenomenon. I expect that this will ease out in the next quarter or so, it will be coming down. As I was explaining earlier to the earlier speaker, last year, we postponed increasing the deposit rate and we increased it only at the fag end of the last fiscal, that is in the month of February.

Now, that full impact has come on the Q1. That is why it looks that the cost has gone up. Normally in banks, particularly in TMB, I can say that the Q1 will be a dull, lull on this one for various reasons. One such will be on the people movement. There will be large-scale transfers, replacement, other things. So, normally, there will be a lull period.

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Nevertheless, if you look into the growth, it has been moderate. I will say that around 10%, 9% also, the advance growth is around 10.26 percentage with that it has. Now my NIM is 4%, I feel that yes it will -- it's likely to go up in the coming quarters that is what I expect. So, keeping that in mind only, we have given a guidance of 4%-plus and you will definitely agree with me that a NIM of 4% is reasonably a good NIM, when we compare the industry in the country barring few tail ends.

Jai Mundhra : No doubt, sir the NIM at

4% is very healthy. What I was trying to understand is that it has not improved to the extent of what other banks have seen improvement. In fact, it has declined on Y-o-Y basis in last two, three quarters it has been declining on a sequential basis. Are you sensing some, let us say, competition, more competition when you were to increase your yield on advances or you think the competitive intensity is same as let's say last 12 months has not changed?

S. Krishnan : No, there is increased competition which cannot be refuted by anyone. So, that is also one of the reasons that when that comes, then we have to and we take a very, very calculated steps. We have a good ALCO which deliberates on that. And I hope that this 4% is likely to go up in the coming period.

Jai Mundhra : And, sir, you said that from now onwards the margin should be more or less stabilized here at 4% near about. Is that the right understanding?

S. Krishnan : Yes, that is the right understanding. Margin is, I don't expect to go down rather it may be marginally going up from now onwards. It should move northward.

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Jai Mundhra : So, why would that be? I mean, is that the cost of deposits have repriced almost to the extent that cost of deposits should not rise or how?

S. Krishnan : No, cost of repricing of the customer, I mean, the deposits has taken place as far as my bank is concerned almost. And in the near future, of course, it's the ALCO's call. I don't expect that the rate will be increasing in the deposit front. So I have the ALCO had their planning and whatever we were to mobilize, we have mobilized. We discontinued that product which was having the higher rate of interest. So, with all these things in back, I feel that going forward, my margin will be improving steadily.

Jai Mundhra : And, sir, if you have the breakup of your loan book by MCLR, EBLR and working capital and term loan, I mean, these two cuts, that a, one by benchmark, that is to how much is MCLR, how much is EBLR, T-bills etcetera? And the second would be how much is working capital loan and how much is term loan?

S. Krishnan : See, as far as the MCLR and EBLR is concerned, it is almost 50-50 or it may be something like 48-52. There is slight difference only. So yes, so not much. So, we can say 50-50 will be the MCLR and EBLR. As far as the working capital and term loan is concerned, I will request our people to give you the exact numbers. Normally, there is a lag of about three months in effecting the -- three months to 6 months I can say in effecting the entries in the policy rates.

So, I hope that with all those things, what I said, that I also expect that the regulator will not be increasing the rates further. The pass may be continuing; this is what is the expectation. So, with those things I still stand that my margin is expected to improve gradually from now onwards.

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Jai Mundhra : And sir, is it safe to assume that MCLR loans will still be

repricing even going ahead, so you will still have some benefit coming from MCLR repricing?

S. Krishnan : That ALCO will take a call about repricing the MCLR based on the cost of funds and we can infer what it will be.

Jai Mundhra : Okay. Sure. And sir last month if I remember, there was an IT raid which was pertaining to our bank, while nothing which is financially important or it has not impacted the financials, but it says that there was not too much of an internal control when it comes to said procedure etcetera. So, what is your comment, have we changed anything, have we analyzed that what were the reasons for the alleged lapses in our bank?

S. Krishnan : First, I want to give you a clarification that it is not a raid. There is a difference between the raid and on the spot verification. So, I want to give you a clarification, there

was no raid in the Tamil

Nadu Mercantile Bank. And this has nothing to do with any of the financial statements of the bank which the bank has submitted for income tax purposes. These are related to specified transactions which the different entities need to report to the IT department at periodical intervals. Now you might have gone through the press release of the IT department after they did the on-the-spot verification.

On 30th of June, if I am right, it came with a press release, where if you look into the last sentence, I will read out. In order to explain the legal obligations and the processes as well as to address difficulties faced by the reporting entities, outreach programs are being regularly organized by the department across the country. This is another initiative of the department to facilitate ease of compliance. This is what the IT department press release says.

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Having said, yes, what it is, the various reports which the bank had submitted, the department had found certain errors in the report submitted. I have to now clarify that whatever deficiencies or defects identified by the department, all those have been rectified and all the returns which were to be submitted to their department have since been submitted. So, I expect that the matter is likely to be closed as early as possible. These defects, one of the reasons could be certain technical glitches because of which these type of errors have occurred. So, this is what has happened. I hope that things are clear to everyone.

Jai Mundhra : Right, sir. And last question, sir, is we have a loan book of around INR37,000 crores, INR38,000 crores and it is one of the lowest and still your loan growth aspirations are 12% to 15% only. We are one of the smaller base having a good ROA, have abundant capital. So, what is that stopping you from growing industry itself is growing at 15%, 16%. We are aspiring to be slightly lower than industry. So, wanted to understand what is stopping you in growing at a faster pace?

S. Krishnan : It's a very good question. My aspiration is also like that. But I also said that we follow the principles of promise less and deliver more. I hope that we'll be able to be in line with the industry pace.

And the second is, as far as we are concerned, we are more particular on the bottom line, a healthy book rather than a big top line. So, we do lot of due-diligence and then we steadily grow the business that could be one of the reasons. But nevertheless, as I was explaining, that we also have now taken up business process re-engineering, based on which we have now created the hubs, we have put in place the relationship managers, whose feet are on the streets. So, I hope that in the

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period to come, the business will be growing reasonably good and will be at par with the industry average.

Jai Mundhra : Right sir. Thank you sir and all the very best.

S. Krishnan : Thank you very much.

Moderator : Thank you. Our next question is from the line of Lakshminarayanan from Tunga Investments. Please go ahead.

Lakshminarayanan : Thanks again. Sir, to the earlier participant who mentioned that the growth aspiration is...

Moderator : Mr. Lakshminarayanan sorry to interrupt. May we request you to use the handset, please? Your audio is not clear.

Lakshminarayanan : Yes. So, it is -- earlier you mentioned that your growth aspiration is 10% to 15%. My question is that when you actually set your targets, is your internal targets different from this number, number one? Second is, what do you consider as the set when you actually benchmark? Is it the Indian banking system or is it the Tamil Nadu credit growth of Scheduled Banks advances or how do you think about it? How do you do bottom-up, both internally as well as externally that's my first question?

Mo

derator : Mr. Lakshminarayanan I'm sorry to interrupt. Again, like we are not able to hear you at all.

Lakshminarayanan : Yes sir. So, the question is that you had guided between 12% to 15% growth. And you also mentioned that you like to maintain at least the industry growth. When you -- there are two questions or I would say just an extension of that. It is that when you do this target setting internally, do you have a different target and if so, how do you benchmark it? Do you benchmark with Tamil Nadu credit growth -- Tamil Nadu because your business is 80% Tamilnad Mercantile Bank Limited

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Tamil Nadu. Is it TN Schedule Bank credit advances growth and you want to grow ahead of it or is it the Indian banking system or it's the private banks, regional private banks? How do you say that you want to grow ahead of the system? What is your baseline?

S. Krishnan : See, when we talk of the Scheduled Commercial Banks, even if I take a TN, Scheduled Commercial banks have got the credit portfolio under different segments. It has the RAM and also the corporate, if I have to say, in a broader sense.

As far as the Tamilnad Mercantile Bank is concerned, we will be trying -- our aspiration will be that we are at par -- or ahead in the case of the RAM segment what is the Tamil Nadu Scheduled Commercial Bank and what is ours. So, that is what we will be because the corporate will be very, very selective and choosy.

Lakshminarayanan : Got it. So your target setting and the way in which we as investors we should look at is are you growing ahead in terms of the RAM segment within Tamil Nadu Scheduled Commercial Banks?

S. Krishnan : As far as the June is concerned, we are comparing with the Tamil Nadu Scheduled Commercial Banks this one. And as I said that first quarter normally will be a lull for us. But nevertheless, we will be able to catch up and that is what this one shows to us, the study. Our growth is around 13% in the RAM segment approximately. I hope that we are at the same pace. We will be accelerating the growth in the coming quarter.

As I was telling, the drivers are like having MSME hubs exclusively at select centres, which I will be increasing going forward in Tamil Nadu itself. We have plans already in the final

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stage of rolling out such things in the very, very near future. With those things, there will be an accelerated growth, which we expect in the RAM segment, particularly when I have to compare with the Tamil Nadu Scheduled Commercial Bank's RAM segment growth.

Lakshminarayanan : Got it sir, and one last question, this, you mentioned the top 20 borrowers it's around 3,200 right, and I assume that all these 20 borrowers come from the segment which is others right which is outside the RAM, am I correct?

S. Krishnan : Yes, Yes, Yes.

Lakshminarayanan : Okay, thank you sir.

S. Krishnan : Welcome sir.

Moderator : Thank you. Our next question is from the line of Arvind R from Sundaram Alternates. Please go ahead.

Arvind R : Yes, thank you sir. Just one small question like so the corporate book has come down and then wholesale deposit also come down sequentially, I'm talking about. Is there any correlation in that, what is that?

S. Krishnan : There is no correlation between the two. One of the corporate AAA, when as and when they require, they will be taking up from us and we are having a good association with that one. So, accordingly, it was taken. And when they have the surplus, they close it. So, it has no correlation between the reduction in the corporate and the reduction in the wholesale deposit. As a measure, we try always that we will be bringing down the wholesale, either on the liability side or on the asset side to eliminate the concentration risk. So, towards that, the wholesale deposits we have brought down.

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One, the retail, as I was explaining that yes in the retail we increase the rate of interest. We could garner good deposits, good amount. Now I have a good retail, increased retail customer clientele. Now that being the case with the CD ratio, so we are not for increasing the wholesale deposit. That wholesale deposit as and when required we can always get. That is how it has come down, it has no correlation.

Arvind R : And just one follow up question on the IT thing, like you said, like things are addressed to avoid certain technical glitches. I'm just trying to get a more understanding of what kind of processes are being improved there to avoid those issues in the future?

S. Krishnan : As far as the processes are concerned that internally I have put in place a system that all these are basically taken data extraction from the various systems which the bank has, the primarily the core banking. Now I'm also arranging for getting the script auditors for that purpose and I'm making my concurrent auditors to verify this. So, that these type of errors what we've seen is not reflected, is not occurred in future when we submit. I can also give some examples like the defect data, what has been given is that the PAN is mandatory for these reports of the income tax. But PAN is not mandatory for account to be opened. So, there is again, we are taking up the income tax department also on this. So, this one such thing. So, normally there will be a defector. When I submit because my customers, I cannot say that you should have the PAN number or you should have the mobile number. So, these are some of the things then that comes as a defective one. That is what has happened. These are some of the examples, not exhaustive list.

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So, what we have done is that the extractions one, the script and other things I am putting in place for thorough audit, freezing it and like that and also before submitting to have a verification by the independent person so that we submit a good data.

Arvind R : Okay. Thank you. Thanks so much.

S. Krishnan : Thank you. Our next question is from the line of Saket Kapoor from Kapoor & Co. Please go ahead.

Saket Kapoor : Thank you sir for the second time opportunity. Sir, as the earlier speaker did mention, sir if we take the banking landscape, we are among small banks only and sir we have been listed now for over a year or almost closer to a year now and you have been speaking about the value creation ideas, but it is appearing from the quarterly numbers also that there are issues with growth. So, how are you going to address the thing because if you look at the interest expended line item for this quarter, that has grown up significantly.

So, I think they have been repricing on the liability franchise. So, going ahead sir, and also that you have very correctly guided also us in the last two quarters that the NIMS would be now trending lower to 4% from 4.3% or 4.35% which it was I think so for the September and the December quarter.

So, in terms of these sectors ahead, what should investors investing – investor should at least expect from you. I thank the board for the dividend payout of INR10 per share although the payout is closer to 11%-12% only, but still, it's a good gesture. So, when you speak of value creation for your investors, for your stakeholders, what are the levers to which because growth guidance from you are not matching the industry and also I think

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so the space where we are operating, we have constraints with our dominant presence also in certain part only. So, these are my -- these are my some observation sir and for the CFO sir to connect with me what the procedure, how should I know when and where to continue.

S. Krishnan : Now let me give so

me flavor of whatever you have asked as far as for the investors are concerned. Now, if you look into a NIM, what we guided was 4 plus. As you also said, yes, we are. Just now I told that I expect that from now onwards, we expect northerly movement of the margins that is the NIM is expected to because whatever re-pricing was to happen on the liability front which you have observed that during Q1, the interest expenditure has gone up. So, it is expected to stabilize and I do not expect further increase in that.

Going forward, we will be able to have a little increase in the yield on advances and spread is likely to improve that is one. And the second is, you were also asking about the business growth. I was also explaining that, yes, 12% to 15%, we are given a moderate commitment. We said that we have the policy of promising less and delivering more. That is what we want to follow. We are taking steps towards that goal.

If you look into the drivers which will enable me to improve the business, as you observed that we have been operating in area, not only the geography, that we are predominantly focusing on the small segment unlike others who may have big ticket loans which will suddenly improve or quickly improve the top line. I was also telling that even the small loans, I am very cautious because we are focusing on the bottom line. We want to maintain the asset quality. That is why and we want to distribute the concentration risk.

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Keeping all these things, still what is the driver that I am going to have? I have explained that we have taken up a project of business process re-engineering. We have established the MSME hubs to begin with at four centers. We have put in place the relationship managers. All these have started just now in Q1 or end of Q1. So this, I expect that will give me results in the rest of the year which will enable me to show the better results than which has been now. So, I hope that the investors can have the confidence on the margin. We have continuously demonstrated with a NIM of 4-plus and everyone will agree that it is reasonably a good NIM of 4 and the NPA ratio continues to be -- net NPA continues to be less than 1% with a provision coverage ratio of 90 plus.

In addition, for the investors' confidence, let me tell that the bank has earmarked around INR300 crores as a special provision for any contingencies on account of COVID. So, these are some of the cushion that are available for the bank, which should enhance the confidence of the investors.

Saket Kapoor : And sir, regarding connecting with the CFO part, please let me know the procedure. And also sir, I think so off late, we have also observed that the call, the con call have been skipped by the management and you have gone for a physical meet with investors. So, that gives us -- that is not giving an edge to your investor to participate. So, continue with the telephonic conversation as has been the practice, sir?

S. Krishnan : We will do that. Telephonically, we will also have wherever possible we can also have through a video conferencing like a Zoom or whatever call we can have. As far as the CFO contact is concerned, you can note the mail ID, CFO@tmbank.in.

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Saket Kapoor : So, to conclude is that going ahead our yields on advances are going to improve than what we have reported for Q1 and the NIMs will also trend in the trajectory of 4%-plus for the year. And that is what you are guiding us for the year as a whole. So, on an EPS of INR68 that we posted for FY '23, what would be the likely trajectory on the growth we can expect sir, taking into account the current parameters and the current environment?

S. Krishnan : So, in which growth your voice is not audible? The overall business growth I have given.

Saket Kapoor : EPS growth sir.

S. Krishnan : EPS growth...

Saket Kapoor : We have posted INR68 rupees for FY '23. So taking into account...

S. Krishnan : Give you the guidance. Okay. I will ask my CFO to give on EPS. We will be in touch.

Saket Kapoor : Okay. Fine, sir. Thank you.

Moderator : Thank you. That was the last question of our question-and-answer session. I would now like to hand the conference over to Mr. S. Krishnan for closing comments.

S. Krishnan : Thank you very much. In fact, it was a great pleasure to have interaction with the cross-section of my analysts. I always love to have such a interactions. Once again, a big thanks to everyone of you for taking the time in the morning hours during the trading time to interact with us. I hope to have such interactions at much more frequent intervals than this one. And wherever possible, we will also have a physical meeting, we will also have the

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digital meeting. Thank you all once again and wish you a very happy and great day. Thank you.

Moderator : Thank you. Thank you. On behalf of Tamilnad Mercantile Bank Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

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The Manager,
National Stock Exchange of India Ltd,
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'G' Block, Bandra - Kurla Complex,
Bandra (East), Mumbai - 400 051. The Manager,
Bombay Stock Exchange limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.

Ref: Symbol: TMB / Scrip Code: 543596

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call – Q2 Results

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform you that the transcript of the earnings conference call hosted by the Tamilnad Mercantile Bank Limited on Unaudited Financial Results of the Bank for the quarter and half year ended September 30, 2023, has been made available on the Bank's website at the following link:

<https://tmb.in/pages/Financial-Results>

We are also attaching the Transcript of the earnings call with this intimation.

Yours faithfully,
For Tamilnad Mercantile Bank Limited
Prakash Chandra Panda
Company Secretary and Compliance Officer
Membership No: ACS 22585

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Tamilnad Mercantile Bank Limited

Q2 - FY 2023-24 Earnings Conference Call

October 27 , 2023

Management : Mr. S. Krishnan , Managing Director & CEO

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Moderator: Ladies and gentlemen, good day and welcome to Tamilnad Mercantile Bank Limited Q2 and H1 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch -tone phone. Please note that this conference is being recorded.

This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantee of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. S Krishnan, Managing Director and CEO from Tamilnad Mercantile Bank Limited. Thank you and over to you, sir.

S Krishnan : Thank you. Good evening to everyone. At the outset, my sincere thanks to all my analyst friends who have joined this call at this time. I'm happy to share with you that today the Board of the Bank met and adopted the unaudited, reviewed financial results for the quarter and the half year ended September 2023. The performance of the bank, the results of the bank and also the presentation has been uploaded in the sites of both the stock exchanges and also the bank website. I'm sure that my analyst friends might have gone through.

In spite of the same, I will just make a very brief presentation on the performance due to the paucity of time. But at the same time, at the cost of repetition, I thought I can tell you that the total business of the bank grew by 9%, while the deposits grew by 10% and the advances grew by 8% year on year.

The net worth has increased to INR 7,384 crores from INR 6,461 crores. Book value of the share has increased to 466 from 408. All these are year on year what I said.

The net profit has moved to INR 274 crores for the quarter ended September 2023 against the net profit of INR 262 crores a year back. Incidentally, the sequential quarter net profit was also almost on the same range of INR 261 crores.

One good thing which can be noticed is that the RAM segment of the advances portfolio, you might have been observing that the bank has been continuously focusing on the RAM segment and the RAM segment of the portfolio has now touched 91%.

The gross NPA of the bank is at 1.7, which was incidentally at the same level a year back. However, it has increased from 1.56 as on June 23. So also the net NPA has reached a level of 0.99 as on 30th September from 0.66 the last quarter. Having touched the NPA, I should also touch upon the SMA, which is a potential NPA for tomorrow.

The SMA has come down substantially. The total SMA of the bank as on 30th September is 5.59%, which was 12.42% a year back. And as on June, just the previous quarter, the SMA book was 7.16%. The slippage ratio has gone up during this quarter to 0.82 because of two high value accounts which have slipped. The total slippage during the quarter is INR 309 crores.

The credit cost has also gone up because of the same. The bank has made a provision of around INR 78 crores for the NPA. The credit cost has gone up during the quarter to 0.86. However, the half -year credit cost continues to be around 0.65 for the

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half-year. That is how it is. The yield on advances have increased to 10.19% from 9.82% a quarter before, and it was 9.36% a year before.

The cost of deposits, all of you will be aware

are that there is a heavy pressure on the cost of deposits, which is increasing, and TMB is not an exception. The cost of deposits of the TMB has increased to 5.78% from 5.52%. Despite the increase in cost of deposits with the yield and advances increasing, the NIM has moved up from 4% to 4.1% as on 30th of September when compared with just three months before that is the 30th of June, 2023.

As I said, the RAM -segment continues to be strong and SMA has come down. With these things, I hope that in the coming years, the quality will be strong. We do not

expect much of the slippage. As I told you during my interaction in the last quarter, the guidance what we gave, we stand by that guidance. The business growth, we gave a guidance of about 12% to 15%.

The trend of the bank, when we look at the second half of the year, it always contributes more. With that, I am sure that we will be able to achieve the guidance what we gave. Similarly, the gross NPA, which we gave less than two, we will be continuing.

The net NPA less than one, we will be continuing. I am also happy to tell that the ROA and ROE has also gone up during this quarter. The ROA has gone to 1.89 against 1.85 a quarter back. Similarly, the ROE has gone to 15.01 against 14.80. The guidance what we gave was ROA will be 1.75 to 2, we will be able to maintain. The ROE, we said about 15%, which we are having about 15.01% as on 30th of September. So, we will be able to continue those things.

So, this is in very brief because I know that all of you might have gone through the presentation and I will be more than happy to interact with you for any clarifications or additional information that you need, we will be more than happy to provide you.

Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question is from the line of Lakshminarayanan from Tunga Investments. Please go ahead.

Lakshminarayanan: Sir, a couple of things. When you actually started the year, we are six months down, right? Can you just call out the areas where things have exceeded your expectations?

I mean, I think the senior management expectations and things where it was below expectations and things where you could have done better, right? So, any thoughts on that? It will be helpful to hear from you.

S Krishnan: Sure. If I have to say that for the first half year, I can say that by and large we were able to. Except yes, during the first half year, particularly during this quarter, there was a little higher slippage for me. That is one. That again, the industry is like that. The second one is that the MSME growth, we need to push, for which we are taking all the steps. So, and we hope that we will be able to increase the same in the next quarter, second half. That is what I have to say in a broader sense.

Lakshminarayanan: Correct. So, broadly, are we tracking what we thought we would achieve in the first six months or are we lagging in terms of your own internal estimates and how you thought the year would pan out?

S Krishnan: By and large, we are meeting with what internally we had because normally the growth, that is what initial brief which I gave also, that the performance of the bank is

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normally more in the second half of the year. I mean, now we have achieved about 9% or so, the growth, business growth, which I gave the guidance of 12% to 15%.

And with the past experience, what we observe is that the second half normally contributes more than the first half. With that, we are hopeful that we will be able to achieve the business targets, what we gave the guidance to the streams.

Lakshminarayanan: Correct. And in terms of your operating expenditure, there has been an increase on a year-on-year basis, right? What actually led to the increase in operating expenses? Is it like a one-off thing

or what should we think about it?

S Krishnan: The operating expenditure has gone up basically because, one, we have also provided for the increase in the employee cost for the wage revision. We have made a provision for that. And the second is when we compare with the year-on-year, we migrated to finance 10 in the last year, somewhere in the month of August 22.

So, if you look into the last year, the half year, I had the depreciation only for about one and a half months or so, whereas this first half, this year, I have the depreciation for the full year. That is one of the reasons. So, these are the major two things which I can immediately tell that which led for the increase.

Lakshminarayanan: Got it. And lastly, in terms of the MSME, if you break it down into micro, medium, and small segments, can you just give me some indication of what has been the growth across these segments in terms of MSME?

S Krishnan: One minute, I will give you. The micro has grown by 7.43 % year-on-year. The medium has grown by 3.8% and small, there is a degrowth of 7.83%. Overall, the year-on-year growth is 3.49%.

Lakshminarayanan: One last thing, in terms of your branch opening, the target which you actually set out at the start of the year, I think you wanted to open 35 branches or something? I mean,

I don't have the numbers. How are we faring in terms of the first six months?

S Krishnan: Okay. We plan to have about 50 branches during the current year. We have opened 11 branches in the first half. Another about six to seven branches we have opened during the month of October. So, it is going as per the plan. We are hopeful that we will be able to complete the 50 branches.

Moderator: Thank you. Our next question is from the line of Saket Kapoor from Saket Kapoor and Co. Please go ahead.

Saket Kapoor: Namaskar, sir. Thank you for this opportunity. So, when we look at our first half performance, the operating profit is more or less flat if we take the depreciation into impact on a like-to-like basis. So, other than this, your understanding is that we would be able to grow the operating profit higher than it would be in H1 versus H2? This is the understanding you are trying to... the message you are trying to give to us?

S Krishnan: Yes. See, the operating profit, as you rightly observed, if you look into, it will look as flat, particularly keeping in mind the market also, which we game for this quarter. And this will go up because once I'm able to -- the second half, the business will grow. This is the trend, the advances growth is expected to be more. The overall, if I have to achieve 12% to 15% on year -on-year, where I have a shortfall of around 3% in the first half, which also needs to be made up in the second half. Naturally, in the second half, the performance will be far better, which will improve the operating profit than what it is today.

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Saket Kapoor: You mentioned about mark -to-market. Can you dwell more on the same? What are you trying to convey?

S Krishnan: In this quarter, 30th of September, around INR11 crores, we have provided for mark -to-market for my treasury bonds, government bonds.

Saket Kapoor: Okay. So, I think post -September also, there is further hardening of the yields, as we see the 10 -year benchmark closer to 7.4. So, there will be more likely of other mark -to-market on the government bonds going, if they remain at this level?

S Krishnan: We have cushion for further increase. So, I don't expect much to be impacted. But this one, depends on the market, which we need to wait and watch. I hope that with the outlook, that I have is that it will try to, it will soften before the end of this quarter.

Saket Kapoor: Okay. And, sir, if we look at your cost -to-income ratio, that has been on a strong uptick. It was sometime in last year, it was around 40%, lower than

41%. That has

now shot up to closer to 47%. So, what should be the cost -to-income going ahead?

What should be the new normal? Because I think the repricing of the deposits and all has resulted into the same. What is the key reason?

S Krishnan: See, let me tell the cost -to-income ratio has got two components, both the cost and also the income. As far as the income is concerned, the other income, as I was telling you that this quarter, we had a provision for the mark -to-market, which is basically factored in the other income as per the accounting standards permitted by the Reserve Bank of India. So, that has hit my denominator, which has brought down. Second is the recovery from the return of accounts was also a little lower, but I can say that the Q3 is expected to be more because already in the first 25 days, we have got a good recovery in the return of accounts, which will improve for the Q3. So, the denominator is expected to go up. As far as the cost is concerned, as I was telling that, the cost has increased, one, as you were also telling is the cost of deposits. Second is the employee cost. And third, if we compare with the year -on-year of the previous, half year, then the depreciation on my IT assets also has gone up. But having said this, with the expected increase in the income, which I'm going to have, and I do not expect the deposit or the other costs to go up because what I have today is this one.

And we, in fact, tried with the high cost for a very short period with excellent opportunity management. So, I don't expect that it will further go up for me. It will be almost static, unless and otherwise, the market moves differently. So, with these things, I expect that the cost -to-income ratio will come down. The expectation for me is around 44% for this year.

Saket Kapoor: Sir, depreciation, you are happening. Can you give the absolute numbers on like -to-like basis? What was the depreciation number for the IT asset for the small part of last year, and what should be the annual number for this year?

S Krishnan: I will give you. Yes, my CFO is here. Yes, sir.

Saket Kapoor: And then if we move to your slide number 14, no, slide number 15, there if you could

explain to me the movement of the NP A, wherein we have written off INR158 crores and there is a fresh addition of INR309 crores. These are the highest numbers if we take any competitive number for any quarters. So, if you could explain the nature and the reason of this?

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S Krishnan: As far as the write -off is concerned, normally, every year, I mean, you know that the banks will be writing off where it has 100% provision, and which we had a 75% provision, we have written off this quarter, which is about INR157 crores. All the 100% provided accounts have been written off.

As far as the INR309 crores is concerned, about a few of the accounts, 4 to 5 accounts have contributed to this, and out of that, the major accounts are in the cotton and textiles , where the industry is bleeding . So, that is the reason why it has gone to INR309 crores. We expect a recovery or upgradation of some of these accounts itself during this Q3, by which we will be able to improve the position.

Saket Kapoor: And for the upgradation, sir, for a year as a whole, what are the numbers we are currently looking into? What should be the annual number in terms of the upgradation? This quarter it is INR20 crores, and quarter 1 was INR5 crores?

S Krishnan: Yes, I will give this subsequently, exact number, because what happens is, this quarter, what slippage we had was not initially increased , but now all the recovery measures have been taken, so I will give you the updated upgradation numbers in the due course. However, we maintain that our gross NPA will be maintained below two.

Saket Kapoor: Right, so there was some change in the RBI

norms pertaining to the unsecured loan

also, and some thinking was there for the small and medium accounts also. So what could be the likely impacts going ahead?

S Krishnan: What is now is only the reports which are available in the media. RBI is yet to come out with the guidelines. But what is expected is, RBI is more concerned on the unsecured, which you also rightly said. We are more concerned with the unsecured credit. I have to say that the unsecured credit of the bank as a whole itself is just about 1% or so, not much. We don't have much of the unsecured. So this is the bank which has got full collateral and other things. So this will not have impact on T MB.

Saket Kapoor: Right, sir. A small point on the unsecured part. We heard a leading bank today in their media interaction that they have even provided unsecured loans to the salary account holders only, so that they have the cash flow matched to in case of any delinquency.

So how have we secured ourselves even in this unsecured portfolio ? What safety nets have we created in case of any fallout going ahead, even if it is 1% of the total book?

S Krishnan: No, what I am telling is unsecured for me is very, very miniscule. And we are ring -fencing the cash flows wherever it is possible. We are ring -fencing the cash flows. So we don't expect anything. RBI expects that they may come out with an additional risk rate for this. That is what I expect when they come.

As the total quantum of my unsecured is not very material, I don't expect that it will have impact on us. As far as the recovery is concerned of those assets, like any other asset, we are continuously following up. Wherever it is, we ring -fence the cash flow. You can very well see that my SMA has come down substantially from 12% and odd to 5.5% in this quarter. So that itself demonstrates that we are able to contain the slippages except for few of the accounts which had problems because of the industry.

Saket Kapoor: No, sir was giving me the depreciation number. Only the depreciation number I am coming in the queue. You please come up with that depreciation number on the IT assets and I will join the queue.

Moderator: Yes, sir. Thank you. Our next question is from the line of Aniket Redkar, who is an investor. Please go ahead.

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Aniket Redkar: So, sir, I have a few questions. So, my first question is basically, what measures bank is basically taking to guarantee enough liquidity in the event of this unforeseen difficulty? And how we are managing this liquidity position currently?

S Krishnan: See, we do not face any liquidity position. We have surplus SLR. So, we don't have any such liquidity problem with us.

Aniket Redkar: Okay. Okay. And, sir, in the light of this most recent incident, which cost us around

INR 9,000 crores. So, how is the bank protecting this customer privacy and mitigating this cybersecurity risk?

S Krishnan : Okay. This has, let me say that, this has nothing to do with the cyber security. What happened has nothing to do with the cyber security. It was a technical glitch because of which this wrong credit has come. Now, what we have done is, we have done a root cause analysis as to what and how it went wrong. And we have plugged all those things, put in place a system that it doesn't recur anymore. Proper checks and balances additionally have been put in place.

So, we hope that this will not recur. So, this is what we are protecting the customers. And the reconciliation team was so sound and robust that within 15 minutes, we could be able to immediately identify and take actions to reverse the amount.

Aniket Redkar : Okay. And, sir, can you throw some light on this digitization, this thing that in terms of this technology related project that we are taking to improve our customer satisfaction and operation effectiveness?

S Krishnan : Okay. See

, what we are doing is, as far as the digital front is concerned, the bank has almost all the digital products for a normal day -to-day operation, be it by way of mobile, be it by way of net banking and the UPI, all those things, and UPI Lite also we are in. In addition to that, now what we are doing is that, we are enhancing the features available in the mobile banking.

Second, I am also trying to work out on the digital platform for my customers who want to avail their credit facilities end -to-end. To begin with, we are working for the MSME sector on the one hand. On the other hand, for the retail, we have already digitized for products like the home loan, where it is having a digital journey, but the customer interface is yet to be given for that. MSME, very shortly we will be giving for customers who want a digital journey, they can have. They can also have the assisted journey. That is what we propose.

We have entered into an MOU with one of the renowned technology, provide fintech, who is providing these things. We expect that in a couple of months, we will be able to make available these services to our customers. They will have the delight and comfort of banking from the place where they need. The mobile banking also, we now both on the mobile banking and net banking, we also now take for opening of the accounts, I mean deposits, and also availing the loan against that. These are some of the features which we propose to give very shortly.

Aniket Redkar : Okay. Can you give the future outlook about the bank for the full year?

S Krishnan : Future outlook of the bank for the full year is, as I said, the guidance which we give, we stand by that. The business growth will be around 12% to 15%. The NIM will be above 4% , which we demonstrate. The ROA will be from 1.75% to 2%. The ROE will be above 15%. The gross NPA will be less than 2%. Net NPA will be less than 1%. And the cost to income ratio, I expect around 44%. This is what we expect. The slippage ratio will be less than 1%.

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Aniket Redkar : Okay. And what is our stress asset ratio currently?

S Krishnan : Pardon?

Aniket Redkar : What is our stress asset ratio?

S Krishnan : Your voice is not very clear. Can you repeat?

Aniket Redkar : Stress asset ratio, sir?

S Krishnan: You are asking about CD ratio, credit deposit ratio, or you are asking about the capital adequacy?

Aniket Redkar : Yes.

S Krishnan : Capital adequacy is around 26% for me. And the CET1 is around 23%.

Aniket Redkar : Okay, sir. Thank you. That's all from my side.

S Krishnan : CET1 is 24% and overall CRAR is 26%.

Aniket Redkar : Okay. Got it. Thank you, sir.

Moderator: Thank you. The next question is from the line of Nihal Mehta, who is an investor. Please go ahead.

Nihal Mehta: In terms of your company's revenue, could you highlight on some of the important growth drivers? I have noticed some changes in terms of your profit margins also. So, could you highlight on that part?

S Krishnan : No, my -- what I expect is that, if you look into the growth in advances, we have grown, as I said, in the RAM segment. And amongst the RAM segment, if I look into, we are growing more on the gold loan, which is fully secured and have a zero capital.

So, we expect that we will be... it has a good potential, particularly in the area where we have more concentration. So, we will be able to do that.

And we have also taken up a transformation project on the MSME, which I told in the last meeting when I met. The -- that is taking a good shape. We have set up the MSME hubs at about 14 places, right? Eight places. We have set up at eight places, the MSME hubs, where we have posted a very experienced seasoned officer as the executive in-charge. And we have also posted the relationship managers and the credit analyst. Thereby, I will be able to reduce

that task.

On the other hand, as I was telling just before, that we are also working on digitizing the lending platform, which will bring the underwriting standards uniformly and also ensure that the underwriting is not compromised. Because now, I have segregated the branch, which is a delivery point from the underwriting. It is centralized for these MSMEs.

So, this will ensure my quality of underwriting and which will result in ensuring the asset quality over the period of time. So, these are some of the drivers which will help the bank to improve the income in the days to come.

Nihal Mehta: Okay, sir. Recently, I also read a news article about the INR 9,000 crores mismanagement that happened. The money was transferred to somebody else's

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account. So, how are you ensuring that, in terms of data privacy and any such kind of relevant risk, which should not happen in the future? So, are you taking any steps?

S Krishnan : Fine. Just now I answered this question, but still I will repeat it. This has nothing to do with cyber security or data leakage. So, it does not relate to any of these things. The question of data privacy doesn't arise here. This was a technical glitch because of which, wrongly, the amount was credited.

As I was telling, my reconciliation team is very, very robust and they are very alert, which they have detected this within a shortest span of 15 minutes and we could be able to reverse the thing. Having said that, we have done a thorough root cause analysis of this incident and we have further, increased the control mechanism. We have plugged in our codes so that these type of mistakes doesn't recur again. That is what I have to say.

Nihal Mehta: Okay, sir. Thank you. Thank you for that. And a last question from me. In terms of rate of deposits and loans during the quarter, do you see any, could you highlight, how it has grown over the period?

S Krishnan : The cost of deposits in the industry, if you look into, is moving northwards. There is heavy pressure on the liquidity. Somebody was asking about the liquidity, either you or before you. Because of that, there is increase in cost of deposits. We cannot be an outlier, so our cost of deposits also is increasing. No doubt on that.

But having said, we are able to demonstrate that, we are able to increase, realize the yield on advances proportionately, which is demonstrated, which is very visible from the fact that my NIM, Net Interest Margin, has increased during the quarter by 10 bps from 4% to 4.10%. So we are able to pass on this increase.

Moderator: Thank you. Our next question is from the line of Supan Parikh, who is an investor. Please go ahead.

Supan Parikh: Hi, actually I have seen you have opened new branches in the month of October, like six new branches and overall around 19 branches over the period of nine months. So I just wanted to know, what was the total revenue generated from these new branches?

S Krishnan : See, these branches will take little time to stabilize and also the break even. In fact, if you look into the banking, a branch, if it is able to break even in a period of about two years, is a very good sign and I expect that, we will be able to do that. I can share with you, I don't have right now the revenue generated by these branches, but I can tell that the CD ratio of these branches are very good, indicating that the advances are higher than the deposit.

I have branches whose CD ratio is as high as 200-plus. So these branches will be generating a good income to me. And most of these branches are lending on a very secured manner, either by way of the gold jewel loan or by way of home loan, fully secured. As I was telling that the bank's total unsecured itself is very low. So these branches, I expect that they will be able to contribute reasonably good, even in the first year of the open

ration.

Supan Parikh: Okay, sir. And also I want to know like how many new branches are you like expecting in this fiscal year, by the end of the fiscal year?

S Krishnan: Yes. I plan to open during this year, overall 50 branches.

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Supan Parikh: Okay, then we can have almost like 19 till now?

S Krishnan: Yes.

Supan Parikh: Okay. Thank you.

Moderator: Thank you. Our next question is a follow-up question from the line of Mr. Saket Kapoor from Kapoor and Co. Please go ahead.

Saket Kapoor: Yes, sir. Thank you for the opportunity again, sir. If you could provide them now the depreciation numbers, if you are ready with you? And again, sir, coming to the granular details of the growth, which we are anticipating for H2, which sectors will be contributing towards the incremental business and incremental, therefore, the interest income going ahead. As the H2 must be much higher than what H1, then only we can grow at 15%.

S Krishnan: Yes, you are right. My focus for the growth in the H2 will continue to be on the RAM segment. The MSME is expected to pick-up. The MSME growth in the first half was less. MSME is expected to pick-up. Even the industry as a whole, there is an uptick in the credit uptake for the MSME. So, we will be able to capitalize that. As I was telling that the BPR, Business Process Re-Engineering 1, which we have taken a project, which is taking a good shape. So, that is expected to yield a good result for me. I will be also continuing to focus on the retail. When I say the retail, it includes the gold jewel loan, both in terms of agriculture and also the non-agriculture and the home loans. These are the focus areas where I will be focusing, which will be enabling me to achieve the targets which we have imposed on ourselves for the current fiscal. As far as the depreciation is concerned, I will give you one minute.

Saket Kapoor: And sir, also please provide us a ballpark number on the dispersed of loans that is anticipated for H2 in comparison to what H1 has been? The loan dispersed?

S Krishnan: Yes, I mean, loan dispersal. One minute. I don't know whether I have it now.

Otherwise, I will request -- expected disbursement.

Management: This depreciation on the IT is around INR6 crores.

Saket Kapoor: INR6 crores. Okay, that's not a big number.

Management: Yes.

Saket Kapoor: On the disbursement part. And sir, when you were explaining us, rather giving us a number on ROA and ROE and NIM, I think so, last year, you did caution us that the ROA of 2% were extraordinary numbers and we will be settling somewhere lower. We exited Q2 at 1.89. So, for the next half, we will be lower at 1.5 to 1.72?

S Krishnan: No. Definitely not. Our ROA, still I maintain that for the year. We will be having 1.75 to 2. And we will be able to do that.

Saket Kapoor: Sir, first half is above 1.85.

S Krishnan: Yes. So, definitely we will go to 2. We give a range of 1.75 to 2. Doesn't mean that we will come down.

Saket Kapoor: Right. And for the NIMs also, it will be northward of 4%?

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S Krishnan: It will be above 4. We said above 4, we will maintain that.

Saket Kapoor: Okay. And sir, about the slippage part, sir, what portion of our loan book is towards the corporate sector, sir? And you spoke about one account in the textile segment slippage? So what is the slippage...

S Krishnan: Total corporate today is just 9%.

Saket Kapoor: Okay. Absolute number, sir, of the loan book amount?

S Krishnan: Yes, around INR3,000 crores.

Saket Kapoor: Okay. And then the key sectors where the same dispersion is?

S Krishnan: Pardon?

Saket Kapoor: Which are the key sectors to whom the loans have been disbursed? The 3,000 crores?

S Krishnan: No, no. INR3,000 crores is spread across different sectors. So, I

don't expect much of

on that. If I look into the SMA book, which will give, SMA, I have total SMA in

corporate is just INR230 crores.

Saket Kapoor: Okay. And no, sir, you spoke about one textile account for this quarter. What was the total...

S Krishnan: About three to four accounts, not one account. One account is a bigger one. And others are relatively bigger, but lesser than that. So, they are all in quarter 1. That's what hit me this quarter for the higher slippage.

Saket Kapoor: Okay. And we are fully provided for them, for these accounts?

S Krishnan: No, we have provided as per the regulatory requirements. In fact, my provision is little more than the regulatory requirement.

Saket Kapoor: Okay. And these are all certain...

S Krishnan: So, secured substandard, 15% is sufficient as per the regulatory requirement. I have provided 25%.

Saket Kapoor: You have provided for 25%?

S Krishnan: Yes.

Saket Kapoor: Okay. And these are all Southern based yarn companies? Can you give more granular details? Because I think so, these accounts may fall out also going ahead since the textile market is still in old drums?

S Krishnan: No, these slipped accounts are spread. One major is in the Southern and one is in the Western side. Like that.

Saket Kapoor: Okay, thank you for all the replies, sir. So, we can summarize that H2 will look better in terms of profitability for the bank as a whole. We are in the quoting, we are likelihood -- in the likelihood of posting a higher operating profit for the second half going ahead.

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S Krishnan: Absolutely.

Saket Kapoor: And thereby, this last year number of INR1,573 crores operating profit, we are looking at a growth number higher than that of last year.

S Krishnan: Yes.

Saket Kapoor: That is in the likelihood of 10%. We can look forward the growth in the operating profit?

S Krishnan: Yes.

Saket Kapoor: A 10% growth in the operating profit for the year as a whole?

S Krishnan: Yes.

Saket Kapoor: Okay, even after factoring in the flat number for H1? So, we have to grow higher than 10, then only we will be maturing?

S Krishnan: Absolutely. So, when my business also grows higher than H1, naturally the operating profit also will grow.

Saket Kapoor: Right, sir. And for the dividend distribution parts, sir, what is the dividend distribution policy? If it is a coded one, then I will go through it?

S Krishnan: No, we follow the RBI guidelines as to the dividend distribution. So, we don't have anything other than that.

Saket Kapoor: Okay, sir. And for any other than that, shareholder valuation, because we are a very new bank, new listed bank in the space. And currently at a book value of around INR462, the banking space offers, there are other players also that are offering better valuation. So, what steps are in the anvil? How can we create further value for your existing shareholders also and for the shareholders who can become shareholders going ahead?

Moderator: Sorry to interrupt, Mr. Saket Kapoor. We request you to re-join the queue.

Saket Kapoor: Yes, I have completed my question. It is up to sir to answer. Thanks. I hope I made my point, sir. Now, please reply.

S Krishnan: Yes, I have noted.

Saket Kapoor: Yes, any comment you want to give, sir?

S Krishnan: No, see, if you look into as far as enhancing the value of the shareholders is concerned, if you look into this, the bank which is consistently paying the dividend, because why I am touching the dividend is that was also touched by you about the dividend policy. If you look into the history of the bank, it's the bank which has paid the dividend every year, except one year where the Reserve Bank of India, stopped all the banks in making their payment of dividend. But for that, the history shows that the bank has been consistently taking care of the

shareholders, has been paying the dividend.

And if you look into the net profit, the profit earned by the bank every year, which

ultimately goes to the net worth of the bank, nothing other than the shareholders' fund, which is continuously increasing. And if you look into the strength of the bank on the

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balance sheet side, I have to say that the asset is highly distributed with less vulnerability for any shocks, which we will not be having. In addition to that, we also have the additional provision of around INR250 crores as of 30th of September towards any contingencies which can come. So when the COVID came, we started creating that. So today we have around INR250 crores as a provision for this.

Moderator: Our next question is a follow-up question from the line of Mr. Lakshminarayanan from Tunga Investments. Please go ahead.

Lakshminarayanan: Sir, if you look at the outside RAM, there has been a decline in the non-RAM, right? Was it a -- why it declined? Is it because we have the lost customer or it was a conscious call to reduce the assets on that side?

S Krishnan: No. We have not lost the customers. But as I said, yes, we are very, relative in expanding the corporate. So we take a very conscious call and we pick-up a good rated and this one. We have not lost any customers, which I can tell, who had availed with us. They avail as and when they require. But as far as going into any consortium or anything, we are very, very particular choosy. That is the reason that the corporate credit has not been growing.

Lakshminarayanan: Sir, if you look at your broad growth numbers, how much actually comes from your existing customers and how much is coming from new customers or who are never banked with you? And how many customers you actually, you think you are losing to the competition or they're actually moving or have you done any analysis?

S Krishnan: So we have done, we have done the analysis as far as what we lose and also what we gain. It is true that we have been losing a little more earlier, but these are times we are able to take over from others. Also, what we lose has come down. More particularly, this is, you know, that there is actually competition with which we are able to, I mean, the pricing is rationalized. So we are able to retain the customers. And what we...

Lakshminarayanan: How much of your growth is actually from your existing base? You are looking at 12% to 15% growth on advance side?

S Krishnan: No, we -- from the existing customers and the new customers, we'll be around 45, 55, like that.

Lakshminarayanan: Got it. So your new customers will be around 55% of your -- of the growth?

S Krishnan: Yes.

Lakshminarayanan: Got it. So in terms of the NP A addition of INR300 crores-plus, you mentioned something. Can you just repeat it? Because I just didn't capture that?

S Krishnan: No, INR300 crores, there is an addition because during this quarter, about four, five big accounts, I should say, of which one is around INR170 crores or something, approximately. And all these are belonging to the cotton and textiles, which the industry is doing bad because of that instant. But all these accounts are fully secured. We have been taking steps. I expect that there will be recovery or upgradation in this.

Lakshminarayanan: And this account, was it the first time they got into such issues or they have been, what has been the history of this account?

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S Krishnan: No, they are banking with us for a long time. It is not a new customer. They are banking with us for a long time. And because of the industry problem, they could not absorb the shocks, which they, so the account returned to be NP A.

Moderator: Thank you. Our next question is from the line of Rohan Mehta, who is an investor. Please go ahead, sir.

Rohan Mehta: Some of the questions I had have been answered, but you touched upon earlier about the branches that have recently been opened and plans to open around 19 odd new branches in the future. So if you could just shed some light on if you have any regions in mind specifically where the new branches would be opened? And the management's vision over the next two to three years in terms of geographical reach of the bank across India. If you could shed some light on that, it would be helpful, sir?

S Krishnan: Okay. See, totally we plan to open about 50 branches during this fiscal. In fact, a

similar question earlier also I have said, what I have said is the bank is looking into the potential centers where we will be able to get a good business and also spreading to the different geographies. But we make a thorough analysis of the potentials available, keeping in mind the philosophy of the bank, the strength of the bank, and then we go for the expansion.

So that is all it is being done. We will be in the next two to three years, we expect that we will be having expanded reach in almost all the parts of the country. That way we will be able to make it as a pan -India bank.

Rohan Mehta: Okay, okay, sir. That's great to hear, sir. Sir, also, is there any strategy in place to keep NPA levels at as minimum as possible?

S Krishnan: Yes, the strategy is, I said we will be keeping the NPA number at below two, that is what the guidance I gave. We will be able to maintain that. We have a very strong monitoring team who are able to monitor on a day -to-day basis almost all the accounts, irrespective of their quantum. It has been distributed at the regional level and also the HO level.

We hand -hold the branches. The officials at both the region and the HO, wherever needed, they even directly interact with the customers, understand the problem, and we are able to, with the close monitoring, we are able to arrest the slippages.

Rohan Mehta: And, sir, what would be the current stressed asset level ratio at present?

S Krishnan: One minute. I think I have given the stressed assets ratio in the presentation. I will just tell you. One minute. My stressed assets ratio stands at 3.23%.

Rohan Mehta: Okay, and it's likely to remain at similar levels for the entire?

S Krishnan: It will continue to be, or it may even come down because I don't expect much. So, if you look into the last three quarters, it is almost flat. It is around 3.19, 3.2, or 3.23.

Like that, it is almost flat. Understood.

Rohan Mehta: Understood. Okay, sir. Just one last question, sir. If you could give your opinion on any regulatory developments that are expected that might impact the banking sector in general or our bank's operations in the near future?

S Krishnan: The regulatory, this one, against your question of, you said the expectations. The expectation is that there may be an increased risk rate for the unsecured loans. And,

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as far as my bank is concerned, my unsecured portion is very , very minuscule. So, I don't have any impact. I don't expect any impact for my bank.

Moderator: Thank you. Ladies and gentlemen, that was the last question of our question -and-answer session. I would now like to hand the conference over to Mr. S. Krishnan for closing comments.

S Krishnan: Thank you. Let me thank all my friends, the analysts, who took the pains of joining this conference call in the late evening. My special thanks to one and all. My special thanks to the arrangers who made it an excellent one. And, hope to meet you very quickly. Thank you very much. Thanks a lot.

Moderator: Thank you. On behalf of Tamilnad Mercantile Bank Limited, that concludes this conference. Thank you for joining us. And, you may now disconnect your lines.

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Call: Jan 2024

Secretarial Section
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Ref.No.TMB.SE. 154/2023 -24
30.01.2024

The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor, Plot No. C/1,
'G' Block, Bandra - Kurla Complex,
Bandra (East), Mumbai - 400 051. The Manager,
Bombay Stock Exchange limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.

Ref: Symbol: TMB / Scrip Code: 543596

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call – Q3 Results

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform that the transcript of the earnings conference call hosted by the Bank on the Unaudited Financial Results of the Bank for the quarter and nine months ended December 31, 2023, has been made available on the Bank's website at the following link:

Transcript of the Earnings Conference Call – Q3 Results

We are also attaching the transcript of the earnings call with this intimation.

Yours faithfully,
For Tamilnad Mercantile Bank Limited
Prakash Chandra Panda
Company Secretary and Compliance Officer
Membership No: ACS 22585

Tamilnad Mercantile Bank Limited

Q3 - FY 2023 -24 Earnings Conference Call

January 22 , 2024

Management : Mr. S. Krishnan, Managing Director & CEO

Tamilnad Mercantile Bank Limited
January 22 , 2024

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Moderator: Welcome to Tamilnad Mercantile Bank Limited Q3 and 9 -month FY '24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing "*", then "0" on your touch -tone phone.

This conference call may contain forward -looking statements , which are based on the beliefs, opinions, and expectations of the bank as of the date of this call. These statements are not a guarantee of future performance and involve risks and uncertainties that are difficult to predict. Please note that this conference is being recorded.

I now hand the conference over to Mr. S. Krishnan, Managing Director and CEO, Tamilnad Mercantile Bank Limited. Thank you, and over to you, sir.

S. Krishnan: Thank you very much. Good evening, my friends. I am happy to share with you the performance of the bank for the Q3 ended December 2023.

The Board of the Bank today morning met and adopted the results, unaudited limited review results for the quarter ended. The details of the results have already been uploaded along with the presentation, both at the bank's website and also the sites of both the stock exchanges. I am sure that my friends should have gone through this. Nevertheless, I will quickly give the highlights of the performance for the Q3 for the immediate reference of my friends.

The total business increased to 85,185 crores from 78,242 crores year-on-year. As far as the shareholders' values are concerned, the net worth has been increased to 7,668 crores from 6,741 crores. The book value of the share is 484.25 as on the 31st of December against 435.69 year back. The earnings per share is 17.95 against 17.27 as on the 30th of September.

The other key ratios like when we talk of the asset quality, the gross NPA is continuing at almost the same, 1.7 as on the 30th of September, which has come down to 1.16. So, also the net NPA from 0.99 to 0.98 indicates that the asset quality is maintained. The return on assets is 1.93 for the quarter against 1.89 of the previous quarter. The return on equity is 15.11 against 15.01 as on the previous quarter.

The NIM, I can say that, by and large, it is at the same level. So, slightly differ by 2 bps to 4.08 during the Q3 against 4.10. The credit cost has been well contained which has come down to 0.06. The last quarter we had a little higher slippages which I explained to you last time. Because of that, the credit cost was 0.83. Otherwise, this quarter, the slippages has been contained. So, also the recovery and upgradations are almost matching to that which resulted in a very lesser position which has resulted in the credit cost to 0.06%.

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The other interesting factor is on the SME front. The SME was 8.41% a year back, which has been brought out to 5.34%. And even if you look into all the categories of SMA -0, 1, 2, almost in all the cases, we are able to window except the marginal increase in SMA -2 by about 94 or so, which is a negligible one. Otherwise, it is just at 1.46% as far SMA -2 is concerned. 0, 1 have also been substantially brought down.

The stressed Assets ratio is at 3.08%, which was 4.01% a year back. The slippage ratio has been contained to 0.21 for the quarter of December against 0.82 in the last quarter. As far as the profitability is concerned, the net profit is 284 crores. And the net interest income is 537 crores, both of which are the highest in any quarter of the bank in the past history.

So, that is what in brief let me put to you. And I open the forum to my friends for interaction.

Thank you.

Moderator: Thank you very much. We will now

begin the question-and-answer session. The first question

is from the line of Lakshminarayanan from Tunga Investments. Please go ahead.

Lakshminarayanan: Good evening. Couple of questions. Sir, when we started the year, we said we would actually have at least 50 branches open. But I see that we have opened only around 17 branches cumulatively in the first nine months. In fact, we just reiterated that three months back that our expansion will continue. So, I just want to understand why is that our expansion is a little low.

S. Krishnan: So, the other branches have been identified. The premises are work in progress, most of the branches. So, expecting it to be opened very shortly. Thereby we feel that we'll be able to achieve what we estimated as 50 before the year end.

Lakshminarayanan: Sorry, sir. So, how much do you intend to open in this quarter?

S. Krishnan: In this quarter, see, we have opened 17 branches already. Originally, we planned for 50. The rest of that is expected to be opened during this quarter.

Lakshminarayanan: All the 33 will be opened in the next two, three months.

S. Krishnan: Yes. 17 was opened in nine months, as you observe, and the rest of the 33 will be opened during this quarter.

Lakshminarayanan: Sir, the second question is that in terms of total assets, from where we exited in last financial year to nine months down, we are only 2% up. Now, is it a system issue or an internal issue that our growth is actually very, very underwhelming?

S. Krishnan: Sir, can you repeat? You are talking about the total assets growth?

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Lakshminarayanan: So, the total advances for us, what I understand, has been remaining flat for the last two, three quarters. I just want to understand your view, whether it is a system issue or an internal issue.

Why we are not growing?

S. Krishnan: See, my advances have increased by about 10% year-on-year, if you look into, has increased by

10%. Last year, December, we were at 34,802 and now we are at 38,386 crores. We have grown by 10%. And as I was telling you that normally the momentum comes in Q3 and Q4 of the financial year. All these banks and that is what is happening. And accordingly, we expect that we will be able to achieve. We gave guidance to the street of growth of around 12 to 15%. I expect that we will be able to grow by 12% overall for the current year. We have already grown by 10% and I expect that we will be able to make it to 12%.

Lakshminarayanan: Because I was comparing the exit of FY '23, we were around 37,600 and we are around 38,000 only. So, the last three quarters, quarter-on-quarter, there has been almost flat. Since this question. So, the third question is regarding the advances in agriculture. How much is gold-backed loans in this? And as a product, how much of our advances is actually gold advances?

S. Krishnan: Most of them are in the gold advances as far as agriculture is concerned. Most of them are in the agriculture Jewel loan. We have grown by about 852 crores during the quarter.

Lakshminarayanan: So, what is the total?

S. Krishnan: It is the total growth of 585. In agriculture, the growth is around 585 crores. There is also a seasonal tax rate which was given for various food and agro industries. So, there was a reduction of around 263 crores and the increase in the loan alone is around 852 crores.

Lakshminarayanan: Sir, in terms of MSME sector, which has been, you know, we are very strong in MSME sector, but that sector has actually been not growing in the last three quarters. Is it because we have slowed down consciously MSME sector or MSME sector itself is not growing? Like why is that our growth is not coming in MSME advances?

S. Krishnan: So, it is not that we consciously slowed down the growth. There is no such call. Still it continues to be our focus

sector. One which I have to say, is that subsequent to the COVID when there was moratorium and also the GECL which you will be knowing, the repayments started now. Now the repayments are also bringing it down. So, in addition to that, we have to go. That is the normal one. So, there is a little risk and the industry also, MSME currently if I have to see are still to come up. If you look into the industry as a whole, the capacities where the new capacities are coming, now we have seen that there will be large investments in Tamil Nadu, more particularly the southern part of the Tamil Nadu, that too in Thoothukudi. So, when we get specific, there will be new MSME units will be coming and the capacities will also increase. So, that will also give a boost to us. But our focus continues to be MSME. Hope that we will be able to improve that.

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Lakshminarayanan: And what is our yield on MSME, agriculture and retail sector as currently?

S. Krishnan: The agriculture yield is 9.15. The retail is 9.53. The MSME is 11.32.

Lakshminarayanan: Sir, in the last quarter, there was one large account which became an NPA. I just want to understand what is the status of that? How is that shaping up?

S. Krishnan: The recovery proceedings are ending. We have invoked all the recovery measures. First, we started querying and also talking to them. We hope that we will be able to get the recovery soon. Some of the recoveries, I expect, very shortly.

Moderator: Thank you. The next question is from the line of Jeffersen S, who's an individual investor. Please go ahead.

Jeffersen Esch: My first question is, for the past seven, eight years, the rate at which we grow our top line is in the range of 4% to 5% on a compounded basis. In the case of advances, it is around 7%. So, currently, we are sitting at a capital adequacy of about 25 to 26, which is way higher than the regulatory requirements. So, my question is, are we being too conservative here? Like, can we afford to be a little more aggressive in disbursing the loans?

S. Krishnan: See, we are in the sense, as far as the critic is concerned, we always go for the secured lending. We keep the asset quality on the topmost one. So, we go for the secured lending. In the secured lending, yes, we are aggressive. We are also turning our vision and we also go for then how can I reduce that? Can I go for the mixturization? All those are in process. But we keep in mind the secured security aspect and then call on that because we are more particular on asset quality.

Jeffersen Esch: And my second question is, actually, I had a question on opening up 50 new branches by the end of this fiscal year, but I think it got answered. But just to summarize what you have said, we will end FY '24 with a total count of 380 branches across India. Is that correct?

S. Krishnan: Yes. 340 it is not 300. 347 we have and we will end up with another 33.

Moderator: Thank you. The next question is from the line of Sonal Minhas from Prescient Cap Investment Advisors, LLP. Please go ahead.

Sonal Minhas: This is Sonal Minhas. Sir, I have two questions around the slippage. One is more around any near-term guidance you want to give around slippage because last quarter there was kind of an upward blip in the number. Is there anything, like, should we be factoring in that your slippage should be in the range of 0.2 to 0.3, 0.4, anything around that? That's one. And secondly, more from a risk control measure because we saw last quarter, there was a large

MSME account and there was a large other account which slipped basically. So, under your tenure or maybe let's say, going forward, what are the ways in which we are trying to see if there
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are any early warnings

around such accounts slipping? And what are we doing about it?

Anything which you've changed as an institution in the last one or two quarters? Just want to get a subjective understanding of that.

S. Krishnan: Let me say that the expected slip page, I don't expect any such big account in Q4 as it was in Q2. I gave the guidance that the gross NPA would be below 2, and stand by that data should be below 2. That is number one.

Number two, as far as the systems what has been put in place to ensure that is, which will be very, very visible from the SMA which has been brought down to 5.34 from 8.41 or so a year back. That itself is the volume that we are able to have an enhanced monitoring mechanism, which enables me to ensure that going forward, the slip pages will be curtailed to a great extent. We have put in place the monitoring group, both at the corporate office and also at the regional level, based on the quantum, which has been assigned, and there is a great team of officers who are working on the monitoring, instead of going and knocking the doors on beyond the (inaudible 17:57) today or whatever it is, we start monitoring from day one itself. So, this enables me to increase my recovery collection efficiency ratio. And I hope that based new system, what we have put in place will help the bank to a great extent to compare their slippages. Every day morning, I have on my dashboard as to what is their slippage and what is their potential slippage. We have such a system. So, that potential is being followed up at various times, including wherever required, I myself also follow. As I said, these data are coming to me to my dashboard on daily basis. So, this system has helped to curtail, which is evident from this quarter itself. As I said, the credit costs will be 0.06 and the slippage is 0.21. So, this will continue like this. I expect that whatever we give, the guidance, it will be continuing this. Sonal Minhas: Sir, I have a second question, if I may ask. Sir, I see the deposits actually falling down and large part of that is linked to, I think a bulk deposit on one side, maybe shrinking. But just wanted to broadly understand your deposit and CASA strategy. Since you are opening branches and assuming the branches feed into your CASA, any guidance, anything which you're changing on your CASA, on your term deposits, which we should know for the next two, three years outlook, that will be helpful, sir.

S. Krishnan: See, as you have observed, the deposits coming down and there again you have also observed that the bulk deposits have come down. It's true. If you look into my bulk deposits have come down substantially on every quarter. It is a conscious decision. As I said, we are more cost conscious. Today, if you look into the cost of deposits for every bank, including the TMB, it's going up. And it's very interesting, it's a great demand. Such a great decision, as I said, we are cost conscious. So, we consciously, efficiently manage the funds. That is why the deposits have gone down, which even with that, there is an increase in the cost of the deposits, which we have seen. Otherwise, the NIM might have been affected further. We are able to maintain the NIM just 2 bps. So, that is the reason.

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Otherwise, if you look into the CASA, this quarter, the CASA has increased. The CASA has increased year-on-year in December by about 7.88%. That is what the year-on-year growth as far as the CASA is concerned. As far as the CASA strategy is concerned, we have formed a separate vertical for this, both at the HO and also at the regional offices. We have dedicated people for this. The HO, there is a separate vertical, who sits at Chennai who are able to go and meet the various big corporates, customers, get their accounts,

their salary accounts. We have

a lot of education institutions down south where we are the bankers. So, all the teaching and non-teaching staff from salary accounts are being taken by us. We also go for a free collection. These are some of the strategies which we are adopting. We started using the resources. I hope that this will continue in the days to come.

Sonal Minhas: This explains. And as you open more branches, anything which we are doing to attract more retail CASA, if I may just slip in a question there?

Moderator: Can you repeat? Have you opened a few branches?

Sonal Minhas: Sir, as you open new branches, what's the strategy to actually get the retail CASA? Like, example, customers like me or somebody who...

S. Krishnan: As we open the new branches, now new branches we open after making a good study of center

potential and our understanding of that . With that we are opening these branches and these branches , some of the branches are credit oriented . Some of the branches are deposit oriented . I can give some numbers which I have . Probably the 17 branches which I opened during this current fiscal in the nine months , the CASA ratio of all these branches put together is 39.41%. So, that gives me a good edge .

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead .

Saket Kapoor: Sir, firstly , if you could give what is our current CD ratio ?

S. Krishnan: It is around 82 %.

Saket Kapoor: And any comparative number ? Last year what it was ? Have we improved on the...

S. Krishnan: It is now 82.02 and last December it was 80.11.

Saket Kapoor: And sir, going ahead , what do we envisage , how this ratio will be one year down the line?

S. Krishnan: We will be around this . We will be around this number .

Saket Kapoor: Sir, when we look at the granular detail of our loan portfolio on the liability side, it is we are more towards this MSME segment , the MSME segment . So, how is the granularity going to be

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when our size grows ? What portion of our loan book is towards the corporate segment currently ?

S. Krishnan: No, corporate segments we are not , we focus on the MSME . We focus on the RAM segment , I can say , only a broader one and not on the corporate , but we don't say that the corporate we have closed the door. If you look into the overall composition , my RAM is 91% and the corporate and othe rs are just to 9% of the total advances . So, we focus on the RAM segment which will continue to be our focus.

Saket Kapoor: One more point was about this 56 crores rupees ad -hoc wages part , sir. In which quarter has this provision being made of 56 crores ? It was mentioned in the notes .

S. Krishnan: We have been making this provision for the past about 14 months we have been making the provision. R ight. But this quarter alone , in addition to the normal position what we were making , this quarter alone we have made 14 crores additionally , this quarter alone in addition to what we were making regularly and the total will come to this l evel.

Saket Kapoor: So, then why have we referred this to this 56 crores rupees figure ? What is this ?

S. Krishnan: No, that is a total provision that is outstanding . It is basically to say that we hold a total provision of 56 crores towards the institutional matter .

Saket Kapoor: And that has flown through the P &L.

S. Krishnan: So, this quarter alone we have made totally 23 crores . Regularly we make around 9 crores per quarter . This quarter I made additional provi sion of 14 crores . That has come to 23 crores and the overall is 56 crores .

Saket Kapoor: Sir, come again. For this quarter , the impact is higher by 14 crores than the normal provision .

S. Krishnan: Yes, yes, higher by 14 crores in this quarter .

Normal provision we make 9 crores and the total cumulative which I hold today is around 56 crores .

Saket Kapoor: And this 56 crores is for the nine -month FY '23.

S. Krishnan: No, not for FY '23. Overall, it will be flattened for this 9 months I can tell you . 55 crores is during 9 months period. Sorry, 45 crores is during the 9 months period and 11 crores was in the previous year.

Saket Kapoor: And out of this 45 crores , we have done 23 crores in this quarter itself.

S. Krishnan: In this quarter. In this quarter.

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Saket Kapoor: Sir, going ahead, again , we will have the impact for the four th quarter also ? For the 4th quarter also, this will continue , this provisioning of ad -hoc wage revision.

S. Krishnan: Yes, but we are yet to start of the negotia tion of the wage revision. We are not talking to the IBA settlement . Our bank is not talking to that. We have our own settlement. As a proactive, we started making provisions from November 22 itself, in line with what other banks are having. That is a proactive measure. So, we started making a small scale and now we have made additional 14 crores this time as we expect to be in this quarter only I have made . So, it depends on the negotiation. I don't expect that there will be much of one , maybe the next quarter , there will be some requirement.

Saket Kapoor: So, next quarter also, this 9 crores number will be there, sir.

S. Krishnan: Will be there. Will be there.

Saket Kapoor: 9 crores . As you mentioned that you are not agreeing to the IBL A provision percentage. So, what is the differential amount between what they are seeking and what we are provisioning?

S. Krishnan: We have a different wage structure than what the IBA has. We have the fixed variable pay like that to my employees, but we don't want to write it down. So, there is next to one, some old employees have got pay structure similar to what the IBA is having. The employees who are joining after we have that update, they have totally different pay structure. And even for the old employees, we are not party to the IBA settlement. So, we make a separate negotiation, a separate agreement with my own employees' association.

Saket Kapoor: Sir, you spoke about the Q3 and Q4 will be growth numbers as they pick up in the economic activities, and then there will be higher disbursement of the loan. So, taking that aspect into account, where are we, sir, in terms of ending the year with what we were guiding for 15% interest and growth for this financial year when we compare to last year? So, are we in the vicinity of closing the year?

S. Krishnan: Yes, yes. I gave the guidance of 12 to 15%. So, hope that we are still in the vicinity of that. That 12 to 15% of the guidance what I gave, and I hope that we will be able to do that. We will do in that band.

Saket Kapoor: And for the year, sir, what should be our exit rate for our ROA, NIM, and other important parameters?

S. Krishnan: ROA, I gave the guidance of 1.75 to 2, and definitely the guidance, we are not revising. That will continue. And then ROE, you asked about ROE. We gave the guidance of about 15. That will again continue. We will go to that.

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Moderator: Thank you. The next question is from the line of Vignesh Venkatachalam, who is an individual investor. Please go ahead.

Vignesh Venkatachalam: My question is on the advances. We talked about confidence on RAM sector, and that I can see in the MSME, the year-on-year growth is not that much compared to agriculture. Agriculture has been 25% has been growth in the advances. Is there any particular reason or how we can present in the future quarters?

S. Krishnan: Well, it is not any particular reason. As I was explaining, as far

as the MSME is concerned, the

MSME, I can say that after the COVID itself, the coming up of the MSME is a little slow. I was telling that the MSMEs normally come in large scale when there are new capacities of the large-scale industries. Whenever the new large-scale industries, the capacities come, the mushroom of the MSMEs will be there. And added to that, unfortunately, we had a big hit in the country of COVID, where these people, the MSME are very agile. So, they were affected. So, that coming up also takes time. All these have resulted in the growth also. So, that is the reason. Year-on-year, the MSME growth and added to that another point is that the retailers have started for the GECL and also where the moratoriums were given, all those have started. And we have looked into that slippages are under the control. So, the recoveries when it gets started, the recoveries also contribute to these. That is the reason why the growth is 1.51% only against the agriculture growth of 35%. So, we still focus on that. We also have brought new products for operating the MSME, like in which we create MSME for the MINI LAP, because there are many people who are not able to have proper, this one, small, particularly the micro loan.

Similarly, we have got the GST loan, and very shortly I am going for digitalization. We will be launching GST loan Digital One, where it will be a very ease of convenience for the customers to have the facility. So, these are some of the steps which we have taken. In addition to that, I told in the last meeting also that we have constituted a large MSME hub in different places. It is getting stabilized. I hope that this will contribute to a greater extent in the months to come.

Moderator: Thank you. The next question is from the line of Lakshminarayanan from Tunga Investments. Please go ahead.

Lakshminarayanan: Sir, last call you mentioned that you have implemented a loan processing software and also trying to make some hubs around the MSME disbursement. What has been the progress? How things have panned out on these two things?

S. Krishnan: What we have done is we have finally taken for the retail and also the MSME, the digitization. As far as the retail is concerned, few of the products like the home loan, the vehicle loan, the gold jewelry loan, these all will be made (Inaudible 35:36).

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Lakshminarayanan: I didn't hear it, sir. Sorry, sir. Your voice wasn't clear, you said gold loan and vehicle loan, then after the jewel.

S. Krishnan: Vehicle loan and also the gold jewel loan.

Lakshminarayanan: You have digitalized.

S. Krishnan: Jewel loan has been automated, so that my TAT can also come down. And simultaneously, we have also engaged with another service provider for digitalizing the MSME stream . And these are in advanced stage. I expect that this will be rolled over very shortly. These are in advanced stage of testing and the audits are going on . I expect that this will be rolled out very shortly where I will be able to have one. Whereas, already said the customers can digitally , sitting at their place of convenience know their eligibility for the loan based on the GST returns, which we call as "Do It Yourself ", and second, they can also apply for the GST loan through the digital mode . The process has been totally automated where it will be able to give in-principle sanction immediately, or otherwise , whatever it is. And the entire process , will be automated, with the proper escalation matrix , wherever required, so that the phygital is also possible. It's not only the auto -digital one. There is also phygital , there is the assisted journey, because the customers of my bank, some of them may be able to have straight through entry in the digital. Some of them may require an assisted journey. So, we are

also providing the assisted journey. These are in the advanced stage. I expect that this will be rolled out very shortly.

Lakshminarayanan: And in terms of creating the hubs for MSME loan processing, I think there have been, last call or so, you mentioned something on that front, sir .

S. Krishnan: We have created the MSME hubs in different locations. These MSME hubs are getting stabilized. We have posted exclusive relationship managers for these hubs. And these hubs are being headed by experienced, seasoned senior -level people, where they can take quick decisions. The whole advantage of this structure is that the sourcing and underwriting is totally segregated. Thereby, I ensure a better underwriting quality . With the digitization or automation, it will be further enhanced. The underwriting process will be further enhanced. That can be brought down because today everything is being done only by the branch. The branch is basically, I see, because my view that the branch should be a delivery channel where they can deliver to the customer. So, the other things ought to be taken care of by the back office. That is the whole purpose why this MSME hub has been brought and is specialized to experience the people who have been posted there. So, these things will lead the results in the months to come.

Lakshminarayanan: I have two more questions. The first question is, in terms of your replacement, we had approached RBI with three different candidates. So, what has been the progress ? There has been some back and forth with RBI, or it will take its own time?

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S. Krishnan: Sir, it will take its time because RBI has to , they have their own process of due diligence. It is with RBI. So, we expect that.

Lakshminarayanan: The last question is, when you started the year, you would have had some plans in terms of various things. Which of the areas actually is in your , some of them would have disappointed you in terms of any specific business activities or so. I just want to understand which of the things have done well as per your expectations and which are the ones which have not done well as per your expectations ?

S. Krishnan: See, my expectation was that, basically, I wanted this year that there should be , there are systems procedures, the risk management systems and the control , the compliance are to be enhanced, so that there will be a smooth walk , subsequently. Simultaneously, it was also the digitalization . And we took the business process re-engineering project, which I told earlier also, which will enable me to have a relook on all my processes, the products, and fine -tune them wherever required, which will enable for enhancing the business. So, on the one side, enhancing the business, on the other side, enhancing the control digitalization , both will enable the bank to reach greater heights. I told that what has been achieved is that, yes, both have been achieved to a greater extent. That is what I have to say. Both the control measures and also on the BPR and also the digitalization. So, both have been achieved to a greater extent.

Lakshminarayanan: And on the other side, which are the ones which you thought would do well, it hasn't done well? Any activities or any specific business segments?

S. Krishnan: No, business segments, if you look into it , first, I should say that we are able to do better on the retail segment, definitely, able to bring in amongst my employees about the marketing. That is another great achievement I can see. The sense of, I can say, the rich culture, the compliance culture, the sense of compliance, the favor of compliance, had been brought in. Many things had been done on the IT side on the digitalization . All these are some of the things which had been done to a greater extent.

Moderator: Thank you. The next

question is from the line of Sonal Minh as from Prescient Cap Investment Advisors . Please go ahead.

Sonal Minhas: Sir, my question was with regard to the stressed assets. I just wanted to understand what,

sorry, restructured assets, sorry, and wanted to understand what portion of the restructured assets have been provided for already and anything you wish to speak about in terms of the trajectory of the restructured assets coming down or any NPAs coming off, lagging off from this particular part? Any subjective commentary, objective commentary will be great, sir.

S. Krishnan: See, let me say that the restructured advances totally as on the 31st of December was around 600 crores, 599.17 crores, against 896 crores a year back. So, that is the position. If you look into the NPA, the NPA in the restructured asset is 65 crores, against 92 crores in the year back.

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If I have the moment of restructured also, what else is slipped in the current quarter out of the restructure is just 3.89 cr of all the slippage.

Sonal Minhas: Sir, can you repeat the last thing? What is slipped, sorry?

S. Krishnan: The slippage, you also asked as to how they are behaving. The slippage in the restructured standard accounts during Q3 is only 3.9 crores. Out of the total restructured book of around 600 crores. So, the slippage is very low.

Sonal Minhas: And sir, how much have we provided for, again, the 600 crores that you speak right now?

S. Krishnan: I will tell you. We have a provision of around 58 crores for this restructured book. Let me also tell that we have additionally over and above all the regulatory provision requirements, we have additional provision of 250 crores kept separately towards any contingency on account of COVID.

Sonal Minhas: Which is not used and it might be used up.

S. Krishnan: It's a part for that.

Sonal Minhas: And sir, I wanted to understand the MSME segment. Others have been asking about this. We have been on calls of your peers as well who do a reasonable bit of MSME lending as well. Just wanted to understand, and this is largely South Indian focus bank, is MSME economy by and large in Karnataka, Andhra, Kerala, Tamil Nadu facing some bit of stress and it is coming out of it, or is it just that the CapEx hasn't happened in them as you were mentioning? Is there any broader macro data that you want to share about the MSME segment by and large across the four or five states that we are talking about here?

S. Krishnan: See, by and large, the MSME segment are picking up after the COVID pandemic. They are picking up. They are in the recovery path. So, I expect that they will be able to come to the normal cycle in the due course of time. They are picking up, in general, for the industry.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Sir, when we look at our nine-month performance on a comparative basis, we have grown our interest income in the vicinity of 18 to 19 percent if we compare nine months ending December 22, vis-a-vis nine months ending December 23, and you are guiding for a growth of 12 to 15 percent. So, is there likelihood that for the fourth quarter ending 31st March 2024, we are likely to degrow from what we have been doing for the last three quarters?

S. Krishnan: No. Why this one was my overall advances growth, my overall advances growth, if you look into, today, my advances growth is 10% for the nine-month period year-on-year.

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Saket Kapoor: 12 percent.

S. Krishnan: Yes. So, that I will grow by 12 to 15% what I said. What you are asking is about the interest income. The interest income is based on the advances.

Saket Kapoor: So, what should be like this growth

number of 18, 20% what we have seen for the nine months, this is likely to continue going ahead also?

S. Krishnan: No, that is why I took it along with the NIM because the interest income and the interest expenses both will be there based on the deposits and advances. So, it will always be better to measure through the NIM instead of the interest income on object number. For NIM, I gave the guidance of about four, which we will be continuing definitely.

Saket Kapoor: Sir, we have also seen that our cost of fund has been increasing with the revision, I think, so for the deposit rates. So, what likely would be the cost of fund going ahead? This quarter also, quarter-on-quarter, it was 11 bps upward, so now far to 5.9. So, what should be the cost of fund going ahead? We are guiding for the NIM to be maintained, then this arbitrage will remain for 4%.

S. Krishnan: Yes. Arbitrage will remain at 4%, as you rightly said. Then we talk of the NIM. If you ask the cost of funds in particular, cost of funds may increase by about 8 to 10 bps in the next quarter, that is Q4.

Saket Kapoor: Sir, going ahead say two, three years down the line, we will be a bank always focused towards

the MSME segment only and having a larger portion of towards the RAM part only or are we trying to increase the pie going ahead with more of digitalization and other things into our forte that we would be able to detect stress in the system and thereby improving the product market also? So, what should likely be the growth journey from here, sir?

S. Krishnan: So, my focus will continue to be on the RAM segment. I will not say that MSME alone. My focus will be on the RAM segment. We continue to be on the RAM segment. And as you are also telling me about the basket, the RAM segment is slightly spread there. There is no concentration. In fact, that is a great advantage for me. That is why we are able to maintain the asset quality. My concentration will continue to be in the RAM segment, but not only on the MSME.

Saket Kapoor: Sir, this quarter I think there is a provision only for Rs. 2 crores. That is a significant reduction for quarter-on-quarter basis also. And year-on-year also, there has been a significant lowering of provision. So, this number is net of our recovery. That is what it should be likely. This 2 crores number?

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S. Krishnan: Yes. See, 2 crores is the provision which you are referring. This provision is coming after netting of the retrieval of the provision on account of recovery. Right? Now, my additional provision required is only just 2 crores. Last quarter there was a one-off high slippage which warranted a higher provision. That is why the Q2, the provisions were higher and this time it has come down, which has been reflected in the credit costs.

Saket Kapoor: And that number was also 100 crores, I think. So, last quarter the slippage was significantly higher. What is the status on the same, sir, on that account? How many accounts were involved?

S. Krishnan: One big account, one of the participants was asking about the status of that recovery. I told you that all the recovery measures have been initiated be it on capacity, be it on filing of suite, be it on the negotiation also. All these have been invoked. So, the process is there. I expect some recovery to the near future to begin with. So, last quarter the slippage was very high. That is the reason the provisions were also high.

Saket Kapoor: It was in which category, sir? It was in which sector the slippage happened of 100 crores? It was single account.

S. Krishnan: It was single account. It was a single account.

Saket Kapoor: In which sector it was attributed to?

S. Krishnan: Not MSME. In other.

Saket Kapoor: It is in the other segment.

S. Krishnan: Yes.

Saket Kapoor: And we have sufficient coverage. The

last point was that we have sufficient asset backup to that, or will that result in two accounts?

S. Krishnan: We have assets that, in fact, our bank, we always focus on the collateral in addition to the primary securities.

Saket Kapoor: So, there is no threat to the recovery part. Once the process continues going ahead, we can recover from the sale of the collateral?

S. Krishnan: We don't initiate that.

Saket Kapoor: The account will return to normalcy going ahead. That is what the indication is.

S. Krishnan: The indication is that we will be able to recover the amount, but it has its own process.

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Moderator: Thank you very much. We will take that as the last question. I would now like to hand the conference back to Mr. S. Krishnan, MD and CEO, for closing comments.

S. Krishnan: Thank you for sparing the time. Particularly today, the market has been declared a holiday. It is great that all of you have taken the time to interact. It is always my pleasure to interact with you. Thanks once again. We will also see whether can we have a personal meeting in the near future. I will let you know, and I will be more than happy to meet you all in person. Once again, thank you all.

Moderator: Thank you very much. On behalf of Tamilnad Mercantile Bank Limited, that concludes this conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your call.

Call: Apr 2024

(no extractable text — likely a scanned image PDF)

Call: Nov 2024

(no extractable text — likely a scanned image PDF)

Call: Feb 2025

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Ref.No.TMB.SE. 185/2024-25
03.02.2025

The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor, Plot No. C/1,
'G' Block, Bandra - Kurla Complex,
Bandra (East), Mumbai - 400 051. The Manager,
Bombay Stock Exchange limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.

Ref: Symbol: TMB / Scrip Code: 543596

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call – Q3 Results

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform that the transcript of the earnings conference call hosted by the Bank on the Unaudited Financial Results of the Bank for the quarter and nine months ended December 31, 2024, has been made available on the Bank's website at the following link:

Transcript of the Earnings Conference Call – Q3 Results

We are also attaching the transcript of the earnings call with this intimation.

Kindly take the information on record.

Yours faithfully,
For Tamilnad Mercantile Bank Limited
Swapnil Yelgaonkar
Compliance Officer
Membership No: ACS 21877
Tamilnad Mercantile Bank Limited

Q3 - FY 2024-25 Earnings Conference Call - Transcript

January 29, 2025

Management: Mr. Salee S Nair , Managing Director & CEO
Mr. Vincent Menachery Devassy, Executive Director
Mr. P. A.Krishnan, Chief Financial Officer

Tamilnad Mercantile Bank Limited
January 29, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 and 9M FY '25 Conference Call hosted by Tamilnad Mercantile Bank. This conference call may contain certain forward -looking statements based on the beliefs, opinions and expectation as on the date of this call. These statements are not the guarantees of future performance and involve certain risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the

conference call, please signal the operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Today on the call, we have with us the following management representatives: Mr. Salee S. Nair, Managing Director; Mr. Vincent Menachery Devassy, Executive Director; and Mr. P. A. Krishnan, Chief Financial Officer.

I now hand the conference over to Mr. Salee S. Nair, Managing Director. Thank you, and over to you, sir.

Salee S. Nair: Thank you. Thank you for introducing the team here. In addition to the 3 that you mentioned, I also have Mr. Ashok Kumar, who is looking at our Resource Mobilization as well as Anand Ganesh, who is our Head of Credit.

At the outset, let me apologize for being a little late. I know the presentation has been loaded a little, perhaps not as early as you would have probably wanted. We did have a tight schedule at the Board and this the Board meeting did go on for some time. But anyway, coming back to the quarter 3 performance of FY '25 of Tamilnad Mercantile Bank.

If I look at the operating profit that has improved from INR 370 crores to INR 408 crores, that's a growth of 10% year-on-year. The numbers I am quoting are all year-on-year. The net profit is again crossed INR 300 crores for the second time in the bank's history. It is up 6% year-on-year from INR 284 crores a year back to INR 300.24 crores.

Non-interest income has delivered a salutary performance with INR 189 crores, up from INR 158 crores, which is an increase of almost 20%. Gross NPA has decreased to 1.32%. A year back, it was at 1.69%, that's an improvement of 37 basis points. Net NPA likewise has also seen a sharp decline to 0.41%, 41 basis, from 0.98%, an improvement of 57 basis.

PCR. On book PCR has increased to 69.07%. In fact, I did mention that we will try and achieve the 70% mark by March. We have been on our way to that. And overall, the PCR is including the return of account is at 93.21%.

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The total SMA to gross advances has also reduced. It has come down 157 basis points since the last year, and it currently stands at 3.77%. The capital adequacy ratio has increased to 29.35%, a jump of 340 basis points from last year.

The book value of the share has likewise increased from INR 484.25 crores to INR 550.38 sorry, INR 485.25 to INR 550.38. The total business growth for the third quarter year-on-year basis crossed 10%. This is in fact the highest business growth that we have achieved in the last 14 quarters and that if you look at the quarter-on-quarter growth that has been achieved and also the growth, the business growth that we saw in FY '24, and I don't know how many of you have accessed already to the presentation.

We are seeing a graph trending up. For example, in FY '24, the total business growth that the bank achieved was 4.8% and now it has inched up in quarter 1 to 6.8%, quarter 2 to 7.8% and in quarter 3 it has crossed 10.4%. So that's the focus that we are bringing into the business is beginning to pay off.

It's early days, but we noticed that clearly, the green shoots are there. Likewise, on the deposit, an area of weakness for us, has also seen

a similar growth. In fact from FY '24 where the growth was very, very muted at 3.7%; it has doubled to 7.7% in quarter 3 FY '25.

And advances, of course, has delivered a year-on-year growth of 13.7%. So that is something that in both the deposit and advances, if you recall my last conversation with the investor community, I did mention that we will cross 7.5% in deposit, we have done that. I mentioned that we will cross 13% in advances, we have again done that.

On the shareholder values, if I just take the net worth, I did mention that our capital adequacy stands at 29.35% and that's riding on a net worth of INR 8,715 crores. Today, the leverage of the bank is just 6.5%, that's a fairly acceptable leverage. The book value of the share stands at INR 550.38 it is. It has jumped from INR 522.37 to INR 550.38 and earnings per share that the bank delivered for the quarter is INR 18.96.

Now if I look at some of the key ratios. The net profit, as I mentioned, has crossed INR 300 crores, again for the second time. If you recall, it was at INR 303 crores for the quarter 2. And this quarter also, we managed through efforts to take it beyond INR 300 crores, it's at INR 300.24 crores. The operating profit is at INR 408 crores.

The net interest income is at INR 570 crores, up from INR 537 crores a year back. The gross NPA has been consistently moving trending down the last 4 quarters and stands at 1.32%. I just mentioned that. The net NPA at 0.41% has also seen a trend down, if you have accessed to the presentation and evaluating the presentation you would notice this.

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PCR, as I just mentioned, is at 69%, it's an on-book PCR. The return on assets is at 1.89%. That it's almost flat, I would say, but maybe a little lower than what we achieved last year of 1.93%, and the return on liquidity is at 14.44%, slightly down again from 15.11% achieved last year. The credit cost is at almost 0.08%. That is just 8 basis, pointing to the kind of quality that we are delivering on the credit. The cost of funds has moved up from 5.92% in the previous quarter and 5.90% in the previous year to 5.99%.

And the cost-to-income ratio stands at 46.31%. And when I talk of cost of funds that also includes the cost of deposits, which stands at 5.97%. Yield on advances is at 10.17%, that, if you look at the presentation, has come down from 10.47%. But if you recall, there was a technical return of account recovery, interest recovery, which had sort of increased the net interest income and consequently in yield on the advances.

Net of the interest recovery, we have mentioned also in the presentation, excluding the recovery from the technical written-off account, the yield on advances has moved up quarter-on-quarter. In fact, it has moved on year-on-year as well as quarter-on-quarter. Last year, it was 10.13%, it has moved up to 10.16% this quarter, quarter 3 of FY '25, as well as it was from the previous quarter at 10.11% also, it has moved up.

On the NIM, I did mention that we will try and defend the 4% NIM. It is actually at 4%. This quarter, we did not have the advantage of any technical written-off account, the interest sort of helping us in the net interest income. So net of that, if you look at, again, the net interest margin, if you remove, exclude the interest on advances and the collection sorry, and then advance the technical written-off accounts, it has been almost flat or maybe slightly up.

On quarter-on-quarter, if I tell you the numbers, first quarter of FY '25, it was 3.97%; quarter 2, it was 3.98%; and stands today at 4%. That is on the net interest margin. NPAs, I just mentioned, stands at INR 576.38 crores overall and is up 1.32%, and that's been trending down in the last 4 to 5 quarters. Net NPA is INR 177.59 crores, translating into 0.41%.

If I look at the NPA sector-wise, all across

it has come down, the gross NPA has come down --

it was year-on-year, it was last quarter, last Q3 of FY '24, it was at INR 649 crores, it came down to INR 576 crores. And the reduction is reflected in all segments other than the others, where I can show you a little later that how we are managing the portfolio with substantially reducing the portfolio in view of the stress element there.

So in the slippage, we are down to 13 basis points. Slippage ratio is 13 basis. Total slippages for the quarter was just about INR 54 crores; INR 6 crores of that being contributed by retail, INR 13 crores by agri, MSME at INR 29 crores and others at INR 6 crores.

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The NPA, when I look at the NPA in quarter 3, the NPA, which was at INR 584.45 crores and as of 30th of September 2024, got reduced through a cash recovery and upgrade of INR 61.92 crores and slippages which was INR 53.85 crores combined aggregated the final number is a reduction from INR 584.45 crores to INR 576.38 crores.

SMA likewise, if I look at the SMA, SMA has also come down. Overall SMA has come down from 4.16% to 3.77% that is quarter-on-quarter and year-on-year from 5.34% to 3.77%. That's a substantial decrease. And SMA -0, SMA -1 and SMA -2, the contributions are more or less on equal terms.

SMA -0 contributed 1.36 %, SMA -1 1.18%, SMA -2 at 1.23% aggregating to 3.77%. The contribution of retail to the SMA is 1.72%, agri is 0.29%, MSME is 1.58% and others pretty much is getting cleaned up, so the SMA component of this is very low, is 0.18%.

And we have also added a slide on SMA plus NPA and the trend there. And this also, if you look at it year-on-year, SMA plus NPA together was at 7.03%, it is now down to 5.09%. So this number, 5.09% is both SMA, the aggregate SMA, SMA 0, 1 and 2 as well as NPA put together, so that's at 5.09%.

On the stress assets, which includes the NPA, gross NPA and the standard restructured assets, the bank stands at 2.16%. So overall, the quality of the portfolio is being maintained and perhaps in some sense, improved quite substantially.

On the deposits, when we look at the deposit, yes, there is certain concern on the CASA. The CASA number is flat year-on-year. Not only year-on-year, on quarter-on-quarter also it is flat. And I just I did mention last time that we are taking a series of initiatives to address this concern

and some of them have already been launched. I'll come to that later.

So but overall, the deposits has registered a year -on-year growth of 7.68%, which I said is double what we saw in the previous year for the bank. So like I said, the green shoots are beginning to show in the deposits. And this is the momentum is something we will try and continue going forward.

On the advances portfolio, the actions taken the numbers are responding to the actions taken already. And currently, the growth year -on-year is at 13.71%. Retail segment, again, has not been contributing has not contributed well in this. Again, we are taking certain measures there.

Agriculture has contributed substantially.

On the MSME front, I would like to state that there again, we have given a split of below INR 50 lakhs and above INR 50 lakhs and at the above INR 50 lakhs number, if you notice that it is going at 11.88%. We are seriously looking at the low ticket size items where we believe it is from a liability perspective expensive to operate.

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So this is one area where we'll be bringing an automated solution in the form of a business rule engine to tackle all these accounts so that we get quality and the numbers move forward after the complete data with due diligence is done.

On the RAM, RAM continues to be our bread and butter, contributing 92.39%. Like I mentioned earlier, the others category where we are conscious,

it has been has provided a bit of a stress to

bank. The stress has now been more or less been getting cleaned up. And yet we have not been growing this segment at all. Others is largely pointing to the corporate sector. And year -on-year, we have seen a 5.17% degrowth.

But despite that, as I mentioned earlier, the gross advances have moved up 13.71% year -on-year.

On the financial performance on the profit itself, as I mentioned, we entered quarter 3 with a quarterly profit of INR 300.24 crores. This is up 5.63% year -on-year, that is, it was INR 284.23 crores in Q3 FY '24, so it's just a 5.63% growth year -on-year.

And when you look at the 9 months number, in the 9 months leading up to 31/12/24, the net profit delivered is INR 890.71 crores, which is 8.76% year -on-year. The balance sheet side, of course, has jumped to INR 64,716 crores currently. And also, like I mentioned, we did take a few initiatives in the last quarter. And in fact, on the 2nd of June sorry, January this year, we have launched 3 initiatives.

The Global NRI Center has been launched and aimed at, as I was mentioning, about 4%, 4.5% of current deposit, share of deposit NRI share of deposit. We want to ramp it up over a 2, 2.5 - year period to 10%, which I mentioned that last time. We have taken this initiative to make that happen. So this Global NRI Center has been launched.

We have also put in place adequate number of relationship managers aimed at focus only on the NRI business. Credit management center. I also mentioned about carving out credit so that we have adequate focus and adequate skill set to manage the portfolio the credit portfolio that on a pilot basis, we have started on the 2nd of January this year again.

And the third initiative that we have taken is, again, aimed at deposits. The Global NRI Center was aimed at deposit. The transaction business unit, transaction business group, which is a third initiative is also aimed at improving the CA, the current account base of the bank. And this will be aimed at the current accounts, this will be aimed at the government account, this will be aimed at the institutions, the colleges, schools and the task accounts. So there's a new group within the bank that we have launched exclusively aimed at gathering low -cost funds.

And as I speak today, we have 125 relationship managers have been put in place to have this. And this number will go up. We will be ramping up this number as the months go by. So I think these two initiatives.

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On the liability side, the Global NRI Center and the transaction business growth and the refocusing the branches on the liability business by carving out the credit management center, which we have now started on a pilot basis, I believe would help us ramp up the deposits going forward, perhaps more so in the next year.

So that's from my side. Okay, I think I do have one more on the network. We have opened another 5 branches in the quarter, taking the total to 20. I did mention 40. We have also given an approval

for additional 13 numbers. And that is work in progress, and we are also identifying the five areas for another seven to be opened. So we will try and get to that 40 number.

Yes, that's from my side. Vincent, do you want to add something?

Vincent M. Devassy: Yes. So the performance numbers have been articulated by the MD and CEO. A couple of things I would like to add here is after the last quarter, that is Q2, in Q3, we have significant additions to the senior management. Our VP and Head Credit, EVP Credit has assumed charge. VP, EVP Inspection and Audit, IAD, HIA has taken charge.

And we are in the process of finding a new CFO, hopefully, the new CFO is likely to join either in the last quarter of this financial year or early next financial year, the first quarter of next financial year.

The increase in the cost o

f deposits, we were able to pass on to the customers as is reflected in increase in our net yield on advances, which was 10.11% without HOT, excluding HOT has moved to 10.16%. So there is a 5 basis point increase in yield on advances. As I can say, 7 basis point increase in deposits. So whatever additional cost that we have incurred in terms of attracting deposits, we were able to pass it on to the customer.

Yes, that's it from my side. Thank you.

Salee S. Nair: We have been able to defend the NIM at 4%. Yes, thank you.

Moderator: The first question comes from the line of Sarvesh Gupta from Maximal Capital.

Sarvesh Gupta: Sir, our SMA -2 has inched up a bit in this quarter. So any particular contributor to that or if you can throw some color on that?

Vincent M. Devassy: Please repeat the question. It was very feeble to hear.

Sarvesh Gupta: Sir, the SMA -2 book that has inched up a bit in this current quarter, so any particular contributor to that? Was that some large account or something? Or if you can throw some color on that?

Salee S. Nair: No, you're referring to NPA, you're referring to business? What is, we missed the first part of it.

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Sarvesh Gupta: SMA -2.

Salee S. Nair: SMA -2. Okay.

Vincent M. Devassy: See, compared to last quarter, there is a little increase. But if we look at the trend, it is well within the trend.

Sarvesh Gupta: Okay. So was there some large accounts, which went to SMA -2?

Salee S. Nair: This is not one particular account, this is a well spreaded account. I agree that it has moved up from INR 490 crores to INR 537 crores. I assume you're talking about SMA -2, right?

Sarvesh Gupta: Yes.

Salee S. Nair: It has. It has spread over a large number of accounts, not any specific account as such. And I think that it's already showing a downtrend in the current month already.

Vincent M. Devassy: It was INR 561 crores in Q3 financial year '24, now that is INR 537 crores in the current Q3. So on a Y-o-Y basis, there is a decline from INR 561 crores to INR 537 crores.

Sarvesh Gupta: Understood. And your CD ratio is already around like 85%, if I can see that.

Salee S. Nair: 86%, yes.

Sarvesh Gupta: 86%. So given that, now because we have been growing our deposits at 6%, 7% and CASA challenges remain as it is. So how do we see the growth? Because we have probably hit the upper tier of where we can. I mean we have grown at 13%, but going forward, the deposits have grown at a very small pace till now. So how do we see that situation?

Salee S. Nair: Yes, first, of course, the CD ratio, in fact, is 86% plus. That is something that we accept. But you look at the leverage of the bank, it is just about 6.5%. And the leverage is at 6.5% only because we had a comfortable capital position. I did mention about the net worth being INR 8,715 crores, which also has been subsequently funding. That's one of the reasons why rather the reason why the leverage is at 6.5%.

The other aspect of it, and you did rightly hit the button saying that going forward, it will be difficult under the deposits actually move up in tandem. And that's exactly if you look at quarter-on-quarter, the way the deposit is behaving and the way the advances are behaving and if I just this is something that you can reduce it yourself.

In the quarter 1, there was an advance growth of INR 882 crores against a negative growth of INR 327 crores from the deposits. Obviously, you can say that the deposits that on a standalone

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basis, that operation is not sustainable. But then we move to the second quarter, that has improved to a CD ratio of 549, I'm talking in terms of an incremental. But you look at the quarter 3, the CD ratio, the incremental CD ratio has come down to 106%. So the deposit, the ratio of deposits to

advance, the CD ratio as we call, is responding to our actions and it is beginning to moderate. And the moderation is very, very clearly evident in the last 3 quarters leading up to the 31st of December '24, where I said the incremental CD ratio has come down to 106%.

And this with the actions that we are taking on the deposit side should moderate further and we hope it will come down to acceptable number and a sustainable number going forward.

Sarvesh Gupta: So then going forward, what will be our advances growth rate that we would want to have?

Salee S. Nair: Advance growth rate for the current quarter, we will still maintain at 13% plus maybe towards the slanting towards 14%, but 13% plus, but the focus would be on the deposits where we are looking at crossing 8% and also bringing it close to, like I mentioned, the incremental CD ratio to around 100%.

So the advance and deposit, we hope to move in tandem in a way that CD ratio remains at just to a 100% number

Sarvesh Gupta: And these deposits so that we have accrued, let's say, over the 9 month, how much of that has come through bulk deposits?

Salee S. Nair: Bulk deposit in our total deposit base is about 11%. The CASA that has remained flat. So the CASA's contribution to the deposit mix has not been there because this remained flat. So the growth, which I mentioned earlier of 7.7% that come out of the term deposits. And in the overall package, overall deposit portfolio, the bulk deposit contribution is 11%.

Sarvesh Gupta: Understood, sir. And sir, finally, on the leverage point. So while you are levered less, but that is also helping you on your NIMs and ROAs. So as you grow, how do you see these NIMs and ROAs, where do you see that settling into? Because right now, our credit costs are probably at the lowest point of the cycle then your leverage is also low, which is helping your NIMs also. So I mean, how do you see these things moving in the medium term, let's say, next couple of years? How do we see all these metrics moving ...

Salee S. Nair: Next year, if I look at the NIM, I don't think we will be able to do a 4% NIM. I think that would be a challenge. There will be moderation of NIM going forward. But this will be in the 3% of course, we also anticipate a rate cut, hopefully, I don't know, when the NPC meets, right? So could be, we will be looking at 3.75% to 3.8% kind of number. But the reduction of the NIM, we hope to make it up through volumes – growth. So that is one aspect of it.

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And on the ROA, again, the current number is something going forward, we will not be able to defend this 1.89%, I think we've been looking more at 1.75% kind of number. Because as the business expands, as more of the business comes out of the deposits, the lever, as you rightly mentioned, the leverage is going to increase and that will have a consequence on that.

Moderator: The next question comes from the line of Sana Mehta, an Investor.

Sana Mehta: My first question is what are the initiatives taken in terms of ESG?

Salee S. Nair: See, what we have done is we spend about INR 1,400 crores to run this bank. And this was entirely being, the entire operations has been done on a margin basis. So the first thing we are doing in that is to get this automated. We have just picked up vendor management system from Oracle and it will be customized for us by the Deloitte. And one of the focus area of that is to understand our Scope 1 and Scope 2 expenditure and from there, derive the emissions.

And we are also engaging with a startup to understand at a high level what sort of emissions that we are doing on Scope 1 and Scope 2. I think that's something that we have slated for next year. And for that, the data they're going to be picked up through the automation that we have just done.

So the first step of getting the whole the vendor mechanism,

vendor system, your electricity bill

payments, your vehicle buyout, the car the whole is getting in place so that we have the data.

And the second step towards the end of next quarter, towards the end of next quarter, we will be going for a high level measurement of our own emissions. We'll also do Scope 1, Scope 2 and also look at the emissions on the Scope 3 side.

Sana Mehta: Okay. Sir, and one more thing from my side. I would like to give a small suggestion that is it will be really helpful if you can like upload the investor presentation 2 to 3 hours before the call so that we can analyze the results.

Salee S. Nair: Sana, I really, really apologize for you. In fact, that was in our intention. But unfortunately, the

Board meeting because of the agenda that it had to sort of got extended, but we will take care of it going forward.

Moderator: The next question comes from the line of Saket Kapoor from Kapoor & Company.

Saket Kapoor: So the first point, which you yourself mentioned that there is pressure on NIMs that is visible, and it would be difficult for us to maintain the NIMs and hence, the ROA and the other metrics.

So is it only on the basis of cost of deposits, the cost of fund that has gone up, that is putting a pressure on the yield or what explains this lower trajectory going ahead? And what steps are you taking...

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Salee S. Nair: No, Saket, if you look at it quarter -on-quarter, we have actually improved the NIM. When I exclude the interest recovered on written-off accounts, interest recovered beyond the principal, what you recover is actually the interest and that gets added to the net interest income. And if you exclude such interest generated from the written-off accounts and sanitize the net interest income for that and the derived net interest margin, you notice that quarter -on-quarter, it is moving up.

In fact, quarter 1, it was 3.97%; quarter 2, it has moved up to 3.98%; and in quarter 3, it was 4%. The NIM that you have seen earlier, it also had a component of what I mentioned as the interest on the written-off accounts. But in fact, in the response to your question earlier, because this also substance, because the leverage is low. We are working on a 6.5% leverage and the capital does not come at a cost, at least on paper. So when you look at capital not coming at a cost that adds to a better NIM.

And as the leverage increases and we start operating more and more big deposits, the NIM is likely to moderate. But as I mentioned earlier, this moderation because yes, deposits are happening, consequently, the advances are happening, it will be more than compensated by the volume. So it's not going to have a dent at the profit, final numbers, but the NIM at 4% because we are not on the unsecured, we are not on the credit cost kind of numbers.

We are only on the secured lending side, it is bound to take a bit of a knock and we still believe that the next year end, we still can get to a 3.75% to 3.80% kind of number.

Saket Kapoor: Sir, when you mentioned that the low leverage, can you explain what are you trying to explain. I'm not well versed with your comment on we are at low leverage. So if you could just please explain...

Salee S. Nair: What I'm saying is a substantial percentage, it is actually capital. Capital is a servicing cost in terms of dividend payouts, etc, right, in capital acquisition. But on the book, it is at 0 cost. Part of your capital is at 0 cost. And that adds so that sort of helps in maintaining in certain NIM, a few basis extra on the NIM. Got it? Saket?

Saket Kapoor: Sir, I'll take it then offline. I still could not make it correct.

Salee S. Nair: Okay. I think we'll explain that to you offline.

Saket Kapoor: Sir, but the point we are just trying to understand that the basis of the economic activity and the type of delinquencies we are seeing in terms of personal loans, the traction which was anticipated in the economy. Things are not looking very good as such the economic data are reflecting. So given the current environment, if you could just give us some basic understanding how the verticals are shaping up, especially in terms of our exposure to the retail segment and we see lot

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of delinquencies in terms of personal loans and also so how are we aligned in terms of growing our book profitably and with lower delinquencies going ahead, sir?

Salee S. Nair: No. I think on the delinquency side, on the NPA side, we'll continue to show good, essentially because what we've seen across the banking industry, the delinquencies, the stress sort of cropping up, are largely related to the unsecured loan lending that is done by these banks. In our case, the unsecured lending that we have is less than 0.5%. This is a bank that has always believed in the secured lending and the small segment of unsecured lending that we have is actually related to the is related to the it's about INR 200 crores that are linked to the education loans.

So it is a secured lending and the kind of the impact of whatever we are seeing in the market of delinquencies popping up in the unsecured space, I don't think that is going to touch us because your 99.5% plus is secured lending.

Saket Kapoor: Okay. But sir, where is the growth going to arrive when the economic indicators are not pointing towards growth as of now? And also we being a mid-sized bank, our cost of fund and the cost of growing the capital will always be higher in comparison to the other banks. So what should investors look forward from seeing these going ahead, sir?

Salee S. Nair: The growth on the liability side, I just mentioned that we have put in place 2 very clear drivers of growth, right? We have the NRI driver, we have the TBG driver. On the asset side, we will continue to focus on the gold loans, which is giving us good traction. In addition to that, as I mentioned, we have created credit management centers with in fact, this has been done on a pilot basis in Thoothukudi, this region in Thoothukudi and we will expand into the other 11 regions in the early next year, in the first quarter of next year.

And the focus of that is going to be the MSME, the MSME and the retail segment. And what we are also looking at is, we are going to focus on the turnaround time, on the speed of delivery and we are getting systems in place, automated systems in place to achieve that. We have also taken a consultant on board to help us get the entire credit management center automated from a credit delivery perspective. So once the turnaround time, currently, which is quite sizable, I'm not getting to the numbers, is brought down significantly, we believe that we have a market to pierce. This is we also have a loyal market.

In addition to that, we also have a market waiting to pierce, which we believe we'll be able to do with the kind of automation, with the kind of significant reduction in the turnaround time, we hope to achieve maybe in the first maybe around second quarter of next year when the systems will be likely to go live.

So the unsecured portion you did ask about the unsecured portion. I have the numbers here. We have INR 109 crores of education loans, which is category falling in the category of unsecured
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and another a round INR 150 crores of lending to the MFI which also is of, is also can be considered as part of the unsecured where the delinquency can be, people are worried about the very good side. So overall, it's just about INR 250 crores. That's why I did mention that it is about 0.5%.

Saket Kapoor: Sir, two small points and I'll join the queue. Firstly, what portion of our loan book is towards the corporate sector? And how are we approaching this segment because the growth, the yields, the competition is all towards the corporate side, whether it is mid-sized corporate or the large corporates wherever we can cater to depending upon our reach?

And secondly, sir, taking into account the lower NIM guidance given to, given like rightly by you, what should we expect in terms of the profitability growth, we are almost at INR 890 crores for 9 months vis-a-vis INR 819 crores for the last 9-month comparison. So ending this year and going ahead, how likely is the profitability charge that is still going to be for some better understanding for the investors, sir?

Salee S. Nair: Yes. On the first question, the corporate segment is a highly competitive segment and finely priced, and that's a segment that we will not be entering in a big way. In fact, our share of corporate segment is just about it's under 8%. So I think it will remain at that kind of number, I think, going forward.

So we will not be entering in a big way. We are mindful because there's lower ticket size is where we believe the yield can be better, and we will stick to the MSME segment. We'll continue to stick to the MSME segment. On the profit side, we will not be aiming to see, going forward, we will be investing heavily in the IT because as part of the modernization as part of the transformation of the bank, we have already initiated the process of branch process automation. We have initiated the process of, I did mention in response to another query that we have already started the vendor management system. We have started the customer experience that we are on the etc. I think a lot of investments are happening to modernize this bank.

So your cost-to-income ratio is something that we would be looking at, it might move a little up to about 50%. That's my own bidding of it. I'd have to see how the going forward, the evaluation of additional software that we intend to pick up in our journey to modernize sort of pans out. But despite that, we will be looking at something around, I think we would be looking at a growth of about 10% to 12% between 10% and 12% for the current year. When we close the year, we will be at a lower end of 10% and upper end of 12%. That is what we are aiming for in the current year.

Going next year is something that possibly I can give you a guidance in the first quarter because the transformation journey is something that we really need to look at the kind of investment
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that is required before we give but I can assure you that the business growth is going to happen and the momentum of even next year is going to be upwards of what I just mentioned for the current year.

Saket Kapoor: Sir, sorry to harp on it, but when you mentioned that it will be we will be investing more on technology and upgrading our system so that the stress could be also be recognized early. So which are the verticals from which where we will be upping our loan book going ahead? And where and what are the, what is our underlying strength that we are going to have more exposure towards the MSME and the RAM sector?

If you could just allude since our geographical presence is also limited, although sir, we have a branch in Kolkata, I am from West Bengal but other than that it becomes quite a Herculean task for a small mid-cap bank in the current environment to go for deposit and the lending part also. So investors would like to get an understanding that there are some there are definitely some missing link that is the stock quote below onetime book also and investors who have invested in the bank are not being able to gain the increased market cap which is not evident in the prices and there is lesser interest also in the investing community with respect to TMB. So how can these factors be corrected,

also steps taken to improvise and improve the investor confidence also because the business aspects are there, but that is not getting on to the ground with the investing community. That is what my basic understanding is, sir.

Salee S. Nair: Yes, I understand, Saket. Taking from your first question, of course, our focus area in the bank is going to be the MSME and retail, but without looking away from the agri, from the gold loan franchise that we have going fairly strong, that has delivered a 35% growth year-on-year, and that will be something that we continue to focus.

And apart from that, as I said, the focus is going to shift as much to the MSME and the retail. I think that is where there is a lot of market for our sized bank to, we don't find any potential there. Particularly when the kind of investment that we are making in the underwriting, the investments that we are making in the automation of the process, is going to have a significant if we can deliver 13% -plus growth in the kind of systems that we have currently and the kind of systems that we're envisaging going forward.

I don't think your business or advances is going to be a challenge at all. That is one. You did mention that you are from Kolkata. Yes, we do have a strategy in place to look at expanding the branches outside the state of Tamil Nadu, and we will do it in a very calibrated fashion.

And, we are also looking at creating the credit management centers outside to ramp up or substantially reduce our turnaround time and ramp up our advanced growth in that region as well. So that is one. And second, on what we are mentioning about raising the investor confidence. I'm sure the investor confidence will flow back as we demonstrate continuously that
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the numbers at an acceptable level, which let me assure you that, as I mentioned earlier, I don't know that if you have listened to my initial remarks where I did mention that the business, total business has exceeded 10.4%.

And the advances growth has exceeded 13.5% or it has 13.7%, which is the highest in 32 quarters. And the business growth is highest in 14 quarters. So the green shoots are there. The numbers are moving up. And of course, 1 or 2 quarters of numbers is not going to make a difference in the numbers.

So delivered as yet, it's not up to what we would like to sort of tom tom about, but as a number gets more and more evident, I'm sure the investors would come back to this table to the counter of TMB and the market valuations will go up. Rest assured that we are on the job to both improve the business and the profitability.

And like I said, our substantial transformation of the bank through automation of the internal process and release productive impulses, which is going to have a salutary impact, a positive impact on the business and profitability going forward. Rest assured.

Moderator: The next question comes from the line of Anant Mundra from Mytemple Capital.

Anant Mundra: I actually joined the call late, so you might have already answered so pardon, just pardon me for that. I actually wanted to understand, sir, our cost-to-income ratio is quite good as compared to your peers. So it's, I think, below 50%, between 45% and 50%. So I just wanted to understand because you've joined recently, you would want to hire your own team and spend on the tech and upgrade entire system. Where do you see this number settling in the long term?

And I just don't want to understand from a cost-to-income perspective. Like I also wanted to understand, overall, our leverage is quite low. So as and when the leverage scales up, where would our NIM settle, where would our cost to income settle, what do you see the sustainable credit cost and finally, ROA and ROE? So that entire tree is something that I wanted to understand from a long-term perspective. That was my first

question, sir.

Salee S. Nair: I think I did mention this already. Cost to income, we are looking at touching about 50%. We are at 46%, I think it will move further as we start investing. And I think it will be in the 50% range. It will be in between the 50% range. And the next one that you did mention about, what is the next one?

Anant Mundra: Sir, the entire ROA tree. As the leverage goes up, because currently, we have very high capital, but as and when leverage goes up...

Salee S. Nair: Yes, as the leverage goes up, yes, we would be looking at a slight reduction in the NIM. And I did mention earlier in response to another call that we'll be looking at 3.75% to 3.80% and the

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reduction will be more than compensated by hopefully by the volume of the business that will accrue in, which I did mention that the volumes that we have achieved in the third quarter is if you were not there in the call, it is the highest in the 14 quarters and the advances was highest in the 32 quarters.

So that so the green shoots are happening, and I think the wallet is going forward, we hope to ramp up, see that moving further up. And on the ROA, I did mention that ROA would moderate a little more. I think it is at 1.89%, but we will be defending at 1.75%.

Anant Mundra: Okay. So sir, this ROA of 1.75% is assuming what leverage? Can we do a 10 times leverage with by defending 1.75% ROA?

Salee S. Nair: I have actually not done a backward calculation on it. No, I think we have not done that. We'll have the calculation, maybe off-line, we can tell you, okay?

Anant Mundra: All right. And sir, one just one final question. So our CD ratio is, I think, north of 85%. So...

Salee S. Nair: 86%, yes.

Anant Mundra: 86%, right. So is it safe to assume that our advances growth will be constrained with how much we can grow our deposits? Can we grow advances more than our deposits?

Salee S. Nair: Yes, that is exactly what I did mention this in response to another question. And I also was looking at how the CD ratio was moving quarter-on-quarter. That it was adverse in the first quarter, it sort of was 5 times in the second quarter and came down to 106% in the third quarter.

And this is so we are beginning to see some amount of sustainability in the CD ratio happening.

And I think that in this current quarter, we are looking at bringing it below 100%. I'm talking in terms of incremental CD ratio, okay? Once that starts building down once that comes below 100%, it gets into the sustainable territory.

Of course, you are going forward, I think we will be coming into a much, much 80% the kind of number that we are showing at 86% is the long-term thing that we're looking at currently, at least for the next year. But the trend is getting better and better, it is getting more and more sustainable.

As we see the CD ratio comes to 106% in incremental CD ratio comes to 106% in quarter 3. So that was a worry for us earlier. Now I think that the concern is sort of coming down.

Anant Mundra: And sir, have you given any guidance for FY '26?

Salee S. Nair: I mean, see, this bank is on a transformation journey, which means there is a substantial investment happening in various sectors, various aspects of the banking. I did mention a few of

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them. We are trying to get papers out of the branches through the branch process automation. We are getting our credit process automated. So we want to focus and get it before we start I can give you a guidance early in early next year when we, when our whatever we are, the journey that we have had, we have started, starts yielding some kind of the results.

So right now, we are taking the pain of having the existing system run along with the automated system parallelly. So we have that challenge. But from

a broader perspective, I did mention for

the current year that we will be crossing 8% plus on the deposit and 30% plus on the advances. And the next year, from again a broader perspective, which I may have to, I may have to tweak

depending on the kind of investments depending on the process flow automation investment that we are making would be a deposit side 10% on the deposits and getting close to 14% on the advances in FY '26, 14% to 15%.

But again, this is all dependent on the kind of what we are looking at the investments taking off, the productivity impulses sort of getting delivered, which we should know by the first quarter of next year.

Moderator: Ladies and gentlemen, in the interest of time, that was the last question. I now hand the conference over to Mr. Nair for his closing comments.

Salee S. Nair: Like I was saying in response to various questions that this bank is in the cusp of a new journey. I think we are looking at this is a legacy bank manually run substantially. So we are doing a lot of investment in a variety of areas in the banking space. I just had mentioned about the credit underwriting, credit automation. We have also set up focused units for driving and strengthening the deposit franchisee. And I believe these are going to yield results in the quarters to come. That is directly and positively going to impact the profit and profitability and the return on equity as well.

So this quarter has been from that perspective, some demonstrative quarter where we have seen the business in a break from the previous muted growth. And we have seen, like I mentioned, across the business of the aggregate business crossing for the 10% for the first time. And that's something that we will build on quarter -after-quarter. Each quarter, you will see an improvement in the percentage of growth in the total business and that's something we are, at TMB, we are committed to. Thank you. Do you want to add something ?

Salee S. Nair : Yes. Thank you.

Moderator: Thank you. On behalf of Tamilnad Mercantile Bank Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Call: Apr 2025

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30.04.2025

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Ref: Symbol: TMB / Scrip Code: 543596

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call – Q4 Results

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform that the transcript of the earnings conference call hosted by the Bank on the Audited Financial Results of the Bank for the quarter and financial year ended March 31, 2025, has been made available on the Bank's website at the following link:

Transcript of the Earnings Conference Call – Q4 Results

We are also attaching the transcript of the earnings call with this intimation.

Kindly take the information on record.

Yours faithfully,
For Tamilnad Mercantile Bank Limited

Swapnil Yelgaonkar
Company Secretary & Compliance Officer
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Q4 - FY 2024 -25 Earnings Conference Call - Transcript

April 24, 2025

Management: Mr. Salee S Nair, Managing Director & CEO
Mr. Vincent M .D, Executive Director
Mr. Sanjoy Kumar Goel , Chief Financial Officer

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Moderator: Ladies and gentlemen, good day and welcome to the Q4 and FY25 Conference Call hosted by Tamil nad Mercantile Bank. This conference call may contain certain forward -looking

statements based on the beliefs, opinions and expectations as on date of this call. These statements are not the guarantees of future performance and involve certain risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing a star, then zero on your touch-tone phone.

Today on the call we have with us the following management representatives, Mr. Salee S. Nair, Managing Director, Mr. Vincent Menachery Devassy, Executive Director, Mr. Sanjo y Kumar Goel, Chief Financial Officer (CFO). I now hand the conference over to Mr. Salee S. Nair, Managing Director from Tamilnad Mercantile Bank. Thank you and over to you, sir.

Salee S Nair: Thank you. Thank you and thank you also for the introduction. Yes, I think we have come out with our results yesterday and as you would see that the results are in line with what we had stated earlier as well and some of the highlights I can go through before getting into the details. In this in FY25, we have delivered the highest ever net profit. If you go back in history, 103 years of the bank's existence, we have been delivering profit year-on-year except for six years in our journey.

So this year is another year where we have delivered a net profit of INR1,183 crores. That's a 10% plus growth year-on-year. We've also delivered an operating profit growth of INR1,746 crores, 18% up from the previous year and a total income which is 12% up from the previous year at INR6,142 crores. While these are the highest ever numbers, if you look at the GNPA, this is the lowest in the last 10 years.

At 1.2% GNPA, it is the lowest in the last 10 years. If I get into some of the details here, the total business has improved 9.58% to INR98,055 crores. If I get a bit of color on to this, then like I mentioned last time, the deposit will double by the year-end. It has, in fact, more than doubled. If you look at the 3.66% was the deposit growth in FY24, we really underperformed the market.

This year, FY24, the green shoots are very, very clearly not as visible. It is they're taking clear routes. The number is 8.43% year-on-year. We did that INR53,689 crores. So on the resource front, we are kind of getting back into the game. Even in the advances side, we have almost doubled what we did in FY 24. 6.35% was in FY24. Now, we are just about 11% and going forward, we will align ourselves to the market.

We are beginning to be aligned to the market. And FY26, you will see that we are aligned to the market, perhaps even a tad better. So on the our portfolio itself, on the asset portfolio itself 93%

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today stands at the ramp. 93%, this is up 91%. And that's one of the reasons why our stress levels are at the levels that I'm going to state as we go along. The total income, as I said, 11.82% up. Then net profit, 10.35% up. The book value. The book value we share today is at, as on 31st March, is at INR569. That's a growth of 31.80. The CRAR, Capital Adequacy Ratio ratio, 32.71%. That is up 334 basis. So I think one of the perhaps in the industry. The SMA to growth advances, I didn't mention about the GNP that we have for the 10-year low. Even the SMA is fairly good at 2.55%. So both the first level SMA and NPA together is just 3.80%. That's where we stand from a credit quality perspective. The stress asset ratio, that includes the restructure asset, is down to 2.01%.

The gross NPA, as I said earlier, is down 19 basis to 1.25%. The net NPA is at 0.36%, down 49 basis. It's less than half.

And the ROA for the year is at 1.88% and I'm sure that we have proposed and the Board of Directors yesterday proposed a dividend of 110%, which of course will be subject to the AGM. So when I get into some more details, I did mention about 9.58% growth happening on this total business.

And the shareholder value and net worth is has crossed INR9,000 crores. It was INR7,921 crores. It is 13.74%. The book value per share, I just mentioned, INR568.90. And the earning per share, earning per share is INR74.68. I think it's also an all-time high.

So moving on to some of the parameters, net interest income is at INR2,301 crores. The operating profit, I mentioned earlier, INR1,746 crores and the PCR, when I look at the PCR, with technical write-off, that is the off-balance sheet provisioning, it is at 93.86%. But what is important is the PCR on book, it is at 71.02%.

In fact, we have more than met the RBI guidelines on this, where RBI was suggesting about 70%. 31st March 2025 it is at 71.02%. Nearly 30% up from the previous year. And the 524, it was only 41.33%. The PCR on book today is at 71.02%. Return on asset, I mentioned, is at 1.88. The return on equity is about 14%. Fed cost, 41 basis points. Cost of deposits has moved up in

line with the market. It is at 5.91% up 17 basis points from 5.74%.

And yield on advances is at 10.22%, going a little slower than the deposits, from 10.15% up 7 basis points. The cost -to-income ratio, the efficiency of the running of the bank is down from 47% the previous year to 44.60% in FY25. So that's the cost -to-income ratio.

When I move on, give you some color on the asset quality. I think the asset quality that we are delivering in this, I understand, will be one of the best in the industry. NPA is at 1.25%. Net, NPA is 0.36%. And the slippage ratio is just 13 basis points. It's maintained that. In the last quarter also, it was 13 basis points. In the last quarter of FY25, it was 16 basis points. So you're seeing some improvement happening there. I think the 13 basis is really a three -year slippage that we are quite proud of.

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When I also look at gold loan portfolio, I think because a significant amount of our portfolio is gold loan. The SMA in the gold loan portfolio is just 0.06%. We have an 18,000 plus gold loan portfolio. The SMA is just 0.06%. And the NPA is 0.01 %. Let me also tell you that in FY25, we offered nearly 4,000 gold loans, jewel loans.

And we have not only recovered our principal and interest, we actually returned 1.46 crores back to the borrowers, which means we are giving the adequacy of the margin, evidencing the adequacy of the margin. And there was no portfolio loss on the gold loan portfolio. And I think that's a portfolio that we are watching very closely from the LTV perspective, from the commodity risk perspective, and monitor virtually on a day-to-day basis.

When I look at the movement of NPA, I did mention that we had a 1.25% GNPA . The gross NPA that we have is INR556 crores . And let me also tell you, it is not because of write -offs. Write -off was just 25.59%. It has been because of upgrades and cash recovery. In fact, cash recovery was 79.16 crores, and write -off, sorry, and upgradation was about INR10 crores. But almost 50 crores came from hard work that we have put in.

And it is more or less offset the first addition that happened. So the closing is at 556, that is down about 20 crores from the previous year. And like I said, the GNPA is at 1.25%. If the provision of 363.50 takes the net NPA to 160, that is 36 basis points. And like I said earlier, the PCR is at 71.02%.

Even in the SMA, as the SMA is a story that I would really like to say, because in FY25, the SMA or the overall

SMA portfolio, which was at 3.97%, has come down to 2.55%. So that's not just the NPA. Even on the SMA side, the bank has got its act right, and we will continue maintaining it. And even looking at the sector -wide also, even in retail sector, we have about 1.3% of the growth. It's only retail, Agri, about 0.07%, MSMB 1.08%, and the others are 0.10%. Totalling to 2.55%.

SMA plus NPA, that is, one day past due, even one day regular. The portion of the portfolio that is one day regular is 3.80%. 3.80%, which means 96.20% has no irregularity whatsoever in the portfolio. I think that's the kind of quality of portfolio that TMB showcasing. The stress effect that the NPA has is down from 2.70% to 2.01%.

I think the presentation has already been uploaded . so I'll skip some of these aspects and come to something relevant from a quality of the portfolio perspective, which is the PCR and the collateral coverage. I think if somebody is referring to the presentation in slide number 31. We had, as I mentioned earlier, we have a 556 crores of GNPA.

That's 1.25% and 363.50 crores of provision . But let me tell you, the 566 crores of GNPA is covered by collateral of 104%. Which means the provision, when this gets resolved, when the GPNA gets resolved, we are looking to book this 300 crores plus or 350 crores plus of provision as a right path. That is a substantial piece of profit of this sort of figurative provisions.

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On the growth itself, I did mention earlier that we have doubled. Current account and the CASA per se have been a worry for us.

And I will also tell you how we are trying to address that. Because we have lost about 300 basis plus on the CASA share, which has a bit of an impact on the name. But the initiative that we have taken in the last quarter, I think towards the end, has started bearing fruits.

And we saw some uptake happening towards the end of last quarter, the quarter of 2025. We have seen a growth of 2.94%. Deposits overall have grown 8.43%. I think total term deposits

did contribute significantly to that. The 13.37% of the growth coming from the total term deposits, of GNPA course, compensating the CASA loss. But that's something that we will reverse. It's beginning to show some reversal. And I think that will be accelerated in the current year.

To reverse the CASA, we have taken a number of initiatives. I think last week I did mention that we are setting up a transaction banking group. We have in fact set that up in February and it has sort of started functioning. There's a significant number of managers that have been onboarded for this. I think they are in the market and we are beginning to see some signs of an uptick in the current accounts, particularly in the government accounts. And I'm sure that will get accelerated. But I don't want to mention that CASA is going to be tackled. We also set up the Global NRI Center, which I stated that in the last call. That also has been set up. Again, towards the end of the quarter, last quarter. So we are going to see a significant result coming out of that. We have also taken an additional initiative to set up an elite services group to reinforce our high-network liability franchise customers, deposit customers. And not only reinforce them, also to look at building upon their relationship and also ramping up their network customer.

The other piece that we are looking at to ramp up the CASA is we are completely revamping the digital banking. We are bringing in an entirely new Internet banking. We have already signed the deal. And I think in a couple of quarters, I think the entire Internet banking space and the services that will be provided through the Internet banking is going to undergo a dramatic change there.

And on the advances portfolio, yes, 11% growth. Retail at 8.35%. MSME sector is flat. But let me tell

you, the sector within the MSME that we are tackling, that's about 50 lakhs, has shown a decent growth of 12%. So the regrowth is happening in the unviable sector below 50 lakhs. And C D ratio, in Q4, as the deposit momentum picks up, CD ratio has also moderated which is at 82.64%.

There was one question on the unsecured exposure, bank's unsecured exposure in last December Analyst Call. Let me tell you that our total unsecured exposure is at INR160.60 crores. That is 0.36% of our portfolio is only unsecured. And if I look at the SMA, out of INR160 crores, INR7.70 crores, 4.79% is SMA and NPA is just 19 basis points.

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And if I go a little deeper into the unsecured exposure, INR160.59 crores which I just said it. KCC contributed INR15.54 crores, INR28 crores came from education loan, INR41 crores from the others, INR 75 crores came from PSU, which as you know that the quality is always accepted. So INR160 crores unsecured, so it's no worry in unsecured exposure at all.

And there was also a question on what is the exposure to the MFI? Let me tell you the MFI exposure, our total exposure to the MFI is just INR23.90 crores. That is just about 5 basis points of our portfolio.

I did mention about the last call, investor call, about carving out the credit from some of the branches and refocusing the branches on the deposits, strengthening the deposit franchise. And I think we have already started the pilot and our experience has been quite good.

We are I think pretty much almost completed the business rule engine, the loan origination system and the loan management system has been sourced. I think it'll take a couple of quarters before it comes fully on screen. And the lead tracking system, the customer experience in the lead tracking system has also been sourced and put in place.

And so a lot of IT initiatives that we have started in December and are going to January, February has come down and I think for this to kind of delivering results, I expect another couple of quarters. But meanwhile, I expect this bank to grow, our growth to be aligned with the market, like you mentioned, perhaps a chance higher than the market.

Apart from that, we have also taken human resource, I did give a color of that earlier, that the historic wage revision has been implemented in FY '25. That has today 81% of the staff component on the CTC, cost to company method. And we have also implemented a corporate management system, an automated capital management system, which apart from helping an end-to-end HR management also helps us to align the CTC pay, particularly the variable pay that the bank for. So we are slowly getting the ground force aligned to the profit motives of the bank.

And of course, we did open 26 branches. We put up a few branches on hold looking for perhaps a change in the location, etc. And in the current year in fact, in the current half year itself, we are looking to open about 50 or so branches. So that hopefully should take this number of branches to beyond 600. Today, it is at 578.

So I will take questions from here.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Manish Jain from Wealthcare Security .

Manish Jain: Yes, thank you for the opportunity. What is the advances growth forecast for this year, as well as deposit growth forecast for this year, for the coming year?

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Salee S Nair: In FY '26, we are looking at a combined growth of 13 % to 14%. Because we believe that the initiative that we have put in place would start taking roots. The first couple of quarters would be a challenge as we get into the change mode as a lot of initiatives are getting implemented, bit of a disruption. But in the second half, we e

xpect significant benefits accruing out of it.

So, overall, for the year, we expect 13 % to 14% of growth, I mean business growth. Within that, deposit should be in the 11% to 12% range, and advances should be anywhere between 15% to 18%.

Manish Jain: Okay . And what kind of guidance is there for NIM s?

Salee S Nair: NIM would moderate a bit, but of course, rate cuts are happening. NIM s would moderate a bit. When I look at the kind of CASA growth we are looking for, with particularly the TBG or the transaction business group in place, we expect the CASA growth to be higher than the overall deposit growth, moderating to some extent, cost of deposit. NIM would be in the 3.80 % kind of number, 3.80% to 3.90%.

Manish Jain: 3.80% to 3.90%.

Salee S Nair: Yes. And above we are trying to defend, yes .

Manish Jain: Okay, sir. That's nice to hear, sir. And sir, about this cost of deposit and other initiatives, whatever you are talking about, at present, where are we? Like in the last con-call, you had told that by the next year, you will be able to give guidance about all the new initiatives. So, at present, yes...

Salee S Nair: I think I did mention some of it already. The CMC, the carving out of the credits from the branches, we have implemented in one of the regions. That is something that I promised it has already been done in the Thoothukudi region, which is the biggest region for the bank. We have already implemented that. The experience along with the implementation or carving out or sun lighting the credit processes, we have put in place a significant resource for the relationship side and onboarding a few customers . That's happening.

We have also put in place the LOS and the LMS because CMC would tackle both the retail and the MSME and the agri, the entire credit, as I mentioned earlier. So, that also has been linked. That is one. And the other aspect is we have also just about completed the construction of the business rule engine that is undergoing testing at th e moment.

I think that would be towards the end of the current quarter itself, I believe that would be made available. So, that's going to be the nerve center for it. And with the automation, significant automation in the pricing process, we expect the tur naround time to come down sharply and making us a very competitive player in the marketplace. So, that's something that we expect to get benefit of that.

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That's the reason I mentioned earlier that in the advances, we are projecting something higher than w hat we saw. We got a growth of 11% in the current year, sorry, in FY25. We are projecting upwards of 15%. So, that's on the advances side. To drive, to align ourselves to the market, we have also verticalized the bank in the sense that we have created eigh t verticals within the bank, each driving a specific business area.

And not only driving the business area, also trying to get within that business area to what is happening in the market, to check into w hat is happening in the market or create new product s, to revi sed existing products, to refine the processes, simplify and improve the productivity. Within that business area, we have also created eight verticals, four each in the asset side and the liability side. So, that's the other piece that I didn't m ention earlier.

That's something that we have put in place with very clear budgets. And as I said earlier, 81% of the bank ground force today is on CTC with their variable pay increasingly aligned t o the bank's profits.

Manish Jain : Yes, sir. A nother one question was regarding the advances growth, which you are projecting of 15% to 18%. Sir, I think the norms of Reserve Bank regarding the gold loans and everything in

the recent days and our exposure to the gold loans, basic loans are quite okay, quite good . So, that makes you more confident of 15% to

18% growth and same extension to that question.

And if there is a loan growth of 15% to 18% and a NIM which you are projecting from 3.8 to 3.9 and there are a lot of hidden provisions. So, we can expect a profit growth of 20 % to 25% possible?

Salee S Nair: No, I don't think on the profit front, we are projecting that kind of. A couple of things that we will be looking at this year. One, of course, is a significant amount of capex happening. We did spend about INR155 crores on the IT side last year , but this year I am seeing a significant ramp up of that. In fact, whatever we have contracted already, by way of IT assets and automation processes that we are sourcing,

I think some of the payments are going to happen this year. And apart from that some of the branches that we have, the physical branches that we have, we are also looking at how we can orient it towards a modern with a modern outlook and a modern ambience. So, some amount of expenditure is going to happen that. I think we are trying to look at clean up at least 50 of the branches and re -orient these branches as ESG branches, elite services branches, looking at high net worth individuals.

So, that's going to have some kind of a capital expenses is going to go there. So, while I did mention about 14%, 13 % to 14% growth happening. I'm not - I think the profit will possibly be aligned to that. It will not be greater than that. In fact, I've been looking at only at 10 % to 12% growth for the, perhaps closer to 12% for the current year. Because this is the year when a significant amount of capex is happening, but we will ensure that the CR is at 50% and lower than 50%.

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Manish Jain : So, sir, this will be the last year in capex, sir?

Salee S Nair: We ramp up the quality of the portfolio. Some, like I said 3.80 to 3.90, some moderation of the NIM also will happen, which will contribute, but the profits certainly will be higher than the growth profit that we have delivered this year. We did deliver 10 .35%. FY26 profit will be higher than that.

Manish Jain: Sir, but this will be our last year of this maximum capex we'll get over in this year?

Salee S Nair: It will be over.

Manish Jain: Okay, sir. Thank you so much for answering all the questions.

Salee S Nair: We will continue to be investing, but I think that will be fully loaded into the current year and FY.27 is the year that you have to watch the year before.

Manish Jain: Okay, sir. Thank you so much for answering all the questions. Best of luck.

Salee S Nair: Thank you.

Moderator: The next question is from the line of Hitendra Pradhan from Maximal Capital. Please go ahead.

Hitendra Pradhan: Hi, sir. Thanks for the opportunity. So, sorry if I missed this. So, you mentioned the cost -to-income would stay a little elevated or will it normalize further?

Salee S Nair: No, cost -to-income, in fact, in the current year we have brought it down. I think it is at 44%. It might move up a little, but as I said, the cost-to-income ratio will be maintained below 50%.

Hitendra Pradhan: Right, sir. And your guidance on ROI was around 1.75% earlier. So, is it still at that level ?

Salee S Nair: It will still be at 1.75%. Yes. Of course, this year, by FY.25, we delivered 1.88 , but there will be some moderation 1.75 to 1.80.

Hitendra Pradhan: And you say your credit cost and slippages have been pretty impressive. So, you see it sustaining at that level or you see some surprises?

Salee S Nair: No, I think we have already factored in the surprises. Let me tell you in FY 25, the largest NPA that we have which is almost 30% of the overall NPA book, the GNPA, we have fully provided.

And if we can recoup that in the current year where there is a possibility then that will add to the guidance of 10% to 12% of net profit. So, I think I don't find much of

a surprise happening on

the GNPA side and we have delivered 1.25% with a 71% PCR. Going forward as well, I think the 1.25% would be different.

Hitendra Pradhan: Okay, sir. Yes, that's all from my side.

Moderator: Thank you. The next question is from the line of MB Mahesh from Kotak Securities. Please go ahead.

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MB Mahesh: Hi, just a couple of questions. I'm sorry it's kind of a bit late. Just to kind of add on to the previous question that was asked, in your sense what is the kind of feedback that you seem to be getting from your customers of the situation on the ground, especially with respect to exporters and importers?

Salee S Nair: No, sorry, you would mention? Go ahead, I can hear you.

MB Mahesh: Sorry I'll just repeat the question here. The question is that when you look at the situation on the ground and when you ask your business heads about what the feedback is with respect to the implications of your customers on what's happening on the global side, how are they looking at FY26 and how are you responding to it, sir?

Salee S Nair: First, at the bank level, I think the trade finance is one area we are really focusing on. I'll come to the macro a little later. That's something that we are focusing on. And we are also having trade finance specialists onboarded into the CMC setup. I did mention that to you. You have come a little late. So let me recap for you. We are putting in place credit management centers. We have already done that.

In Thoothukudi the experience is good and we are ramping it up to the other regions as well. We have 12 of them. And we are putting in trade finance specialists, product specialists to ramp up this one area. We believe given the kind of clientele that we have, we can really ramp up in terms of fee income, the forex side of it and the trade finance side of it. So that's the first part of it. So that's the only part of it.

But when I look at what the changes that are happening across the world, particularly the US tariffs, etc it has not really impacted our segment as of now. I don't see any kind of significant changes that is happening into the kind of movement in the exports or imports that is passing through our books currently. But just keeping a watch on that.

And like I said, we are putting in place specialists to specifically look at the movement and the changes that are happening and how we can protect our fee income from it, along with giving guidance to the customers on how they can tackle it.

M.B. Mahesh: Okay, perfect. And the second question, sir, in general, have you seen an improvement in pricing for loans, a deterioration in pricing of loans in terms of the competitive intensity from where we are today?

Salee S Nair: Pricing of loans, of course, we have already seen two rate cuts now already with so that's sort of having an overhang on our pricing, in a sense, from an accurate perspective. Consciously also, we are trying to moderate, particularly the MSM E pricing a little. I did mention that the NIM that we will be looking for is 3.8 crores to 3.9. So in that range for the current year, that also looks at a bit of a pricing moderation for our MSME portfolio. And the intention is to move into the market and look for new business where pricing would be a challenge.

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So that is being factored in. Yes, even in the existing books, we have come across certain challenges, but that is being that has already been tackled in the current year in FY25. And of course, that will continue to be tackled going forward as well. And I'm confident of protecting the NIM by 3.8 to 3.9.

Moderator: The next question is from the line of Jagdish Sharma, an Individual Investor.

Jagdish Sharma: Hi sir, just congratulations for the good set

of numbers. I just have one question. Sorry, I just

have two questions. The first question is like we have 425 branches in Tamil Nadu and the rest of the states we have 1 or 2 in some states it's in double -digits. What are the plans we have because we have opened 26 branches during FY25. What are the plans for FY26 and are we only concentrating on Tamil Nadu or are we on to some other states? This is my first question.

Salee S Nair: We are looking to open 50 branches in the first two or three quarters itself so that we should get up to 50 branches in the first two or three quarters. Hopefully, in the first two quarters itself, maybe there could be a spillover but certainly before the end of December. And we are hoping to open half of these branches in potential growth areas outside the state of Tamil Nadu.

Jagdish Sharma: So, what is the full year number?

Salee S Nair: Full year number would be 50, minimum 50, and half of it outside the state of Tamil Nadu.

Jagdish Sharma: So, my second part of the question is like what is your goal out of Tamil Nadu? Where do you want to have at least 300, 200 branches in next 3 years, 4 years? What are the states you are targeting? That's my question, second question.

Salee S Nair: I think when I look at the profile with 75% of the branches within the state of Tamil Nadu, going forward, we are trying to drop this down to 60%. That will be a three-year venture. I think I did mention this in the last call as well.

Jagdish Sharma: Yes, yes, yes. So, my second question, sir, what about our CEO appointment at the centre?

Where are we on that?

Salee S Nair: Not clear. What?

Management: Can you repeat that?

Jagdish Sharma: CEO appointment.

Management: What? CEO appointment.

Salee S Nair: Sorry, what did he say?

Jagdish Sharma: CEO appointment. Bank CEO, MD and CEO appointment. MD -- there and CEO appointment.

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Salee S Nair: We'll take a call at the appropriate time. The management bandwidth is now strong and I think that is getting also reflected in the results that we are seeing. It is strong. I think we are pretty much all the positions at the executive vice-president level is now full. And we will look at it now.

Jagdish Sharma: My final and last and final question is, whether we are on track to achieve 16% to 18% ROE by FY26 or FY27? And when do you think we will achieve that number, 18% ROE, 15% to 18% ROE?

Salee S Nair: 18% ROE is, FY26, I don't anticipate that. I think FY26, we will try and, the number that we looked at in FY25, which is about 14%, is something that will continue, perhaps a little better for FY26. But FY27 will be better, but 18% I think would be yearly.

Jagdish Sharma: Congratulations for the FY 26.

Moderator: The next question is from the line of Saket Kapoor, from Kapoor and Company.

Saket Kapoor: Sir, Thanks for the opportunity, I joined a bit late, so sorry for any repetitive question. But sir, you mentioned in answer to a question that FY27 would be the year to watch in terms of the profitability growth and for the investing community as a whole. So if you could just allude to us what factors will culminate from two years from now, or what levers will be in play that will result in that year to reckon for the bank?

Salee S Nair: FY27 is only a year from now. We're talking about next year. Why one, of course, I've also said that we would be largely aligned to the market growth in FY26 itself. I did mention that we will have a 13% to 14% growth. That is the first part of it. And this is going to happen despite the fact that we anticipate some disruption to the changes that we are bringing in. We have brought in a lot of initiatives, both on the HR side, and as well as on the technology side. The processors are being automated. There's a whole lot of changes that are being made a

s the ground force gets tuned to these changes.

We anticipate a bit of disruption that's happened. That is why I said that the kind of growth that we would love to see in the current year may happen only in the next year, because while the ground force gets accompanied to the changes and start delivering the productivity that we are envisaging from these changes, I think this year we will see the bank aligning to the market and perhaps going a little better. But next year, I think the full benefits of the initiatives would be made available and we see a significantly higher growth.

Saket Kapoor: For the benefit of your investors, could you outline what are the disruptive changes that have been put into place and how are they going to play out in terms of the profitability? As a Q-on-Q, we have seen that even though our net interest has gone up, but our operating profits were flat. So if you could just comment two points and then I have two more questions?

Salee S Nair: The first aspect is that we have created very clear eight verticals in the bank with clear business targets. That's on the asset side and on the liability side. That is the first thing that we have done.

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And each of them have been given you to look at the market, look at the products in the market, refine the products that we have, refine the processes that we have in terms of delivery of these products, automate the process of delivery. I think they have been given very, very specific targets of how to make the competition dead on.

That is one aspect of the verticalization of the bank. It has been brought about from that perspective. Second, as I think I mentioned earlier also in the last few about half an hour or so, about the changes that we are bringing in, the automation that we are bringing in, the kind of credit management center that we have brought in to centralize a bit and benefit from the scales of economy, economic scales rather. And that's one major thing that we have brought in in the

way that we are conducting our operations.

We have also brought in transaction business group, the global NRI center going to attracting we have significant pressure where the NRIs are concentrated and we want to take advantage of that. We have brought in the global NRI center. We have set up in this month, in the month of April as just about a week back, elite services group which, of course, will take a bit of time to take root, to reinforce our high net worth individual, ramp up their value for the bank in terms of both product offerings and their outstanding in CASA and the term deposit.

So that ESG is something that we have taken root. And as I mentioned that in HR initiatives, we are going in for a major s killing program. We have, in fact, conducted a test across all our HR, human resources, a test conducted to understand their talent. I think that test has been conducted across all the ground posts that we have. The test was conducted by the Indian Institute of Banking and Finance to understand where their talent lies so that we can appropriately deploy them. That itself is completed.

That has been completed and our redeployment is based on significantly takes inputs from them as well. So HR s killing is a major activity that we are engaged in. As I said earlier, the wage revision that we assigned, which is historic in nature is now has 81% of the force, the HR force that we have on the CTC model where it is aligned to the profit generation, the variable, that component is aligned to the profit ambition of the bank.

So a lot of initiatives have been taken and on the IT side and significant capex is happening. Internet banking has been completely revamped, significant amount of services to be provided through the internet banking that is on. I think we will see that how we can avoid customers

coming to the bank and have all the services delivered through other channels, other digital channels.

I think that's a major one. I think it will take a couple of quarters and maybe it will move into the third quarter before we see the benefits of that, benefits of the changes in that. The automation of the credit appraisal system, as I said earlier is on. The business rule engine to tackle the low value accounts up to 50 lakhs in an automated fashion, decisioning based on the data. That's pretty much completed.

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It's in the testing phase. LOS, LMS to manage end-to-end credit customers, that is on, it's getting done. Take another couple of quarters before it sort of fructify and start delivering profits, sorry, and business. So I think there are significant, many, many initiatives have been taken and I anticipate all this to deliver results. Going forward, certainly, partly in the current year and certainly in a substantial manner in FY 27.

Saket Kapoor: Sir, thank you for the elaborate answer. You did alluded to 15% growth that is what we should envisage in our net profit for this financial year, sir, that is what you are looking for?

Salee S Nair: No, I didn't say 15% growth. I said 10% to 12% most added workloads in the current year.

Saket Kapoor: In the current year. No, I think you also spoke something about our profitability rising by, may incline to increase by 15% for this financial year. I think I heard you mentioning that also?

Salee S Nair: I didn't say on that. I said the growth 13% to 14%. What I did mention is that I did mention 10% to 12% on the net profit because of the capex and that we'll be taking some time effort both in the branches and the physical appearance of the branches as well as in the digital appearance of the branch or digital appearance of the bank. What I did mention was that on the GNPA front, that we have a particular account with a 30%, where 30% of the current GNPA is on account of a particular account.

If it gets dissolved in the current year and it has been fully provided, so that would be a cut off.

So that's what I mentioned. I did not mention about 15%.

Saket Kapoor: Okay. And sir, which sector is it? I just concluded my talk. Which sector the GNPA is, which you are mentioning 30%.

Salee S Nair: That is in the corporate sector.

Saket Kapoor: Which segment, sir? Which industry, sir?

Salee S Nair: Spinning Textiles.

Saket Kapoor: And lastly, sir, are we fully funded to fund the growth or we would be needing any type of equity inclusion or bond issuance to fund the growth for FY27 and onwards? And secondly, sir, the Reserve Bank stand on monetary policy now becoming accommodative and going ahead also going to remain accommodative for the near future. And also the abundant liquidity in the system.

How do we see that playing out in terms of the profitability, in terms of the NIMs and other factors? Because you have already lowered the NIMs trajectory to 3.8, I think, for this financial year. Now with liquidity and things improving, how is banks of our size aligned to the current

monetary environment in the country?

Salee S Nair: Yes, first question part of your question about additional funds. I think the CAR capital adequacy ratio of 32.71% that is up 334% in the year itself. I don't think in the foreseeable future we'll be

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requiring funding from the capital markets. That is one. I think our challenge is to spread these extra funds that we have in terms of growth. I think that's where we'll be focusing on. The growth is there. I think our single-minded focus is on currently. And I did mention, when I mentioned NIM of 3.80 to 3.90, we have already factored in a possible 50 basis cut.

Saket Kapoor: Yes, that is correct, sir. So

I was just trying to understand, earlier the NIMS improved when we were in an environment where there was a tightening of liquidity. And now we are in an environment where liquidity will be in abundance and the growth from there, it will be the corporates whose capex and all will be driving the growth, which is not in the annual as of now. So how is the banking system aligned, especially in terms of the small-sized banks of our nature, which are specific to a specific geography? So that was my question.

Salee S Nair: So that's an advantage that we have. In fact, a large-sized bank like State Bank of India will mirror what is happening in the market in a much more transparent way. On our side, I think our pockets of influence are greater when we are strong for us to withstand some of this pressure. On what you mentioned about the liquidity easing, yes, it is easing, but so long as it's not felt on the deposit rates. We are looking at the deposit rates continuing with the existing. We are anticipating that the deposit market will continue to be a challenge.

We'll have to look at how the capex side is happening, the income tax relief that has happened, how it is going to play out, how the mutual fund, the move towards the mutual fund in terms of the SIP is going to play out, and how the larger industry in terms of the pricing of the deposit, the particular deposit is going to play out when we look at the NIM. To put a further color to it, I did mention that we have started the transaction business group from a focus on the current account space.

And the elite services group that I did mention subsequently is going to focus on this CASA. So CASA is going to be a major focus for us, which we are trying to even if the deposit, the market becomes a little tight, we would use the CASA as a means of keeping the CASA to market. And if the thing eases out, and if the anticipated liquidity happens, the flow of funds into the banking sector happens, it's a bonus for us.

Saket Kapoor: Yes. Thank you, sir, for elaborating the answer. And sir, we as investors hope that market will also start valuing the enterprise value. Also, we are trading much below even one-time book, and taking into account, I think the 550, I think is the book value, correct me there. It is for investors' waiting time for a period for a very, very long period to get adequately rewarded. So we are still in the wait mode only to reap gain from the remaining investors in TMB, sir. That was only my concluding remark, that the wait is very long for us, yes.

Salee S Nair: Like I said, we are fully aligned to it. I myself am investor in TMB, and we are fully aligned to it. And whatever we are trying to do is to generate the kind of growth. Like I said, from FY '24 to FY '25, the growth has doubled, and the deposit is more than doubled. And of course, the initiatives that we have taken led to bear fruit from that manner.

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This has just been in terms of our own monitoring of business growth internally that has generated. And once the business initiatives that we have taken start bearing in the growth, we anticipate to move up further. And like you said, the wait for a better valuation, I think it is going to be over sooner than you think.

Because the growth is happening, the profits will come, and as we go forward, the graph, we anticipate to trend upwards. But it is certainly from both the growth perspective and from the profit perspective.

Saket Kapoor: Thank you, sir, for all the answers.

Salee S Nair: It is the market that has to give us the valuation. I am sure the market will understand, because market is, after all, we will understand numbers better than us and digest it and give us the value that we deserve.

Moderator: Ladies and gentlemen, this will be our last question. It's from the line of Manish Jain from We

althcare Securities.

Manish Jain: Thank you for the opportunity, sir. Sir, what percentage of our business comes through the digital channels? And where are we compared to other private banks? And what are our future initiatives in this segment, sir?

Salee S Nair: Through the digital channel, it is, I would say, very close to zero, right, 2% to 3%. But of course, and the advances side is fairly those are the initiatives that we have taken. On the advances side, I just mentioned, we have put in place the business rule engine, which has just been the construction of which has just been completed, and it is under testing phase, where we intend to use data for decisioning, credit decisioning. I think that you will see starting from maybe later part of the quarter, or in the second quarter, the current year, it will go on stream.

So, a significant particularly the low value, the below 50 lakhs, we will be significantly using digital means to onboard and also for decisioning purposes, sanctioning purposes of such loans.

So, I think that hopefully should significantly reduce our own operational cost of managing these accounts. So that process is on. I think that is one of the initiatives that I mentioned is aimed at. Currently, it is very, very low. I don't want to really nothing worth speaking about. But as we go by, I think the onboarding of customers would be significantly through the digital channel, both on the liability side and on the asset side. In fact, we are, as I speak, we are completely revamping our onboarding journey on the current account space.

Salee S Nair: You are talking about the business, right, or the transaction?

Manish Jain: Yes, both, sir, both.

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Vincent M.D : Transactions, as of now, it is more than 90%. We have not rolled out any product like pre-approved loans, which is available through digital channels. And thereby, the business growth is as MD and CEO has mentioned is 50%. But our customers do use digital channels like Internet banking and other digital forms. And transactions are 90% of transactions are happening through digital channels.

Manish Jain: Sir, and business, you told how much, 44%?

Vincent M.D : Business is roughly 2% to 3%.

Salee S Nair: That's onboarding of advance customers. Credit customers are normally through legacy means. And our entire initiative is doing that through other means. We have put in place a large relationship manager post. That's a part of we're also looking at how it can be onboarded through various other layers.

Manish Jain: Okay, sir, okay. Thank you for the elaborate answer. And best of luck, sir.

Salee S Nair: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to Mr. Nair for closing comments.

Salee S Nair: It was good to talk to the group here. Of course, I've not been able to see, but the voices were very clear. And like I said earlier, FY '25 has been a year where we are still we have tried to break from the past in terms of growth in business numbers.

We have partly, or rather more than that, what I mentioned in the last December results call that we will look at double the deposit growth. And that has actually happened. We have more than doubled it. I mentioned 8%. We have crossed it. We are at 8.40%. The overall business number is also, I think, is a tad below. I accept that it's a tad below the market. It's 9.58. But FY '26, we will see that it is aligned to the market or perhaps even better than the market.

And our stress quality, the management of our stress is perhaps as good as the best in the market, 1.25% GNPA, SMA at 2.55%. Both combined 3.80% of it's perhaps one of the best in the market. Adequate capital adequacy ratio is very good at 32.71%, PCR at 71%.

And finally delivering a net profit of 10

.35% and we are a lot of initiatives have been taken to push up both the business levels and net profit. And I'm sure that the FY '26 numbers that we will deliver, we are confident that it will be significantly it will be better than what we have done for FY '25 and that's our endeavor.

I think a significant amount of initiatives have been taken. I did mention about verticalization. I did mention about IT initiatives. And of course, also about how we intend to turn our branches, at least some of them, into both in terms of appearance and in terms of orientation for the business growth.

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So I think we are fairly confident. I think confident in the sense that the initiative that we have taken is beginning to show some growth. The green shoots are very, very clearly evident and that gives you the confidence that FY '26 is going to be significantly better than FY '25 and as I said initially, FY '27 is the year that you have to watch out TMB for.

So thank you once again for coming and joining us on this call and I'm sure any other questions that we have, we can also take it separately as well. Thank you.

CFO : You've covered everything. A couple of points I just wanted to sort of address here. That is in terms of NPA management. We have travelled a lot from a position of INR1,084 crores in 2021, which was 3.44% of our portfolio. Today, we start at INR556 crores which is half of what we were in 2021. And similarly, net NPA, if you look at it, this year's position is INR160 crores, which was against INR335 crores last year, which is against more than 50% reduction in net NPA. So these two points I think the investors should take note of and thank you very much.

Moderator: Thank you. On behalf of Tamilnad Mercantile Bank Limited, that concludes this conference.

Thank you for joining us and you may now disconnect your lines. Thank you.

Salee S Nair: Thank you.

Call: Jul 2025

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Ref.No.TMB.SE. 57/2025-26

31.07.2025

The Manager

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Exchange Plaza, 5th Floor, Plot No. C/1,
'G' Block, Bandra - Kurla Complex,
Bandra (East), Mumbai - 400 051. The Manager
Bombay Stock Exchange limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.

Ref: Symbol: TMB / Scrip Code: 543596

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call – Q1 Results

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform that the transcript of the earnings conference call hosted by the Bank on the Unaudited Financial Results of the Bank for the quarter ended June 30, 2025, has been made available on the Bank's website at the following link:

Transcript of the Earnings Conference Call – Q1 Results

We are also attaching the transcript of the earnings call with this intimation.

Kindly take the information on record.

Yours faithfully,
For Tamilnad Mercantile Bank Limited

Swapnil Yelgaonkar
Company Secretary & Compliance Officer
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Q1 - FY 2025-26 Earnings Conference Call - Transcript

July 28, 2025

Management: Mr. Salee S Nair, Managing Director & CEO
Mr. Vincent M .D, Executive Director
Mr. Sanjoy Kumar Goel , Chief Financial Officer

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Moderator: Ladies and gentlemen, good day, and welcome to the Tamilnad Mercantile Bank Limited Q1 FY '26 Earnings Conference Call. This conference call may contain forward -looking statements based on the beliefs, opinions and expectations as of the date of this call. These statements are

not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star, then zero on your touch-tone phone. We have with us on the call today Mr. Salee S Nair, Managing Director and CEO, Mr. Vincent Menachery Devassy, Executive Director, and Mr. Sanjoy Kumar Goel, Chief Financial Officer. I now hand the conference over to Mr. Salee S Nair. Thank you, and over to you, sir.

Salee S Nair: Good morning, and thank you, R Eyo, and it's a pleasure to be part of this analyst call today morning. Yes, I think if you look at the performance of Tamilnad Mercantile Bank for the first quarter of FY '26, I think we have delivered a creditable performance. And also, if you look at the larger picture, we have stabilized more or less the operations also have now been stabilized. The foundation is getting laid, rather a strong foundation for a take-off in the subsequent quarters.

If you look at the business, I think business has always been a worry, particularly with deposits, whether we would be we are in a position to raise it. I think that's something that has seen an uptick, both deposits and the total business. Now it stands at 30th of June, it stands at INR 98,923 crores, up 9.86%. And deposits on a year-on-year basis has more than doubled to 9.38%, it is at INR 53,803 crores. Incidentally, this bank has crossed INR1 lakh crores. I think that's the first peak that has been done. I'm sure many more such peaks will follow.

So deposits, as I said, has more than doubled. The pace of growth has doubled. So we are really, really seriously getting back into our resource mobilization for the kind of growth that we are anticipating. The CASA has been a worry, in fact it has been a worry across the system, and in the bank as well. And I did outlay that outlined the last quarter and the previous quarter that we have taken a number of initiatives in this. And it is beginning to deliver, including the transaction business unit that we set in place.

And in the first quarter, I think, again, the trend of declining CASA has been arrested, and we have been able to reverse it with a year-on-year a modest year-on-year growth of 4.51%. On a quarter-on-quarter basis, this is an improvement of 34 basis points on the CASA share. RAM continues to be our focus, and that's up 11.93%. It currently stands at as on the 30th of June 2025, stands at INR 42,100 crores. There has been a slight compression of NIM.

I'll come to that later. The operating profit is at INR 412.26 crores. It is lower on a year-on-year basis. There are reasons for which, which I'm sure I will explain. Net profit is up 6.13%. So on

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the operating profit, what we have also done is we have up fronted some of the costs that in the first quarter itself, we normally provide the performance-based incentive.

In last year, that was about INR 36 crores, INR 37 crores. And it's normally amortized. So, first quarter of last year, in FY '25, we have taken just INR 8.74 crores. This year, the entire INR 41.27 crores has been up fronted and has been absorbed in the quarter itself. So despite that, we have been able to deliver a 6.13% growth.

Again, on the net profit side, on the operating profit side, both intercon

nected, of course, is that

we did have one -off in first quarter of FY '25, which including recoveries in the technical return of accounts that was not available in Quarter 1 (Q1). So accounting for all that, I think it is a decent operating profit that we have delivered, a decent net profit that we have delivered. And coming to the stress side of it, the credit cost is just about 6%.

Again, tight control, GNPA down 22 basis, 1.22%. NNPA, year-on-year, 33 basis, 32 basis down, virtually, it has halved. Return on assets was at 1.88% and it has come down to 1.82%, a reduction of 6 basis. But sequentially, if you look at what we stated last quarter when we were analyzing the results of FY '25 and the Quarter 4 (Q4) of FY '25, the March quarter of FY '25, it was at 1.81%.

So there also sequentially, it has moved up. Return on equity, of course, is 13.30%. It's down, but more or less stable at the moment. And PCR on book is 73.04%. So and that's a sharp increase that you have seen up from 55.22%. 17.82%, we have ramped it up to 73%. That is on book. That is the PCR on book.

And if you also take the technical write-offs, it is 94.32%. As I was saying that we did take a lot of initiatives on the CASA side, including we did we, in fact, opened 7, both on digital side and on the branch expansion side, I think this quarter itself, we have opened new branches, all aimed at deposits and also in particular, CASA. The transaction business group that we have initiated in early last quarter is slowly beginning to help us turn the tide on CASA.

We have also introduced online account opening towards this. And the sum and substance of the

aggregated initiatives taken is we have seen a year -on-year growth of 4.51%. The CASA stood at Rs. 14,411 Crore level, which I'm sure, going forward, the riding on the initiatives will get strengthened. Retail deposits continues to be good for us, 11.25%, including the bulk. Bulk is also pointing out to the kind of high net worth individuals that sort of banks with 11.43% term deposits altogether at 11.28%. So on our resource mobilization, I think our initiatives, the branches are beginning to take and the growth is now beginning to come. I think 9.38% as I said earlier, it is more than doubled what we have done on a year -on-year basis. So CASA share is up 34 basis as I just mentioned, it is at 26.78%, up from 26.44%. So year-on-year deposit growth, I think, has been steadily picking up over the quarters from 4.64%, it has moved up, now stands at 9.6%.

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So in no quarter, we have the growth has flattened, which points out to the kind of focus that we are bringing into the area into this area. And we expect the CASA also to mirror that going forward riding on the initiatives we have taken. On the advances, yes, on the MSME side, we have a lot of initiatives being taken, as I did mention in the last call as well that we are setting up credit management centers and the quarter we have spent, in fact, in tweaking days and training a large population of who are going to be in the CMT, the credit managers relationship managers.

There was a large contingent undergoing training and as well as we are also looking at setting up the online platform. So there has been a bit of a disruption there, which is in the nature of laying the foundation, strong foundation for MSME sector.

In fact, this is one sector that this bank would be seriously focused on. And you can see some of these as the quarters pass by. Overall, on the RAM side, I think we did deliver the bank did deliver 11.93% of growth. And overall, the growth stands at 10.44%. 30 June, we closed at INR45,120 crores. The CD ratio continues to be 83.86%. I think it's under 85%. We would like to see it remain around 85% or under 85%. We're not really worried about this because our capital adequacy ratio is in excess of 32%.

ess of 32%.

And leverage ratio is 12.44%, which is something that gives us I'm sure not just this bank, I'm sure the investor community also will take a lot of comfort on that. There has been a lot of talk in the market about unsecured portfolios, right? I think RBI and the system, the banking industry itself is worried. And then I come to Tamilnad Mercantile Bank, unsecured portfolio just answered 0.28% of the advances that is 0.28%. So we are largely secured. Our portfolio is largely secured or almost entirely secured.

And even in the unsecured exposure, the NPA is 0.43%. So even there, I think our tight control on the stress continues. On the financial performance, interest income is up 8.20% and operating profit operating the total income is at 6.77%. Again, like I said earlier, there was a one-off in Q1 of FY '25, which helped sort of improve the interest income in that quarter.

If you look at the expenses, you will see that there's a number, 20.24%, and particularly the employee cost was 24.24%. That is on account of, as I just said, that the entire performance-based incentive, INR 41.27 crores that ordinarily in the previous years was amortized over the quarters.

We have taken as a conscious decision to absorb it in the first quarter itself. So, if you remove that, if you even the employee cost comes down to 6.70%, from the 24.24% that is shown there. So overall, that also has impacted the operating profit. And net profit is at 6.13%. If we had negated all that, it would have been in excess of 10%.

So, the shareholders value, we continue to deliver book per value of INR 589 crores and a net worth of INR 9,328 crores. On the NPA, I think this is, again, continues to be our major focus in the bank to control this stress.

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And if you look at it, it is below INR 550 crores. And that INR 550 crores has been delivered with 0 write-offs. So it is entirely the reduction is entirely the gas recovery and the rate and also accounting for the fresh addition. So that's something that we are fairly proud of. GNPA, like I said, is at 1.22% and NNPA, 33 basis points. Slippage ratio 5, basis points. I think another it is just at INR 22 crores, down from INR 54 crores in the previous quarter and year -on-year down from INR 55 crores.

SMA continues to be an acceptable level at 3.05%. And stressed asset 1.88%. And the other aspect that I would like to bring to the attention of the analysts is the collateral coverage that we have. On the stress book, as I said earlier, our stress book GNPA is below INR 550 crores. It stands at INR 549.12 crores and the collateral cover of this book is 108%.

And we have provided this book INR 370 crores. So which means that once we start resolving this, which I'm sure will happen over the next year plus through the year and the year plus, this provision that we have given is likely to largely likely to return.

So on the key ratios, the NIM, we did take a bit of a hit, 3.84%. Then this is something that was anticipated. And if you recall, I did mention in my last analyst call that our NIM would be between 3.80% and 3.90%. Of course, we did have 2 rate cuts that happened 0.5% initially and 0.5% subsequently.

I think that would that impacts the NIM as the repricing of term deposit, I think the bulk of it about 66% of our term deposits is in the 1 to 2-year bucket. So it takes a bit of time to reprice it, and that is impacting the cost of deposit. But even then it is at 6.01%. And the yield on advances is also, I think it has marginally come down 10.02% and 3.84%. And this number of NIM 3.84% going forward, we expect it to be in that range or marginally move up.

Now I'll stop here, and I think I will take some questions and answers questions, and I'll be happy to answer them. Thank you.

Moderator: Sure. Thank you very much. We will begin the Question and

answer session. The first question

is from Jai Chauhan from Trinetra Asset Managers. Please go ahead.

Jai Chauhan: So I just have one question. So sir, the NIM moderating from 4.25% to 3.84% in Q1 FY '25 and your guidance of 3.80% to 3.90% for FY '26. I just wanted to know what specific strategies are you implementing through your transaction business group and services initiatives to improve your funding mix? And how sustainable is your deposit cost management given the competitive environment? And what levers do you have to defend margins in a declining rate cycle?

Salée S Nair: Yes. Of course, I think it goes without saying that the market is really competitive for deposits, particularly when you look at the fight of deposit in looking for higher yields and what's happening in the mutual fund industry. So we were conscious of it. And that's why, in fact, in the last year's call itself, I did mention that we have started a transaction business unit aimed at getting the CASA or retaining and strengthening the CASA base. And I think over 100 relationship managers have been posted exclusively for particularly the current accounts.

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And current accounts is the focus, current accounts and the past accounts, and they have been posted, and they are now in the market, and that's beginning to show in some of the numbers that are coming in. So the CASA mix, as I just said, riding on the transaction business that have been initiated virtually across many of our strategy branches. We do have a relationship manager in strategy branches placed to look at the CASA, particularly top part of it.

And like I said, that's beginning to show some results. On a quarter-on-quarter basis, our CASA share has gone up 34 basis. And this is something that we will continue. We have just launched, in fact, in this month, an online onboarding process for the current account holders. And we are also looking at several initiatives at the branch level itself.

In fact, we are looking at nearly 200 data entry operators to relieve pressure on the counter and so that they can start also looking at referrals and asking for savings bank accounts. In addition to this, we have also set in motion launched elite services group that is aimed at the existing depositors, particularly the savings bank holders.

And this elite services group would have relationship managers giving them end-to-end services to some of the high net worth or high deposit customers or whatever. So that's just been set in place. And both the initiatives together, I trust and I am sure will help us retain the existing customers as well as improve the CASA, the CASA customers going forward and the CASA share in the advances, we are hoping that it will start inching up. And I think is that you want is that okay? Or did I miss out any of your any part of your question?

Jai Chauhan: No, sir. Nothing. That's from my side that's all.

Moderator: The next question is from Lakshminarayanan from Tunga Investments.

Lakshminarayanan: A few questions. As a bank, I look at it, we have one of the best ROEs among all the private sector banks, especially the old gen private sector bank, and we have the highest capital adequacy. We have the best GNPA, right? But I find something is holding us back from growing our core, which is the MSME. And if I look at the last full financial year, the growth has come from gold loans and MSME has actually been struggling for us.

Now is it a conscious choice or we are actually losing market share? Because when I look at some of the large private sector banks like the ICICI, HDFC, Kotak or even Investment Bank,

Axis, the growth is coming from the so-called business banking plus SME banking while we seem to have either consciously holding us back. And I mean, it's just trying to see why with such strong positioning, we are holding

back growth?

Salee S Nair: Lakshmi, let me tell you that MSME is the focus for the bank. It's obviously Mercantile. Now when you look at the name Mercantile itself suggests that we have to be there in the MSME space. If you look at the first quarter, I was just mentioning that we are putting in place a lot of initiatives laying the foundation. I did mention in the last call also that we have started we have set up credit management centers.

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And when we were looking at centralizing some of the process, we realized that it has to move in conjunction with the automation of the appraisal process itself. So I think that process so we have just sort of stepped back from that. The automation process is now being pushed, and we expect by September that process to come online. Hitherto this bank was looking at MSME processing in a manual way.

And that you can't have you can't scale up when it is done that way. So we have now contracted with one of the top service providers or software providers in the country to source a LOS package and a loan management system package. That implementation, we have already contracted. That implementation has started last quarter. It is not an easy it takes time to get this get it on the ground and get the productivity gains from that to start coming in.

And that's one aspect of it. The second aspect of it is that we have also recognized that some of our when we enter the market, we should enter with relationship managers and credit analysts of adequate skills. And that's something that we focus in the first quarter so that we have the foundation laid for a strong foundation laid for a take-off in the other quarters. So there have been a substantial training, several, in fact, credit analysts have been trained twice in the first quarter.

And in addition to that, even the relationship managers have been trained even not only within the bank, we have also sent them to train outside. So this skill set improvement that we are focusing on, along with the kind of investments that we are doing it on the online appraisal system, which I just did mention, the loan origination software, the loan management software, both in the MSME, gives me the confidence that the numbers, if you look at the first second quarter, it will begin to show.

And in addition to that, we have also set up TMCs in the other centers, we have not formalized it. We have placed our leadership there, and we are getting them to move into the market and start looking at new business. Now that's also yielding some business, so me kind of a flow is happening.

And today, when I look at the pipeline, and I'm having a healthy pipeline of close to INR 1,000 crores, which is under process and which I'm sure is going to show some numbers, which is going to increase some numbers for the second quarter. So to put it to summarize it, yes, that is going to be our focus, and that is where you will see some numbers happen in the second quarter and going forward.

Lakshminarayanan: So what kind of growth the bank is either internally budgeting right? Is it and which is the key segment because last year, the growth has come from gold loans and particularly in agriculture.

So what would make you happy at the end of 1 year when you when the full financial year is ended, what kind of growth will keep the management?

Salee S Nair: Yes. Lakshmi, let me tell you that the growth or the focus, gold to us is an OTC, over-the-counter product. That will continue at the branches. The current growth momentum will continue.

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There's absolutely no reduction in that. We will continue there. But where the focus of the bank is currently in ramping up the MSME.

So you look at MSME and the continued growth in the gold loan, I think together, we'll

be -- I

did mention last call also that we are looking at about 15% kind of growth. I'm not anticipating particularly the MSME side. Even in the first quarter, we anticipated that there will be a bit of a disruption and the growth will not happen.

Like I said, the foundation is being laid. Second quarter also, I don't anticipate there will be some growth, but not to the extent. But in the second half of the current year, that is when we would have both our focus areas, skilling up the on staff as well as the loan management because the Phase 1 of the loan management systems also would have gone live.

And I think we will see the benefit of that in the second quarter happening. So both together, from the 10.44% that is largely riding now on the gold loan. We expect once the growth also starts coming in through the from the MSME, MSME sector and MSME portfolio, I think together, I think we should see the growth moving up to about 15%.

Lakshminarayanan: And sir, one question related to your annual report. In the annual report, certain accounts were actually mentioned as fraud. So, I just want to understand how much of that has been is actually being provided in the last 2, 3 years? What is the breakup?

Salee S Nair: No, I think let me tell you, as per regulation, the fraud account has to be fully provided in the same year. And obviously, the fraud accounts, we have provided 100%. But what is the number in the area?

Lakshminarayanan: No, because there is one which was which happened in I think 2 years back, one cotton thing in Andhra, which was almost like INR 165 to INR 170.

Salee S Nair: Yes, Andhra -based accounts, and it is, in fact, the largest of our NPA, and we have provided it 100%.

Lakshminarayanan: And that has been provided as called out as a fraud account?

Salee S Nair: See it was declared, but they went to court and RBI has advised us to actually take the tag off. So it is not called a fraud account at the moment. But despite that, we have provided as a prudent measure, 100% provision.

Lakshminarayanan: Thank You sir, I will get back to you

Salee S Nair : Thank You

Moderator: Next question is from Sana from Evergreen Capital. Please go ahead.

Sana: Hello, Good Morning, Thank You for the opportunity

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Salee S Nair: Yes Sana, Good morning

Sana: Sir, I have few questions. Like the first one is a retail and retail advances. We have seen significant growth at 27.91 on Y -o-Y basis. Can you please elaborate on which sub -segments like are driving it? Like is it housing loan, personal loan or vehicles?

Salee S Nair: No. I think housing loan has really not sort of stable at the moment. It's largely coming out of the personal loans. And to a large extent, it is coming out of the gold loan, where we have not started prying open that segment as well from a gold loan perspective.

Sana: All right, sir. Noted. And sir, in MSME book, what is the life term? And MSME loan portfolio, can you please share the composition in the terms of sub -segment? And which areas are currently under stress? And what is the average ticket size of our MSME loans?

Salee S Nair: In the MSME side, we do have you are looking essentially for the stress in the MSME side, right, or you're looking for the segment of the MSME?

Sana: Sir, I'm looking for like subsegments in it.

Salee S Nair: Subsegment of the MSME, just give me a second. I'll just get you that. Can you quickly come to that page? No. Come to the next one. By then, I'm sure I can get you that, I think so. We will. Textile is a major area for us.

Sana: One more question I have, like in the changing like there is a continuous changing interest rate environment. How are we placed? Like are we going to maintain our CASA ratio forward? And how are we looking to build it up?

Salee S Nair: I did mention this earlier also that we

have taken a few initiatives here. I did mention about the initiative that we took in the last quarter of FY '25, where we said we are setting up a transaction business group. And we have a sizable number of risk managers in the market to look at the current accounts and the past accounts.

And in the first quarter of this year, we have also taken other initiative in the form of setting up initially the group that is looking at the high net worth, the higher deposit high -value depositors and particularly on the current account space. I think that we have sort of initiated in about 50 RMs elite services group. RMs have been sort of set up sort of we have sort of set them up in the first quarter.

And together with the transaction business group, I'm sure that the CASA space we will come back. We have seen some erosions there in the last year, and that's something that we wanted to reverse. And happy to state that in this quarter, I think some results are being seen on that.

And we are seeing, like I said, the 34 basis uptick we have seen in the CASA share. So reversal of erosion, sort of, this seems to we have been able to arrest it. And in fact, that the CASA share

has moved up. And I am sure that with the kind of initiatives that we are taking, we are also

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looking at several initial initiatives in this space. We have brought in the customer experience package has been implemented in the first week of July.

We are in the process of completely revamping our Internet banking package, so that the customers get the conveniences. And several services cost is they have to come to the branch today is tackled through the Internet banking. So that's something that we will see happening over towards the towards December of this year. It's a little distance away, but these are all initiatives that we are taking to arrest the to strengthen the current account and savings bank the CASA ratio.

And in the branch, itself, we are looking at business process management, where we are trying to reduce the current manual workload on the branch staff, so that they have they are freed from the daily routine, the maintenance work and then put into. They can be shifted into the sales group. But it's also a work in progress, and I'm sure we can as the day goes by, we can give you more color on that.

And the what you did mention earlier about the areas that we are in, I just got that breakup of advances that we have. We are significantly on the textiles. We have 1,000 out of the total portfolio, we have about 1,100 plus on the textiles. Food processing, we are quite strong. We have about INR772 crores. Engineering, Iron and steel, about INR200 crores, INR230 crores. Gems and jewelry, chemicals, engineering construction, I think we are there across several sectors.

So it is a fairly well -diversified portfolio that we are looking at. And within the MSME itself, if you look at the micro, we have about INR 9,000 crores the small enterprises at another INR 3,800 MSME. And the median, about INR 600. So it's, again fairly well diversified. And the ticket size, I think, would be I think that's where one we are focusing and improving the ticket size. And it's about INR 20 lakhs to INR 25 lakhs sorry, closer to INR 25 lakhs.

Sana: Ok Sir. Thank You so much sir

Salee S Nair: Thank You

Moderator: Thank You, Next question is from Rohan Mehta, who is an Individual Investor.

Rohan Mehta: Hello Good Morning Sir, Thank You for the opportunity, Sir, I have a couple of questions. Just wanted to get your opinion on what your growth expectations are in terms of deposits. Do you see them outpacing advances and if we have any particular strategy on that front?

Salee S Nair: See, the initiatives that we have taken, we have taken on both sides of the balance sheet. We are focused on the liabilities. We are focusing

on the assets. I just mentioned on the MSME, that we will see the growth coming back to the MSME. The first quarter was a conscious call to lay the foundation. So both sides, the growth we expected to move up off. The deposits, we did on a year-on-year basis, I did mention that we doubled the pace of growth.

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So that will that growth would continue there, and we are hoping that we ended the year in excess of 10%. Maybe between 10% and 12% is what personally I anticipated it all the in response to the kind of initiative that we have taken on the liability side, revamping the branches, all branches are coming on stream, we have just done 7 branches in the first quarter. And we have just appointed 29 branch managers for new branches.

So that methodology also, we are now looking at we have the branch managers in place before the branch itself, so that they can connect with the market. And on day 1, they can start with a certain critical mass. So that's also happening. So the branch expansion is on.

There are several initiatives being taken on the retail side. So altogether, we are hoping that we end up the year on the deposit side on a 10% to 12% of growth. And on the advances, our ambitions are slightly higher. I think I did mention earlier in response to a call that once the growth in the MSME comes back, which is bound to given the kind of initiatives we have done and given the kind of pipeline that we currently have across the country and across the centers, we expect the MSME to contribute equally to the growth.

And we are hoping to close the year with a 15% kind of growth. So it's happening and on both sides, the advance growth may be continue to be a little higher than the deposit growth. For deposit, we anticipate, like I said, in the 10% to 12%, and advance as closer to 15%.

Rohan Mehta: I see, I see. Thank You for the input Sir , in the second half of this year, do you see our cost of funds stabilizing or reducing since that accelerated some pressure on our NIMs in the first half?

Salee S Nair: In the second half, I expect this needs to stabilize. In the sense like I was mentioning earlier, the repricing of term deposits that we have substantial is it will take a while and as the repricing gets passed on because much of quite a bit of repricing on the asset side is has already been absorbed. So we expect the NIM to not be stabilized. My personal anticipation is that as we close the year, we should be looking at a NIM in the 3.85% to 3.95% kind of range because that is the kind of numbers when I extrapolate I get.

So it all depends on again, on the MSME side also, we are consciously looking at how do we price our MSME for a final so that we get a larger chunk of the market in areas that we operate. So even after accounting for that, I think that we should be in the 3.85% to 3.95% kind of NIM in the year.

Rohan Mehta: I see. That's helpful, sir. Just a couple of more questions. Would you expect our GMRA to move a little higher since SMA 2 has also moved up to 1.02% in the coming quarter?

Salee S Nair: SMA 2, again, it unfortunately was a function of the exercise time in when this quarter closes. You had 2 holidays that it was there . So ordinarily, I think, because there was a bit of a spike essentially on that count. Going forward, I think I don't see that happening on SMA 2 or SME, which I think we are at 3.05%. I think that's the kind of number, I think, perhaps even will be even better than, right?

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It will be even better than that. So I don't anticipate some of them flipping into the NPA status going forward. We will continue to keep the NPA , my own reading of it is that it will not go beyond Rs. 550 Crores at any case. And as the expansion in advances portfolio happens here as a percentage, it

should continue going down.

Rohan Mehta: I see, I see. Sir, just one last question. If you could give some color on since some of our shares have been in litigation, any visibility on when there can be some closure on that since it's been weighing on our capitalization and valuation?

Salee S Nair: We did have there was a, either 7th or 9th of July, I forgot which date it is, we the litigants were before the High Court and they have postponed it to October for a final closure. So sometime in October, that's likely I mean, you can never know on the legal side, how much time it will take. But what is happening is, see, that is not impacting the bank in any way. So that is something that we have ensured. And we have also if you look at the ED's show cause notices, and we have got expert opinion from the top one of the top law firm in the country. And they have stated that it's not going to really impact us, even the fact that the show cause notice was for the conversion or the issue of bonus shares , which involved no additional funding funds. So I don't think that's going to impact the bank in any way. But we also like you, aware, sir, of the issues before the courts. And I'm sure and I really, really can't put a time frame into that given the kind of the time spent that is normally taken into the legal while handling the legal remedies, yes.

Rohan Mehta: Fair enough, sir. Fair Just to close it, you spoke about MSME, sir. So since our SMA 0 and 2 both have increased, do you see any stress towards MSME? Or if you could give some visibility on that.

Salee S Nair: Like I said, one advantage this bank has, I did mention also that while talking about the GNPA that our GNPA is current INR 549 crores is handled covered by collateral to the extent of 108%. When the GNPA gets and we are sitting on INR 370 crores of provision. So when the GNPA gets resolved, this provision will come back. So that also gives us an advantage in actually managing the MSME portfolio itself in the sense that the recourse mechanism is fairly strong. And that, you see it moving between SMA 0, 1, 2, etc, but it never sort of flows into the GNPA. And that's something that we have been saying, and its sort of problems come back between SMA 1 and SMA 2. Some and even in the SMA space itself, it's moving around the 3%. So I don't anticipate a stress in the MSME sector in the current portfolio. And like I said the incremental portfolio that we are looking at, the new additions we are looking at, we are you know, our LMS And LOS packages are getting implemented. To just add to that, I can also tell you that we have just built a business rule engine. We've got a top management consultant of the country to help us build the business rule engine, and that's just been completed.

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Now we are in the process of validating the risk modelling that has got into it and trying to impact that into the LMS package. And hopefully, by September, I think we should be able to do that. And that should improve the quality of the incremental portfolio that the new portfolio that we are going to add from that. So the existing portfolio largely will be collaterals, we don't have much of an issue there on the stress side. And the incremental portfolio, we are putting in place systems to see that the quality is maintained.

Rohan Mehta: Alright, understood sir. That is reassuring. Thank You for taking my questions. That's all from my side. All the best.

Moderator: Thank You. The next question is from Anant Mundhra from Mytemple Capital.

Anant Mundhra: Sir, my first question is, sir, on the agri and retail side, most of our goal loans are gold loans. Is that understanding correct?

Salee S Nair: When you say mostly, your understanding is right.

Anant Mundhra: Okay, okay. And sir, so MSME, you mentioned that you are implementing the LM

S. And Q3,

Q4, we should start seeing a pickup. But is there any kind of a guidance that you can give us as to what number should this scale up to by the time we exit Q4?

Salee S Nair: See, this implementation that we are on, I did mention that the even without the implementation itself, we have strengthened our relationship mechanism, and we have generated a substantial pipeline. So quarter 2, we hope to focus on the implementation of the LMS. The lowest, of course, is when you look at the retail side of it.

So LMS, the loan management system, which not really looks at the appraisal side of it. It also goes beyond the disbursement into maintenance of the tech funds as well. So it's going to take some time. I think Phase 1 would be here in the first, in the second quarter. And Phase 2, we hope to have it in the second and the third. And the third quarter, we hope to complete Phase 2. So despite some disruption that will happen on that, I anticipate the MSME growth to be about it should be in the 8% to 10% or maybe closer to 10%. That's what we anticipate. And overall, with the kind of focus that we are going to bring into the personal segments, the continued focus on the gold loan, collectively, we expect the advance's number on a year-on-year basis to ease towards the 15% mark.

Anant Mundhra: Sir, got it. So sir, we are holding on to whatever guidance that you had given last quarter, right? There's no change in any of the guidance that you had given us today.

Salee S Nair: No. No, no. The first quarter, like I said, was an aberration because of the foundation that we wanted to lay down for our growth.

Anant Mundhra: Got it. And sir, even the cost to income, so I mean, there's a presentation, I think, on Slide 26 that the cost to income has constantly been going up.

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Salee S Nair: I did I mentioned Anant, I did mention this in my opening remarks that there is the personal sorry, performance-based incentive that we usually give to our staff, that last year was amortized.

In fact, it has been amortized over the years. It has been amortized across 4 quarters over the years. And we picked up only INR 8.71 crores of that in the first quarter of last year. This year, we have decided to absorb the whole PBI, the performance-based incentive in one shot in the first quarter itself.

That is INR41 crores plus. If you negate that impact, your cost-to-income ratio would be closer to 46. I think something that you can yourself calculate. So that was INR41 crores that we did. And that also impacted the operating profit, that impacted the net profit. Obviously, it had been much better at the amortized rate. There was a constitution that we thought of upfront the entire expenses because this expense actually belongs to the previous year.

Anant Mundhra: So this I mean, then, of course, this should kind of peak in Q1 and then normalize Q2, Q3, Q4 onwards.

Salee S Nair: No. Q2 is once it has been yes, yes. Obviously, obviously. So once it has been absorbed in Q1, it gets sanitized off Q2, right?

Anant Mundhra: Yes. And sir, my final question sorry. Hello?

Salee S Nair: Yes. Tell me.

Anant Mundhra: So my final question was, sir, we are taking a lot of initiatives in terms of take initiatives and a lot of capex is going on. So I mean, most of these expenses have been capitalized or we are expensing it directly from the P&L.

Salee S Nair: See, the software is being capitalized. Much of what is happening is on the software side. It has been capitalized, and it has been capitalized over a 3-year period. That means 1/3 of it, 33% is actually only will impact the P&L in terms of depreciation. So it is being capitalized, and it will be extended off over a 3-year period.

Anant Mundhra: Got it, got it. And sir, did you give some color on the I think we were planning to set up some

NRI centers and some credit management centers. And I think we had even started some pilot on that. So could you give some color on where we are on that front?

Salee S Nair: Two things. NRI Center, we did the initiative is on. And we have located the place, and the infrastructure is getting ready. We are also going into the market. If you might have seen it that we are looking for a lead to head the GNFC that the global NRI center, we are looking at it. We had just come out with an advertisement. We had 2 rounds, 1 round internally to get the right person. So we went out, and there was some bit of an issue on the person we sourced. So we have come out again. So that process is on, and I expect that in the second quarter that process to be completed. And we would have a global NRI center ready for action.

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Meanwhile, the focus continues across the branches. We need the leaders, so that we get into the linkages not only within India, also abroad, so unless that happens. So that is continues to be a work in progress.

On the CM C, like I said, we have set up the CMC on a pilot basis in Thoothukudi. And I've also stated earlier that the leadership for the CMC, the vertical heads and the CMC heads, we have appointed across all the 12 regions and while the CMC is getting formalized in the other regions, we have told them to move into the market and start looking for MSME business.

In the pilot, which is happening in Thoothukudi region, the project is on, and that is where, like I said, the centralization of process is working well. It is resulting in some in a fairly sizable or a significant reduction in the turnaround time. But like I said, all this can fructify only once the platform is there, and that LMS platform is the one we are currently working on.

Once the LMS platform is completed in September, the Phase 1, I mentioned, and the CMC pilot in Thoothukudi is on the platform, so that we can test out the platform, and once that is completed, I think sometime in October, we will sort of move the CMCs into the other regions as well. So while the platform is moved, the infra is already being built, like I said. The leadership has already been posted for the kind of take-off that we are hoping to happen in the third quarter.

Anant Mundhra: Alright Sir. Thank You for the details

Moderator: Thank You, The next question is from Jay Prakash Kumar from Korman Capital.

Jay Prakash Kumar: It's a question on SMA account. So if you can elaborate on that?

Salee S Nair: SMA account?

Jay Prakash Kumar: Yes.

Salee S Nair: Well, what specific are we looking at in SMA?

Jay Prakash Kumar: What is this definition of SMA account? Is it due for some days? Or because restructured, you have reported separately. So I just wanted to understand what is SMA?

Salee S Nair: Are you looking at the definition of SMA?

Jay Prakash Kumar: Yes, yes.

Salee S Nair: SMA is essentially per 1 day after 90 days. After that, it becomes NPA. And within that 90-day structure, 90-day period, you have up to 30 days of SMA 0, 31 to 60 days of SMA 2 and 60 to 89 days or 90 days of SMA 3 sorry, SMA 2. SMA 0, 1 and 2, 30 days, 30 days, 30 days, right?

And 90 days, it becomes NPA. So these are what you're seeing is all in the 90-day bucket.

Jay Prakash Kumar: Got it, got it. And sir, you mentioned in the last quarter, there is some extra cap ex you are doing in terms of automation and maybe some system implementations. So do you expect this full year

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to continue that increased capex or there will be some quarter like and in another quarter not have that?

Salee S Nair: On the IT side, it would continue. Like I said, we have contracted several packages, of which some of them have already been implemented in this quarter. On

July 7, the customer experience

package that we have taken from one of the leading software companies in the world i.e. oracle. So that has been implemented in the first fortnight of July.

So that's aimed at giving the leeway for improving the product per customer and the counters in the branches, giving a 360-degree of the customers, so that the customer interaction relationship have with a clear impact on CASA happens. So that is on the CX side. We have implemented

the VMS package, which is the vendor management system. We spent about INR1,200 crores for running the bank. So that package has also been implemented in July, this month.

And several others are in the offing. I did mention about the LMS. So the Phase I is on. LOS also is on. That is LOS is looking at the retail. LMS is looking at the MSME. That's all, and I think the Phase I is likely to be completed in September.

And apart from that, we are also looking at the Internet banking. We are completely revamping our Internet banking package. Whatever services is available across the counter, we want to make it available through the Internet banking package. So EdgeVerve, which is an Infosys company, we have contracted them for a complete revamp, which should be ready by December. And from January 1, we hope to have it fully launched for the benefit of our customers. So that's the other package on.

And within the branches, it start to improve the productivity and reduce the manual way of handling it. We have brought in the business process management s. And I think several projects are underway. I think some of them have already been done. And we have already started getting the benefit of it. I think going forward, I think we hope significant improvement in productivity will happen there.

Apart from that, we are also looking at the old record, cartonizing and detaching the old records and moving it out, so that we revamp some of our branches from a customer's perspective. So a lot of initiatives are being taken. I think that's the first set of initiatives I did mention across whenever I have calls with the analyst in the last 2, 3 quarters and that's something on, and we will consolidate this for the benefit of our business.

We expect the second half to have some impact of it, and that is there that my confidence comes from the fact that I can increase the deposit will certainly cross the 10% year -on-year and advances will reach closer to 15%. Confidence comes from the fact that some of these initiatives are going to give me a leg up in the second half.

Jay Prakash Kumar: Thank You

Salee S Nair: Yes

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Moderator: The next question is from Sarthak from Bullseye.

Moderator: There seems to be no response from Sarthak. We move to the next question. Next question is from Darshan Deora from Indvest Group.

Darshan Deora: Yes, Thank You for the opportunity, Yes, Firstly, congratulations with a reasonably good set of numbers, especially adjusting for the Q1 FY '25 figure as well as the accelerated provisioning on the performance incentive, which you've taken in this quarter. My question is for regarding the loan mix. So currently, what percentage of our loan book would be fixed in nature versus linked to EBLR versus MCLR ?

Salee S Nair: EBLR, MCLR is about 50% and 50%. 50% EBLR, 50% would be MCLR.

Darshan Deora: So in terms of fixed yes. In terms of fixed, is it 0, fixed book is 0?

Salee S Nair: Fixed book are doing what is the extent of fixed book? I think it is negligible, right? I'll get you that number, but it is almost entirely is floating split between MCLR book and EBLR book. Like I said, the INR45,000 crore s is evenly split between the 2. Almost even, I think, but fixed book I think is very, very little. Not really good impact.

Darshan Deora: Got it. And you said that the average the deposits will take

about maybe overall like maybe a

year, 1.5 years to repr ice. What about our loan book? Like what is the tenure of our loan book?

Salee S Nair: The average maturity, I think, I will have to get you that number because you have that number this I'll give you that number, Darshan.

Darshan Deora: Okay. All right. Got it. And ...

Salee S Nair: You need to get the average maturity of the term loan. I think that's what you're looking for, right?

Darshan Deora: Yes, yes. I mean, it would get repriced anyway. I'm assuming it will get repriced either way.

Salee S Nair: That's why we look at the term deposits. It's the 6%, as I said, in the 1 - to 2-year bucket. Another 20% in the 6:1. So 86% is in that. But it takes a bit of time. I think that's where the pass -on nature of your repo cut impacts.

Darshan Deora: Got it. And just in terms of the MSME space, you did mention that in terms of your loan book, you'd all see stress because of the collateral that you have in place, vis -a-vis the loan amounts the outstanding loan amount. But generally speaking, you're seeing a slowdown in cash flows or in growth of the MSME sector.

Salee S Nair: In the MSME, the unique ness of this bank is that the kind of loyal base that we have been having. We are trying to expand beyond that, ensure that and the collateral factor that is build into the whole mechanism of credit delivery ensures that even if it gets to a SMA, it sort of toggles back

into the standard. It keeps moving up and down.

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On the so that's not much of a worry for us. Our worry is the kind of incremental. When we renew a contract of a new MSME business, how do we maintain the same level of quality? Obviously, it can't be collateralized to the extent that the existing book is. So to that extent, that is one of the reasons why we are investing heavily in the VRP and the kind of LMS packages and the linkages that with outside world in terms of data collection, so that we can cleanse the data for quality appraisal. That's something that we will take care. But on the cash flow side, as of now, we have not seen any kind of a lowering of it or an area of concern from a cash flow perspective. I think that continues. And let me also give you that we are putting in place a standard monitoring mechanism to study the cash flow from that perspective. That's the other one of the other projects that we did talk about, that is coming on - stream maybe in the third or the fourth quarter. But as of now, we have not seen much of a worry there.

Moderator: Thank You very much. The next question is from Santosh from SKK HUF .

Santosh: Okay. Great. Sir, I have 2 questions. One is about the you spoke about NIM in the forthcoming quarter to be something like 3.85% -3.95%. So what gives of this confidence. So what gives us this confidence in the rate reducing scenario when the rate reduction environment and expedient our needs are much lower than that? What gives us this confidence?

Salee S Nair : Yes. See, what we are also trying to do is on the MSME side, we have actually dropped our rates to align assets to the market, so that to update any takeover that may happen. And on the see, we have a sizable gold loan portfolio that is growing, right? And there, we are introducing in fact, if I tell you, we are introducing 18 products cut into separate segments in the gold loan portfolio. And this is one portfolio that has been giving us the kind of support and for the profits earlier, and we will continue focusing on that.

And there, the yield, we anticipated it to be a little higher than what we are getting earlier because the new products particularly aimed at the consumption segment will carry a higher rate of interest. And I noticed that, that segment is, in fact, growing. So that will help us to whether the policy cuts that we are seeing. That is where

the confidence comes that we can, in fact, look at 3.85% up.

Management: And we are sure about the demand in the gold room.

Salee S Nair: I'm telling you from the kind of growth I'm seeing it across my branches.

Santosh: Okay, okay. Second question is about the separate disclosures from gold loan. So what's happening is that when you see a presentation, we just see a disclosure for RAMs sector , retail, agriculture and MSME. But there is no separate mention on the gold loan amount that's outstanding. So any reason for that? Because many other banks do that, and they separately disclose gold loan. And then we can understand...

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Salee S Nair: Yes. I think that's something we can do it next quarter onwards, so that you get a better insight anyway. There is no reason. There's no particular reason. This is done and it is done. So if there is a demand, we will certainly cater to it. We'll have that done for next quarters onwards.

Santosh: Okay. That's great. So just now just for the sake of information, what could percentage of total RAM portfolio be?

Salee S Nair: It's a little over 40%, a little over 40%.

Santosh: Great Sir. Thank you so much and wish you all success .

Salee S Nair: Thank You

Moderator: We'll take that as the last question. I would now like to hand the conference back to the management team for closing comments.

Salee S Nair: Yes. Thank you, Roy o. I think, like I said earlier, this first quarter is I look at it more as a stabilizing quarter, a quarter that is laying the foundation. And I think the numbers that have been delivered, particularly when I look at the deposits, I think I'm satisfied that my branches are now beginning to deliver, particularly when I look at the fact that the deposit growth has the pace of growth has doubled.

The profit space is reasonably good, particularly when I look at the fact that the onetime expenditure I have appended it. And again, on the NIM, I think the NIM, I don't think we expect

the NIM to go down from where it is today. And so the growth around the NIM is likely to push up and will generate the profit as it comes in the next few quarters.

There are initiatives that are being taken. I hope will result in, and I'm sure it will result in the number the growth numbers moving up. I did mention that we expect the deposits to grow in excess of 10% and the advances closer to 15%.

So I hope my words will be validated by the performance of the next quarter and the quarters that follow. Thank you, thank you all for participating in this analyst meet. And if there are any questions separately also, you can take us with us, and we'll be happy to share it. Thank you.

Moderator: On behalf of Tamilnad Mercantile Bank Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Nov 2025

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Ref.No.TMB.SE. 104/2025-26

01.11.2025

The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor, Plot No. C/1,
'G' Block, Bandra - Kurla Complex,
Bandra (East), Mumbai - 400 051. The Manager,
Bombay Stock Exchange limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001.

Ref: Symbol: TMB / Scrip Code: 543596

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call – Q2 Results

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to inform that the transcript of the earnings conference call hosted by the Bank on the Unaudited Financial Results of the Bank for the quarter and half year ended September 30, 2025, has been made available on the Bank's website at the following link:

Transcript of the Earnings Conference Call – Q2 Results

We are also attaching the transcript of the earnings call with this intimation.

Kindly take the information on record.

Yours faithfully,
For Tamilnad Mercantile Bank Limited

Swapnil Yelgaonkar
Company Secretary & Compliance Officer

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Q2 - FY 2025-26 Earnings Conference Call - Transcript

October 28, 2025

Management: Mr. Salee S Nair, Managing Director & CEO
Mr. Vincent M .D, Executive Director
Mr. Sanjoy Kumar Goel , Chief Financial Officer

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 and H1 FY '26 conference call hosted by Tamilnad Mercantile Bank Limited. This conference call may contain certain forward -

looking statements based on beliefs, opinions and expectations as on the date of this call. These statements are not guarantees of future performance and involve certain risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Today on the call, we have with us following management representatives: Mr. Salee S. Nair, Managing Director; Mr. Vincent Devassy, Executive Director; Mr. Sanjoy Kumar Goel, Chief Financial Officer.

I now hand the conference over to Mr. Salee S. Nair, Managing Director from Tamilnad Mercantile Bank. Thank you, and over to you, sir.

Salee S Nair: Thank you, and good morning to all of you. In fact, apart from what -- we also have Ashok Kumar, who is the Head of Resources, and Ananda Ganesan, who is the Head of Credit, with me.

So okay, just to get into the performance for the quarter ending 30th September '25. The big story that we have announced is the opening of the 600th branch for the bank, right? And that is 22 branches have been already opened in the first 6 months, and we hope to open another 30, 36 branches going forward in the current year. So that is where we are, expanding our footprint to accelerate growth.

On the financial numbers when I come into, I think the story again is that the growth is accelerating. This is a concern that the market participants had earlier and our own history showed that we were underperforming the market. I think that's something that we have been pushing for and that the growth finally is coming back is the story I have to say today and it's reflected in the numbers.

The total business has grown 11.40%, deposit at 12.32%. Deposit was well underperforming the market in the last few years. It is at 12.32%, and the story is also of CASA revival. CASA is something we lost in the last year. But in the current year, the year-on-year growth is 9.30%, but 92 basis is what we have picked up. CASA share has gone up 92 basis in the last 2 quarters. In fact, in quarter 2 itself, it has gone up 58 basis.

Advances momentum is aligned to the market, but the momentum is picking up. You will see that noticeable in the next 2 quarters quite substantially. And as usual, the NPA numbers, the stress numbers of the bank has been one of the best in the market. We are at 1.01%. So that is the major one.

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Of course, the profit is at INR318 crores, quarter-on-quarter, 4.14%; year-on-year, 4.73%. If you look at the operating profit, it is year-on-year 2.74% negative. There is a story in that, that we have put out in the presentation itself.

Quarter 2 of last year, the quarter 2 FY '25, we had a written-off recovery amounting to INR98 crores, which part of it went to the interest income and part of it went to the other income. So INR61.65 crores went to the other income and INR36.90 crores went to the interest income. So both these streams of income have been impacted by that recovery.

And if you net out that recovery, you notice that the operating profit is not 2.74% negative, but it is actually 19.83% positive Y-o-Y. So that would impact the net interest income, which sanitized for that is up 6.32%; the total income, 9.69%, both I said on a year-on-year basis. And of course, it also will have a direct impact on net profit. I'm not stating that number because it has also provisions impact.

The credit cost continues to be under control. It's just about 15 basis. The GNPA has shown a sharp reduction, 1.01%; net NPA at 0.26%. ROA has shown an uptick. In fact, it has been going up in the last 2, 3 quarters, and it is at 1.85%. ROE has also taken an upswing, it is 13.77%. And PCR, all this has happened without compromising on the PCR, which also has taken 132 basis points upswing with 70.36 %.

Getting into some of the more numbers. Like I said, the CASA is at 9.30% year-on-year growth. Total term deposits -- the term deposit at 13.50% and revival of deposit is a story -- one of the major stories of the current quarter. The deposits are at 12.32%.

Advances portfolio, the other story is that MSME is also now begun. We have taken a number of initiatives in the MSME area, which I did report last quarter. It is beginning to show. The quarter-on-quarter MSME is at 3.84%. So that is the other story that we want to put out.

The RAM portfolio is up to 94.59%. I think we have been a little slow on the corporate book because of the historical baggage that we had in the form of NPA. So we will get back into the corporate book after we put our systems and then the skill set is put in place. At the moment, our

focus is not the corporate sector, which has been shrinking, and it will continue.

On the unsecured exposure, another concern for the market is our share of it in the total advances is 0.30% with practically negligible NPA in that. U.S. tariff impact, we have just mentioned that, yes, we do have a 1.05% impact on export credit, but only 17.53% of that is impacted by the U.S. tariff, of this 1.05%. So we are well covered there. I don't see the U.S. impact impacting our book in any manner.

Like I said earlier, sanitized for the recovery in FY '25 of last year, the interest income has gone up 8.48%, net interest income has gone up 6.32% and total income by 9.69%. and this has added to a very strong shareholder value.

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The earnings per share is at INR20 plus, book value at plus INR596.38. I repeat, it is INR596.38. ROA continues to have a slight tick quarter-on-quarter, 1.81% in last quarter of last year to 1.82% to 1.85%. I think this is something that we hope will be maintained, 1.85% would be maintained going forward as well.

NPA, there has been a recovery and the cash recovery of INR26.97 crores in the current quarter, upgradation of INR4.34. And overall, we have also written off INR66 crores. Overall, the NPA has come down from INR549.12 crores to INR474.45 crores. This has, like I said earlier, come on the PCR which has actually gone up to 74.36%. So that's the other piece, that PCR is at 74.36% and PCR with technical writeoffs, something that the market looks at, is at 95.30%. So asset quality, I think is perhaps one of the best in the market. A net NPA of 0.26% and slippage is also under control. Slippage is just 5 basis points and slippage across the various verticals, retail, agri, MSME, etc, MSME had a small slippage, but across it is well under control. SMA is trending down and the gross SMA is at 2.67%, SMA 0, 0.97%; SMA 1 at 0.80% and SMA 2 is also at 0.90%. So the SMA category is well under control. The aggregate SMA is 2.67%. That means the portfolio at risk 1 day is at 3.68%. So that is a number that we are sort of fairly proud of.

So stressed assets, this restructured and the NPAs together is at 1.59%. So that's also trending - that's also a number that is clearly trending down. The other point that we would like to make here is the collateral cover of our NPA. We do have, as you have seen, INR474 crores of NPA, but it is covered to the extent of 111% by collateral.

So when the resolution happens, the portfolio loss is expected to be low and we have incurred a provision of INR323.66 crores, which hopefully most of it should be returned back when the

resolution happens. So that is something that's a profit we are sitting on when the resolution happens.

Expected credit loss is something that we have come out with. We have done our own analysis we thought we'll put across to you to tell you where we stand on the expected credit loss. And we have done our calculations and we noticed that we would be requiring an additional INR210 crores of provision. This is coming in the form of additions in Stage 1 assets and Stage 2 assets. So INR210 crores provision is what we look at and that would have a 73 basis capital adequacy impact. Nothing significant for us because we are sitting on a capital adequacy of 30.96%. So 73 basis is not an impact significant enough. And if we are -- it was just 15 basis if you take the transition route.

But let me tell you that currently, this bank is sitting on a INR250 crores of provisions for COVID and other contingencies. So if I take you back, we had restructured advances base of INR443 crores and it has come down to INR271 crores. We had kept the provision to largely cover that. Restructured advances now come down to INR271 crores from INR443 crores a year back and it's trending down.

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So this provision is something that we propose to -- we will not be requiring going forward, and this is something that we would be using to take care of the additional ECL requirement. So going forward, when the expected credit loss on the 1st April 2027 is implemented, we don't anticipate any kind of impact on our P&L.

So key ratios. Deposit quarter-on-quarter has moved down 11 basis 6.01% to 5.90%. Yes, and this will continue trending down as the deposit gets repriced into the new rate buckets. Cost of yield on advances at 9.97% and the net interest margin is at 3.83%. Like I said, when the deposit gets repriced, this will stabilize, and we expect this to be at least 3.85% plus going forward.

On the capital adequacy, 30.96% is where we stand. Cost-to-income ratio is at 43.81%. This has come down almost 5.5% from the previous quarter, and we are committed to maintaining it under 45% going into the next quarters. PCR, I mentioned technical write-offs, with technical write-off is at 95.34%.

The other piece we would like to bring into the attention of the analysts is the digital momentum that we have. In fact, some of the growth coming back into evidence is on account of several of our initiatives that we have taken. In fact, on the IT side, we will be looking at an enhanced budget of INR250 crores. I think a lot of expenditure is happening.

We did mention some of them. Loan management systems, the Phase 1 is on right now, is almost completed and is under UAT. Workflow automation out of the 8 projects, 3 have already been handed over. So that's also beginning to show some results. The website is getting revamped. We are getting into fintech partnerships. We are completely replacing our Internet banking package and upgrading our mobile.

So there's a lot of activity from a digital -- from a modernization of the bank that is happening.

And some of them have already been implemented like the CX platform, like the vendor management system, like the human capital management and performance system. So they have all been implemented and we are already seeing some of the results coming into both the growth momentum and as well as the profits.

So that's from my side, and we are now open to questions.

Moderator: The first question is from the line of Digant Haria from GreenEdge Wealth.

Digant Haria: Yes. Sir, my question is that this quarter, we have seen good growth in RAM, the retail, agri and MSME, especially the retail part. So if you can just highlight that was it like a one-off or all the initiatives you have taken for the last 1.5 years, how has that impact come together? If you can just give a little more

details about that? And going ahead, will the same growth momentum continue?

Salee S Nair: We anticipate the growth momentum to continue. And let me also tell you this is not a one-off. When I say this is not a one-off, obviously, it will be confirmed by the results of the next quarter and the following quarter, right? I think a lot of initiatives have been taken here. We have put in

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place the loan management system, which I just mentioned earlier. It is just undergoing UAT. Centralization of appraisals we have brought in.

So I think a lot of initiatives have been taken, which is beginning to have a salutary effect. The RM base has been strengthened, the relationship management base has been strengthened, the credit analyst base has been strengthened. So this is not a one-off. This is the glimpse of what is going to happen in the future. So this will continue.

Digant Haria: Right. So sir, would you like to give any guidance for this year?

Salee S Nair: Wait, let me also put it that way, yes. Sorry, tell me.

Digant Haria: Yes. Sir, would you like to give some guidance for this year FY '26, that will we be able to do that 13%, 14% kind of a loan book growth for the full year? Or it's still too early to give that?

Salee S. Nair: In fact, this year, we hope to end up with 14% plus, 14% to 15% on the credit growth. And taking it further, also on the deposits, I said we will be aligned to the market, but I think we will be better than the market this quarter. I'm looking at 12% to 13% growth on the deposit and 12% on the CASA itself. So I think both on the liability side and the asset side, we are going to see growth sort of accelerating going forward. It will be slightly better than what we originally thought is possible.

Digant Haria: Okay, okay. Sir, and in the last 2 quarters, you had alluded that our ROAs may settle from, say, 1.9% to maybe 1.7% or 1.8% because of the margin pressure. But in the last 2 quarters, we have done better than that. So you think that worst of that margin pressure is also over?

Salee S Nair: See, like I said, the repricing of the term deposit, we thought it would take about 3 quarters. And in fact, if you look at the cost of deposits has come down 11 basis in the last quarter. So repricing is happening, which will have an impact on the NIM, which is sort of settling down. We hope to touch 3.85% plus. And that also will have a lead effect on the ROA, which happily for us has been seeing an uptick. I think we were looking at 1.75% to 1.8%, that kind. But I think we probably will be ending the year a bit closer to 1.85%. The current level, I think we should be able to maintain.

Digant Haria: Right, sir. Right, sir. That's good to know. And sir, my last question will be on whole retail, agri this RAM portfolio. What is the overall yield there versus what is the bank level yield?

Salee S Nair: The overall yield is pretty much is the same, right? Because it's about 5% is the other. So what we have is about almost 95% RAM. But let me see. You have a separate overall yield for RAM alone? I think it pretty much will mirror the current yield on advances.

Digant Haria: Got it. Or let me just put it this way, what is your highest and the lowest yielding product? And how much will be the yield there?

Salee S Nair: See, we have a significant gold loan portfolio, right, jewel loan portfolio, which some of it is in the agri space, some of it in the retail space. And the agri gold loan portfolio, agri jewel loan

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portfolio, the yield is 10.15%, right? I think that remains. And the consumption loan, now the retail side, what we call the consumption loan is at 11%. So that's something that's steady. I got that RAM yield. It is at 10.05%.

Digant Haria: Thank you so much and all the best.

Salee S Nair: Yes, Thank you

Moderator: Our next question is from the line of Sidharth Chandrasekar from SJN Securities. Please go ahead, sir.

Sidharth Chandrasekar: Sir, I have two questions. Basically, the first question is about the shareholder case which is going on, right? So if there is any potential impact in our company? Basically, what I meant is, say, for example, whatever outcome that comes out of that case, right, will there be any monetary impact? Like any issue of new shares or cancel of new share, something like that?

Salee S Nair: I'm sorry, I think you're not clear. What is it that you're asking? You've mentioned something about shareholders.

Sidharth Chandrasekar: Yes, yes. Is it any better, my voice is any better?

Salee S Nair: Yes, you're getting better. Yes, tell me.

Sidharth Chandrasekar: Okay. So what I meant is, sir, regarding the shareholder case which is going on, right? Will there be any monetary affect on our company depending on whatever outcome that comes out of that case?

Salee S Nair: No, no, no, nothing at all. In fact, we have put it out in the last balance sheet, in the fine print if you look at it, it's very clearly there. See, there we the bank came into picture. It is actually an issue between shareholders and share holders and issue between shareholders and the ED. Where we came into picture is that we issued the bonus share, 1:500 when we did prior to listing, we issued to everyone, including those impacted by it. And ED did not like it and issued a show cause notice to us and slapped an equivalent amount as show cause they issued a show cause notice to us.

But this is under a certain section of FEMA, I don't recall the FEMA. When we look at the maximum penalty there is INR2 lakhs. INR2 lakhs, right? INR2 lakhs, and we have already provided for that. We've got legal opinion from the top legal firm in the country to go through the papers and see what is going to be the impact because there is no money laundering angle to that.

What we just did was the existing net worth, which was there for 1 share, which was converted into 501 shares. So there is no exchange of cash. There is no cash transaction happening here, which has been acknowledged by the top legal firm and as per their advice, we have already put

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INR2 lakh provision, which is the maximum provision or maximum penalty possible from the ED side.

Sidharth Chandrasekar: Okay. That's good to hear...

Salee S Nair: We have already provided in books. Already.

Sidharth Chandrasekar: Okay, sir. Sir, one more question about our deposit portfolio. So you mentioned like we are aspiring to somewhere around 12%, 13% for deposit for this year.

Salee S Nair: Yes, yes.

Sidharth Chandrasekar: So year -to-date, we did around 3%. So I think the remaining 9%, can we achieve this? So is it possible?

Salee S Nair: Yes, yes, I think 3% is for the quarter. What we're talking about, 3% is for the quarter.

Sidharth Chandrasekar: Yes. The prior quarter was kind of flat, right? So the Q4 versus Q1 is kind of flat. So year -to-date still...

Salee S Nair: Yes, I think your question is valid. And let me tell you the kind of momentum that we see on a month -to-month basis and look at that. We always overachieve, let me tell you, when we give a guidance, and you have seen it from the past also that we will exceed. And the confidence comes from the fact that the growth momentum we are seeing it happen on the ground, the initiatives

are beginning to pay off.

We did take Transaction Business Group, which is again beginning to pay off. We have set up an Elite Service Group, which is also beginning to help us in the overall term deposit and the savings bank side. So I think 12% to 13% is where we will see the year close. And if you're asking 3% and the year was flat, you will see at the

end of the year, it will be there.

Sidharth Chandrasekar: Ok. Damn good.

Salee S Nair: Ok. Thank You

Moderator: Next question is from the line of Parth Manish Gutka from B&K Securities.

Parth Manish Gutka: Sir, can you just mention what is the TWO pool as of date?

Salee S Nair: What is that?

Parth Manish Gutka: What is the outstanding Technically Written -Off pool as of September?

Salee S Nair: Okay, okay, Technical Written Off, T -W-O, okay, okay, right. I think it is a little under INR2,000 crores at the moment. But we have never moved assets out of technical written off. So it's a baggage of several years. Yes, that is there.

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Actually, if you look at the PCR, right? Now we are focusing more on the PCR without the technical write -off, that is at 74.36%. The on book itself, we are pretty, pretty well covered. And like I said, the collateral cover of our NPA, current NPA on book is 111%.

Parth Manish Gutka: Okay. And the contingent provision buffer that you are carrying of around INR250 crores, will we require any RBI approval for using that for ECL? Or we can go ahead without taking the approval?

Salee S Nair: I don't think there is any requirement. I don't think, in fact, they are meant for such contingencies.

So there will not be any RBI approval required. Ordinarily, this will be returned back into profits.

Ordinarily, as we expected, the COVID assets come down gets paid down. Like I said, it is already has been sharply reducing. It will be returned back to the profits. We will not be doing that. We will be just using it for the ECL.

Parth Manish Gutka: Sure, sir. That's clear. And one last question. The employee expenses have declined around 20% quarter -on-quarter. I'm assuming that would largely be because of the lower retirement provisions this quarter. So can you just mention what is the share of the employees which are on defined benefits?

Salee S Nair: Let me answer. That's one of the major steps that we have taken, reform that we have taken is to shift our employee base, about 5,000 people employee base from the defined IBA -based pay model into the CTC model, where we don't look at the pensions, right? And I think we have now largely been successful in that. About 82% of our employees today is on the CTC model.

That is one major step that we took. I think going forward, we'll be getting the benefit of it. And apart from that, Now there is a variable component that we have offered them. That variable component, also now in another major step in last month, we have aligned that to the operating profit and the business growth. So again, you will see the impact of all that going forward.

Parth Manish Gutka: Sure, sir. Sure And just one last question. What is your outlook on the other so within the advances portfolio, there's an others portfolio, around INR2,500 crores.

Salee S Nair: It's actually the corporate book that we have, I think it will be around that level. And maybe we will start looking at it after we have put our systems in place, people get familiar with the new systems, new way of handling appraisals, which I did mention that the LMS, we have just completed the LMS, loan management system. We are getting a lot of interest. Once our staff and officers get familiar with that and the appraisal skills moves up, we will get back into the corporate field. The others is actually the corporate book.

Parth Manish Gutka: Sure,Sure.Thank a lot

Moderator: Our next question is from the line of Arul from Ksema Wealth Management.

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Arul: Yes. In the first half of FY '26, we have opened 22 branches, so majorly in Tamil Nadu. So what is the plan going forward? We have 36 branches to be opened. So majority still be in Tamil Nadu? It will be other states?

Salee S

Nair: This year, the ones that we opened, the 24 of them will be in Tamil Nadu, but 12 of them will be outside Tamil Nadu. But going forward, you will see the ratio changing.

Arul: Okay. So currently, it's around 75 percentage of branches in Tamil Nadu. So what is your view over a medium-term or long-term perspective?

Salee S Nair: Our intention is over the next 3 years should bring down or take up the non-Tamil Nadu branches to beyond 35%.

Arul: Okay. Understood. And my second question on the gold loan portfolio. I believe most of it is retail only, some of it is agriculture also.

Salee S Nair: Yes.

Arul: Suppose what will be the impact on growth if the gold prices came down in future -- some time in future?

Salee S Nair: There will certainly, see, the gold growth is not just coming from the gold price alone. It is also coming from the fact that 47% of our branches are in the semi-urban and 21% are in the rural. So it is also coming from the expansion of the number of customers. So yes, your gold price reversal will have an impact on the gold loan growth itself. But now the focus is on expanding the customer base also which will, to a large extent, cushion that impact.

Arul: Understood, Thanks

Moderator: Our next question is from the line of Manish Jain from Wealth Care Securities.

Manish Jain: Congratulations for a very good set of numbers. Sir, my question was, in the previous call, you had mentioned FY '26, '27 will be a breakout year. So do you think that we'll be able to do a 20%, 25% growth in profits in FY '26, FY '27?

Salee S Nair: FY '27, we have maintained will certainly be a breakout. I think it will be certainly in the round maybe 3% plus/minus 20%, right? Because we are also doing a lot of investment in the technology.

In fact, the planned investment in technology in the current year itself is about INR250 crores, which was about INR151 crores last year. So there will be some impact on the OpEx, though we are committed to maintaining it at 45%. But like I said, next year is certainly going to be a breakout year, but we are looking at various parameters to see how it will impact the profit. And the profit, like I said, should be in the 20% plus/minus 3%.

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Manish Jain: So suppose if it is let us assume even if it is 17%, but that will be sustainable for the next 2, 3 years at least.

Salee S Nair: oh..Yes, yes, yes. See, if you look at the past history of it, like I said, the growth is coming back, right? In the past through several years, substantial amount of our profit actually came from what we call written-off accounts, right?

In fact, in this quarter itself, the written-off account has had an impact in the numbers -- in the Y-o-Y numbers because we had INR98 crores of recovery from the written-off account in quarter 2 of FY '25, which is now about INR13 crores. So the impact of this written-off account is slowly coming down. And the growth picking up, which means that going forward, the profit that you see on the table today will not only get accelerated, it will also be sustained.

Manish Jain: Okay. Sir, my second question was regarding the unseasonal rain and the impact on our asset quality and plus the USA tariff, I think you had mentioned it in your opening remarks, but still, if we can be little more in detail, you can explain.

Salee S Nair: In fact, I put a slide on it in the presentation because last time also, there was a mention of U.S. tariffs. We don't see that the way the bank's portfolio is structured and the fact that we lay on significant recourse mechanism in the form of collateral, we don't see that impacting any kind of portfolio stress because EC the export credit focus, of ours is just about 1.5%. Now this is one area we have been looking at ramping up going forward. But unfortunately, at the moment, it is at 1.5

%, which is sheltering us from the U.S. tariff.

Manish Jain: And about this unseasonal rains, we don't see any...

Salee S Nair: Sorry?

Manish Jain: Yes. About this unseasonal rains. We don't see any impact on our asset quality?

Salee S Nair: Unseasonal rains, see, in the agri sector that we have, focus on the agri sector that we have is significantly contributed by agri jewel loans, gold loans. So rains does not impact at all because it is backed by the gold.

Manish Jain: And sir, about this IT budget, which is for the current year, it is INR250 crores. Out of this, how much we have spent already?

Salee S Nair: Quite substantially has been done already, right? I'll give you the number.

Manish Jain: And for the next year, what will be the budget, sir, for FY '26, '27? Will it decrease substantially?

Salee S Nair: No, no, no. the modernization will continue. It will. It will. We'll take a call. We'll see how things are moving. But technology is something that this bank is heavily investing in. This bank is

modernizing itself because we are seeing the productivity impulse realized, and that will also weather the cost of such investments.

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Manish Jain: And we expect that all the expenses, we are confident that next year will be at least 17% profit growth will be there for FY '26?

Salee S Nair: Yes. And let me tell you, we always understate our performance.

Manish Jain: That was very nice to know, sir. And sir, another question was regarding out of the total loan book, how much originates from Tamil Nadu? And same for the case of deposits.

Salee S Nair: See, it is roughly 3/4 is coming from Tamil Nadu, a little over 3/4.

Manish Jain: And we are okay with that, sir? Or we want to change it?

Salee S Nair: No, we are that's why I said going forward, we are identifying centers to open more branches outside the state of Tamil Nadu. See, why we are going a little slow on opening at the moment is we would also simultaneously put in place the HR strategy for that because non -Tamil Nadu branches cannot be opened by the existing by the existing HR resource. So we have just entered into a strategic tie-up with Manipal for training set of officers recruited from outside the state of Tamil Nadu. In fact, that process is already on. The first contingent is in the Manipal University getting trained on a 6-month program, and they will be absorbed straight away at professional officers in the bank.

We have also used the IBPS rule to recruit about 115 guys earlier. So the resource is something that we are looking at contracting before we sort of enhance our foray into the non -Tamil Nadu region. That's why I said this in the next 6 months, 12 branches will be opening. But going forward, the number will be ramped up and non -Tamil resources, human resources are beefed up. So these are the 2 strategies we are using, the Manipal and the IBPS route for recruiting people, local people, local to the states to manage our branches.

Manish Jain: Sir, and despite of all these branch opening expenses as well as these IT expenses for FY '25, '26 and the following years, so you are very confident of at least 17% profit growth, right?

Salee S Nair: Yes, yes.

Manish Jain: Okay, sir. That was very nice to know. Thanks for answering all the questions.

Salee S Nair: Thank You

Salee S Nair: 17% is next year, not this year, okay? FY '27. It's FY '27. We should not get that FY '26, we are going to deliver 17% growth.

Moderator: Our next question is from the line of Jefferson, he is an Individual Investor.

Jefferson: My first question is on how we are actually selecting the locations to open the new branches because I remember our former CEO mentioning that we are primarily choosing locations where we could have a quick breakeven. Is that still the selection criteria? Or has it changed now?

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Salee S Nair: See, what we are doing is we are going by the data across the country, centers, which have potential to, which have existing branches, and we are looking at the growth of these existing branches. Now the data is available. That is the first level of identification of the center. The growth of branches of other banks already existing in the center. We are looking at their growth and see to get the potential. That is one.

And second is that wherever we are looking at opening a branch, we are posting the branch manager in advance. He goes, does the survey identify the branch premises to be taken. And the survey also will give us an indication of whether we can make a dent there, we can break even quickly enough.

So I think these are the 2 strategies that we are looking at before opening a branch, identifying the growth at the branch by the branches of other banks as well as our own market survey backed by the person posted there and the regional office support in that market survey. So we're not looking at opening branches just for the part of it. We will be doing a serious study before opening a branch.

Jefferson: Understood. That's quite clear. And I have an observation. So obviously, one of our bank's future goal is to have a pan -India presence. But keeping that in mind, if you have a look at our bank's name, it's Tamilnad Mercantile Bank, and it seems to somewhat limit us or kind of associate us with a specific geographic location, right?

And also one more point to add is since our bank name starts with the letter T, it kind of already

puts us into an alphabetical disadvantage. In almost all cases where, let's say, the banks with the universal banking license in India are listed alphabetically. Our bank most probably ends up being the second last on the list. So actually, my question is, would we consider renaming our bank's name maybe as a part of rebranding effort? Or what's your thoughts on that?

Salee S Nair: I think that's a very interesting question really. One, of course, I never realized that letter alphabet T is virtually at the bottom of the 26 pack English Alphabet pack. I think the Alphabet T is going to remain in the bank's name. I think that's something that we can't escape from, right?

But on the Tamilnad Mercantile Bank being a limiting factor is something that we are looking at. I can't give you a straight away -- I mean, acceptable answer straight away but that is engaging our attention. How do we enhance our attractiveness to the non -Tamil Nadu regions is something that is engaging our attention.

Moderator: Our next question is from the line of Saket Kapoor from Kapoor Company.

Saket Kapoor: My question pertains to the IT investment that we have envisaged over the year of INR250 crores for this financial year. So if you could just explain to us what has been the thought behind spending IN R250 crores?

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And even you are articulating that a similar amount needs to be invested. So are our systems not in place? Or what will lead to this amount going ahead? And what has been the average IT spend for the last 3 fiscals?

Salee S Nair: I think last year, I just mentioned that we did spend INR151 crores. In fact, out of the INR250 crores, a substantial portion will be reserved for the OpEx. So that's one. And now what we are looking at in the current year is the breakup of even breakup, which is INR12.5 crores for the opex and INR125 crores for the capex. I think that's how we have. And there's a subset. The bank is a legacy bank and a significant portion of this functioning has been manually driven. So all that we want to modernize.

For example, I just mentioned about the loan appraisal systems. It was manually done. Now we are putting in place a new loan management system.

We have put replacing the entire Internet banking through a digital engagement hub -based Internet banking. So that's a big investment that we are doing.

You will see that result in January of '26 when the entire Internet banking will be replaced.

Wholesale will be replaced. The entire website is being replaced wholesale. The mobile banking is completely being revamped.

Like I said, our workflow automation, I think that's something that we are pushing. The way we are doing work in the branch, every aspect of it, we are looking at upgrading and automating and so that resources are released for sales functions. We were largely a maintenance-based bank.

Now we are now trying to push the staff into the sales roles. And towards that, we have also now set up the CX platform. The other big investment that we will be doing is on the CDP side, the customer data platform that is yet to happen, that is the next thing that will happen.

So virtually every aspect of banking, whether it is customer -facing or internally, which will release productive impulses amongst our own resources, human resources is something that is being looked at. And we have also put in place a cross -functional team to see how artificial intelligence can be used to support productivity increases here.

And let me also tell you in the HCM, we have just started that already by having in the artificial intelligence used there. So I think there's a substantial investment happening, I think this will go on not only this year, it will go on to next year, by which time we hope the bank will be completely modernized and in line with some of the best in the market.

Saket Kapoor: Okay, sir. Sir, you mentioned about the employee cost being lower because of some changes in 82% of the staff being shifted to the CTC model. Can you explain what does this stand for? And what would be the annual savings going ahead, sir?

Salee S Nair: Let me tell you that were the employees here, 80% plus was on the I BA model, the I BA model where you give every 5 year increase in the basic pay and the salary structure undergoes a

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change. Now that has been shifted substantially into the CTC model, where the salary is now being split into 2. There's a fixed component, there is a variable component.

And the variable component is now linked to the operating profit, to the business growth. So that component kicks in only when there is a profit, which means straight away that savings, which was used to give a certain performance-based incentive is now linked to this and becomes a function of the profit itself.

So which means going forward, we can see there's a moderation of the HR cost happening. The HR cost may go up but as a percentage of the overall profits, our operating profit will go down or the total income will go down.

Saket Kapoor: Sir, come again with the last statement, income will, I did miss your point.

Salee S Nair: No, because I said, the absolute number HR costs may go up. But as a percentage of the total income because now the operating profit, the growth has to be generated before we pay them the variable, which was right to them earlier. We can see that the absolute in percentage terms it's going up.

Saket Kapoor: And sir, the pension benefit part, are they covered? Are the existing employee under the pension benefit also?

Salee S Nair: The CTC guys are not covered under the pension. So 82%, 83% of our people are not covered under the pension now. It is only the balance, we are also trying to incentivize them to move because incentivized through the variable pay structure to move into this. And we are on the actuarial basis, we are well covered under the pension. The existing, like I said, 17%, 18% who carry pension, we are well covered on an actuarial basis.

Saket Kapoor: Last 2 points. Firstly, on the interest on bal

ances with RBI, we have seen our sequential number

also in 9 months from INR17 crore profitability, the number is INR15 crores. However, there has been the impact of the CRR and the repo rate cut. So how are we able to maintain the interest balance with Reserve Bank and what should be this number going ahead, sir?

Salee S Nair: Sorry, come again on that? Come again.

Saket Kapoor: I'm talking about interest on balances with Reserve Bank. We are showing an income of INR15....

Salee S Nair: It has come down, you are saying from 4% to 3%, right? You're talking about the CRR.

Saket Kapoor: Sir, I'm talking about CRR but we have been able to maintain our number on a quarterly basis. So what should be, what are the reasons? And what should be the number we should look forward on an annualized basis, sir?

Salee S Nair: Can you answer that?

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CFO : Can you come again what is basically asking ?

Saket Kapoor: Yes, just referring to the P&L line item 1, subsequent fee, where we have maintained our interest on balance with Reserve Bank of India and other interbank funds. Therein, we have booked an income of INR15,34,00,000 for the quarter ending September. The number was INR17,38,000 lakh for June quarter. And for previous year, it was INR6 crores. So I would just like to understand since there have been a rate cut that has been factored in the quarter, how are we...

Management: Basically, investable surplus is being deployed here, and that is the function of this. Once our advanced portfolio starts growing up faster, that surplus will come down. And so this number cannot be compared in isolation. We have to see this overall interest income because what happens is this is my total fund has to be employed either in advances or with investment in RBI, which is giving me less number, less yield. So whenever this number going down will be beneficial for my bottom line.

Saket Kapoor: Right, sir. But my question was since there has been a significant reduction, how we have been able to maintain this number?

CFO : No, that is the investable surplus with RBI is at a level where we are giving this kind of returns.

Salee S Nair: Which line item is --?

Saket Kapoor: 1C.

And secondly, sir, how, what steps we are taking to protect our NIM going ahead since there should be a further 50 basis cut in the repo rate in the issuing part of the financial year. So how will our NIM be protected and you alluding to the fact that 17% growth in the profitability for the next year, that should be on another 50 basis cut that is envisaged in the repo rate. So are you factoring in this 50 basis cut in giving a number for profitability growth of 17%?

Salee S Nair: Yes, yes. Let me tell you why. See, if you look at our deposit portfolio, substantially, we are in the 1 - to 2-year market bucket, about 66% plus is in the 1 - to 2-year bucket. And that is now getting will be repriced going forward. The next 2 quarters going up to April '26 is when this repricing will happen. And that will give us that extra bit to even take care of 25 basis cut when it happens and maybe a 25 basis cut going forward.

See, every cut will impact to about 7.5%. And because of the maturity profile that we have, it

takes about 3 quarters for the pricing to fit in. The last cut that we saw, now the deposit pricing would take that impact and give us the benefit. We are coming to that in this December quarter and January quarter, we hope to see the benefit of that.

Saket Kapoor: Okay. So our loans are repriced on a floating basis but the deposit get factored with... ?

Salee S Nair: 50% get repriced. And of course, the balance 50% on MCLR terms, the repricing. So essentially, half of the loan is getting repriced immediately, whereas the bulk of our deposit, except for the very short-term profile, it takes time to reprice, like I said

, 3 quarters.

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Saket Kapoor: 3 quarters. So we will be getting the benefit of the lower cost of funds, this trend line of lower cost of fund will continue and will get momentum only going ahead.

Salee S Nair: Yes. And possibly that will also take care of a rate cut.

Saket Kapoor: Yes, sir. That is what I'm asking. our cost of fund has come down to 5.91% ..?

Salee S Nair: It will continue further down. Yes.

Saket Kapoor: It will continue further down if the deposits get repriced in this quarter itself.

Salee S Nair: Absolutely. Next 2 quarters, we are seeing a substantial amount of deposits getting repriced.

Saket Kapoor: Okay. Okay, sir. Right, sir. we will be hosting the call again post the March results only.

Salee S Nair: No, no, March. January.

Saket Kapoor: Okay. We'll continue with the quarterly results. You were telling something you're concluding, sir.

Salee S Nair: No, no. I'm saying we will again meet for the December results in January. And we hope the numbers will be better than the second quarter.

Saket Kapoor: It will be better than the second quarter.

Salee S Nair: Yes.

Saket Kapoor: Thank you for answering all the questions and we hope for now the deliverables to show up in our numbers in the way it has been alluded by the management.

Salee S Nair: Yes. Thank you. The confidence comes from the fact that the growth momentum is picking up, and it is already evidenced in the second quarter, and it's also getting evidenced as I see it in the month of October as well. Yes. Going forward, we expect that momentum to continue.

Saket Kapoor: Just a point to add then -- only one point was that we have not seen

Moderator: Mr. Kapoor, I am really sorry to interrupt you. Mr. Kapoor, please rejoin the queue.

Saket Kapoor: Ya..Ya,..I will join the queue

Moderator: Ladies and gentlemen, in order to ensure that the management will be able to address questions from all the participants and the conference, kindly limit the question to two per participant.

Should you have a follow-up question, please rejoin the queue.

Our next question is from the line of Anant Mundra from Mytemple Capital.

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Anant Mundra: Sir, my question was on the cost side. So firstly, the credit cost has been quite low in Q1 and Q2. So I just want to understand on a normalized basis, where do you expect this to settle? And also on the cost-to-income side, there's been some volatility between Q1 and Q2. So what is the normalized annualized number that we can model in here for cost to income?

And second, just a follow-up on the ECL thing, you mentioned that we carry a INR250 crore provision for the COVID provision. Do we use that currently for our calculation of our PCR?

Or this is on top of that, whatever provision that we already hold? These are the 2 questions.

Salee S Nair: Anant, three questions. I didn't get the second one. Maybe you can repeat it, but I'll give you the answer for the first 2, right? And the last question is about INR250 crores of contingency provision that we have. It is not part of the PCR. Okay. If it is part of the PCR, the provision cover would exceed 100%.

Anant Mundra: Yes, it will exceed 100%. Yes, sir.

Salee S Nair: Right? It will exceed 100%. So it's not part of it. And that's something that it has been kept aside for the COVID era. Now the COVID book is now sharply shrinking and it is now standing at 271. I think there are the options that we have is to write it back to profits going forward or use it for other purposes. So I think ECL is something that we will certainly use that, okay?

And on the credit cost, when I look at the book as it stands for the next 2 quarters and certainly for the next 2 quarters, I think the credit cost, we don't see any kind of spike happeni

ng at all.

The current level will be maintained.

But let me also tell you as the growth momentum picks up, you can't avoid a bit of stress. I think going forward, this is something that FY '26 sorry, not certainly not FY '26, we will be at the similar levels. But FY '27, maybe there could be some kind of stress coming. I still anticipate the GNPA to be in the 1% kind of range. And obviously, the credit cost would be well, well in the 0.25% to 0.5% range going into FY '27 and FY '28.

Anant Mundra: On the cost-to-income side as well.

Salee S Nair: Cost-to-income ratio is at 43.81% now. And let me also tell you that we are committed to maintaining it in the 45% kind of number.

Anant Mundra: Okay. All right, sir. And sir, so you also mentioned that most of the IT expenses are done. So both on the capex side and opex side, both of them are majorly done?

Salee S Nair: No. I didn't say most of the IT expenses have been done, has been contracted and the payments will happen. So many of them are work in progress. For example, digital engagement hub that we took will go live in the month of January. The loan management system, Phase 1, we are going live now. But Phase 2 and Phase 3, we will go live in the next 2 quarters. So it is all work in progress.

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Anant Mundra: Okay. Got it. So this 45% number that you mentioned is on an annualized basis, right? Because Q1 is generally a spike and then.

Salee S Nair: Annually. Annualized basis. Yes.

Anant Mundra: Got it, sir. And sir, just one final question. What is the LTV on the gold loans that we have in the agri and the retail portfolio?

Salee S Nair: We are fairly conservative there but you have the LTV. We are fairly conservative there I will get you the LTV number. And if you look at against the market, our highest per gram rate continues to be at INR7,300.

EVP (Credit): We are the lowest in the industry.

Salee S Nair: Yes, Right? Practically we are one of the lowest in the industry. Of course, we will continue to focus on the gold loan, but what we intend to do is to grow the other non-gold loan book, particularly MSME. And that is where we seem to see some kind of growth coming back.

Anant Mundra: Got it. Got it, sir. So the investment on the MSME side are done. Now that engine should start firing, like how we've seen for the retail...

Salee S Nair: It's not done. If you to say it is done, it is not really done. It is still in a work in progress. Like I said, the LMS package that we have taken on is only the Phase 1 has been completed, the Phase 2 and Phase 3. The post disbursement functionalities, etc, are still there is a lot, I think it will take another couple of quarters for it to be fully done from what you're asking whether it's done.

Anant Mundra: Meaningful double digit growth, got it. Got it. But a meaningful double-digit growth should only be penciled in probably for next year then because given that it's still under implementation.

Salee S Nair: Yes. Next year, I think, is going to be another year that you should watch out for.

Anant Mundra: Thank you sir, That's it.

Salee S Nair: Thank you

Moderator: Next question is from the line of Vinith Jain from Siddh Capital. Please go head.

Vinith Jain: Sir, my first question will be, can you give me the size of the jewel loans and the consumer loans?

Salee S Nair: The jewel loan portfolio is currently about INR20,000 crores.

Vinith Jain: Sorry?

Salee S Nair: Ya, it is INR21,000 crores.

Vinith Jain: And sir, what will be the size

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Salee S Nair: The book that we have, the jewel loan size is when I say jewel loan, it also has got an agri component and the consumption loan component, right? So both together is about INR21,000 crores.

Vinith Jain: So what will be the size

yes sir, continue.

Salee S Nair: What is the?

Vinith Jain: So what will be the size of the consumer loan right now, sir?

Salee S Nair: Consumer loan is about INR4,300 crores.

Vinith Jain: INR4,300 crores. So how do you envisage the growth in consumer loan going ahead, sir? Like, of course, it is part of the retail and retail is growing. So is the focus more on jewel loans still? Or are we moving away? Like, of course, you said we are moving away from jewel loans. So what is the category we are focusing on?

Salee S Nair: Like I said earlier, we will continue focusing on the jewel loan, but jewel loan is price sensitive to the gold prices, right? So if it takes a turn, we don't want the growth to taper off because of that. We are very, very sensitive about the per gram rate that we offer in the market and that it should not lead to a stress situation if there's a sharp reversal of the gold loan prices. So that's something that we are looking at and we are trying to see.

But like I said, the focus will continue on the jewel loan. But overall credit growth, we expect it to come from the non-jewel portfolio. I think that's where the focus is. That is where salutary, I think the last few months, we can see this turn happening. The growth of jewel loan portfolio versus the non-jewel loan portfolio happily is shifting in favor of the non-jewel loan portfolio, which is the MSME and the other retail side.

Vinith Jain: So is it possible to give these numbers in the presentation, like the jewel loan, consumer loans, home loans or vehicle loans?

Salee S. Nair: I take note of it. And here after, I think we will see whether we can give. I think that's a good suggestion. We let us give it.

Vinith Jain: Sir, for the MSME segment, we've been working on this centralized loan distribution disbursal system for some time. And you're saying that there's still more time to get the engine firing. So when do you expect it? So maybe a couple of quarters down or?

Salee S Nair: Like I said, the LMS Phase 1 has just been done, right? And now I think the familiarization is on in one of the regions. And I think come November end, I think that LMS will go live across the bank. And you can see the impact of that in the quarter 3 results itself.

Vinith Jain: So the awareness program among the staff has been completed you mean to say?

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Salee S Nair: Yes. Yes, yes. In fact, the awareness program or familiarization is on at the moment. Any change, it is not like a tap opening the water, another water comes out. It takes a bit of time for the people to get familiar. But nevertheless, you will see the impact of that in quarter 3 in terms of growth numbers.

Vinith Jain: And on the global NRI center at Kochi, what has been the progress? What are the benefits you are generating?

Salee S Nair: We have already set up the global NRI center, right? And we are also seeing an uptick I think that also went up about 9%, right? The NRI business NRI deposits are also beginning to show some growth. And we have just set up, I think set up the DN has been set up in Cochin in Onam in last month. I think Onam period, Onam Day, we did set it up. And we are beginning to see the impact of that also on the deposits.

Vinith Jain: Will it be possible to give you the number...

Salee S Nair: Next Quarter, we will put that NRI number also and the comparative number also in the next quarter, and you will see that the uptick is there.

Vinith Jain: So on the deposit side also, this presentation doesn't have the breakup of the retail and the bulk deposits.

Salee S Nair: Okay. Okay. We'll do, add that.

Vinith Jain: Can you give me the numbers?

Salee S Nair: Do you have the numbers straight away? I'll give it to you.

Vinith Jain: Thank you very much

Moderator: Thank you, sir. In the interest of time, we'll take th

is as the last question. I now hand the

conference over to Mr. Salee S Nair, Managing Director from Tamilnad Mercantile Bank for closing comments. Thank you, and over to you, sir.

Salee S Nair: Yes. I think like I said initially, I think this is this quarter, some of the efforts that we have been undertaking in the last 2, 3 quarters is beginning to bear fruits. The growth momentum is coming back. 11.40%, as I just mentioned, is the total business growth, particularly the resource on the resource raising side, I think 12.32% the deposits. This is evident that the efforts are bearing fruit.

And if you look at the history of the bank going back about 10 years, the bank has been underperforming the market. Now it is in line with the market, perhaps a tad above the market. And I'm fairly confident that going forward, this bank will be not be in line, the divergence with the market will be seen that we will certainly grow slightly above the market.

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And for the current year, we hope to end the year with at least 12% to 13 % growth on the deposits, CASA at about 12%. I think we are confident about that. And on the advances, like I said earlier, 14% to 15% despite the fact that it is at 10.34%, we hope to end up with 14% to 15%.

So that's, again, the confidence coming out of the fact that some of the initiatives that we have taken is beginning to bear fruits. NPA would going forward also will be under control. I don't see any challenge there, any major accounts slipping. We don't see that. And of course, the slippage ratio also will be in the current level of about 5 to 10 basis.

So overall, I think we are facing the future with much with confidence, and we are happy that the growth is coming back that will now start contributing to the profit, the profit, which had a significant component of recovery from advances under collection written -off accounts and now will stand up on its own feet will be driven by the core banking going forward, core banking business going forward. So we face the future with much, much confidence than what we were used to in the past. Thank you. Thank you all for joining us in this call. Thank you, and it's over to you.

Moderator: Thank you, sir. On behalf of Tamilnad Mercantile Bank Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

(no extractable text — likely a scanned image PDF)

Call: May 2026

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